

# SS2 MARKETING LESSON NOTES

## FIRST TERM

### WEEK 1: TRANSPORTATION IN MARKETING

**Topic:** Transportation **Duration:** Double Period (80 Minutes) **Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define transportation and explain its role in the supply chain and as a marketing utility.
2. Analyze the various modes of transportation with their specific merits, demerits, and operational characteristics.
3. Identify and discuss the key documents involved in the transportation of goods.
4. Evaluate the contemporary problems facing the Nigerian transport sector and propose potential solutions.

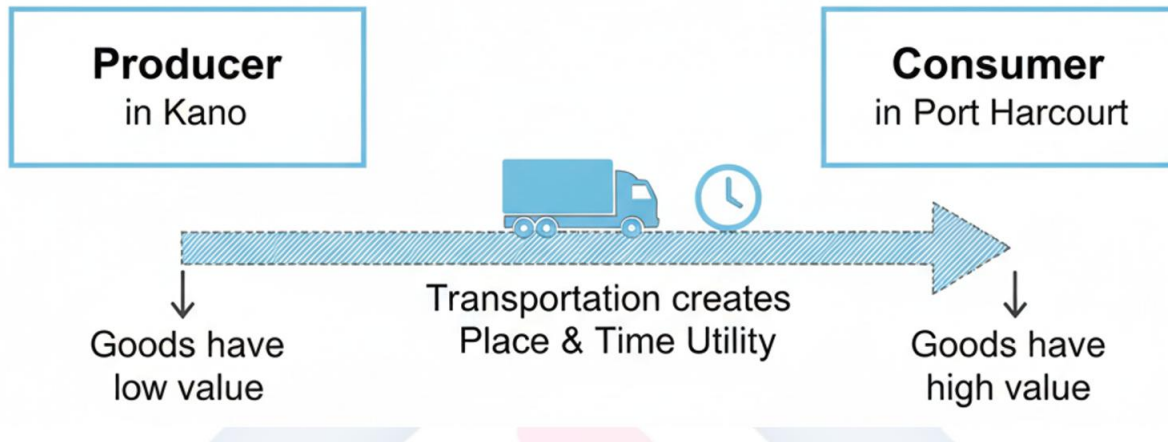
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#### ***1. MEANING AND FUNDAMENTAL ROLE OF TRANSPORTATION***

Transportation is the lifeblood of commerce and the engine of marketing. It is the physical movement of goods and people from one location to another. In marketing, its primary importance lies in the creation of **Utilities**.

- **Place Utility:** Transportation moves goods from regions of surplus (low value) to regions of scarcity (high value). For example, moving oranges from Benue State (where they are plentiful and cheap) to Lagos State (where demand is high) creates place utility, thereby increasing their value and satisfying consumer needs.
- **Time Utility:** It ensures goods are available exactly when they are needed. For instance, transporting grains from the harvest season to the dry season for consumption creates time utility.

- **Possession Utility:** By bridging the gap between producer and consumer, transportation facilitates the change in ownership.



**Logistics vs. Transportation:** While often used interchangeably, they are distinct.

**Transportation** is the actual movement. **Logistics** is the broader management of the entire supply chain flow, which includes transportation, warehousing, inventory management, packaging, and information systems.

## 2. MODES OF TRANSPORTATION (COMPREHENSIVE ANALYSIS)

### A. LAND TRANSPORTATION

**i. Road Transport** This is the most pervasive mode in Nigeria, involving vehicles like trailers, tankers, vans, and motorcycles.

- **Operational Characteristics:** Highly flexible, allowing for door-to-door services and route adjustments in real-time.
- **The Haulage System:** This is the backbone of Nigerian logistics. Heavy-duty trucks move over 90% of goods from Apapa and Tin Can Island ports to inland destinations.
- **Advantages:**
  - **Door-to-Door Service:** Direct delivery from the seller's warehouse to the buyer's premises.

- **High Flexibility and Penetration:** Can access remote rural areas via feeder roads where other modes cannot.
- **Relatively Low Start-up Cost:** Compared to air or sea, acquiring a vehicle is more affordable for small businesses.
- **Disadvantages:**
  - **High Risk:** Prone to accidents, theft (hijacking), and damage to goods due to poor road conditions.
  - **Limited Capacity:** Cannot match the volume carried by a ship or a full train.
  - **Congestion and Delays:** Traffic gridlock (especially in Lagos), numerous police and military checkpoints cause significant delays and increase costs.
  - **High Maintenance Cost:** Frequent vehicle repairs due to bad roads.

**ii. Rail Transport** This involves the movement of goods and passengers on fixed tracks. Nigeria is transitioning from the old, inefficient **narrow-gauge** lines to modern **standard-gauge** lines.

- **Operational Characteristics:** Ideal for heavy, bulky, non-perishable goods over long distances (e.g., coal, cement, containers, petroleum products).
- **Advantages:**
  - **Cost-Effective for Bulk:** Lowest cost per ton/kilometer for large volumes.
  - **High Capacity:** One train can carry the equivalent of 50 or more trucks.
  - **Reliability:** Unaffected by road traffic congestion.
  - **Environmental Friendliness:** More fuel-efficient per ton than road transport.
- **Disadvantages:**
  - **Inflexibility:** Confined to fixed tracks, requiring "last-mile" delivery by road (trans-shipment).
  - **High Capital Cost:** Extremely expensive to lay and maintain railway lines.
  - **Limited Network:** The rail network does not cover all parts of the country.

**ROAD**| vs. **RAIL**

| Feature             | Road Transport               | Rail Transport             |
|---------------------|------------------------------|----------------------------|
| <b>Flexibility</b>  | High (Door-to-door)          | Low (Fixed tracks)         |
| <b>Cost</b>         | High per ton/km              | Low torso (for bulk)       |
| <b>Sped</b>         |                              |                            |
| <b>Speed</b>        | Variable (Traffic-dependent) | Steady                     |
| <b>Cargo Safety</b> | Lower risk of pilerilage?    | Higher risk of pilerplage? |
| <b>Best for</b>     | Short distances, perishables | bulk goods                 |

## B. WATER TRANSPORTATION

**i. Inland Waterways:** Uses rivers (Niger, Benue), creeks, and lagoons with boats, ferries, and barges. Crucial for moving agricultural produce and timber from riverine areas.

**ii. Sea/Ocean Transport:** The dominant mode for international trade.

- **Ocean Liners:** "Buses of the sea." They operate on fixed routes and published schedules.
- **Tramps:** "Taxis of the sea." They have no fixed schedule or route and are hired to carry cargo wherever it is needed.
- **Tankers:** Specialized vessels for liquid bulk (crude oil, LNG).
- **Container Ships:** Carry goods in standardized containers, enabling efficient intermodal transport.
- **Advantages:**
  - **Cheapest for International Trade:** Moves massive volumes at a very low cost.
  - **High Capacity:** Can carry very heavy and oversized cargo (e.g., machinery).
- **Disadvantages:**
  - **Slow Speed:** Longest transit times.

- **Port Dependency:** Requires access to deep-sea ports with specialized handling equipment.
- **Perils:** Vulnerable to piracy, storms, and accidents.

### C. AIR TRANSPORTATION

- **Operational Characteristics:** Used for high-value, low-weight, and time-sensitive goods (electronics, pharmaceuticals, samples, urgent documents, perishables like flowers and fresh fish).
- **Advantages:**
  - **Speed:** Fastest mode of transport.
  - **Reliability:** Adheres to strict schedules.
  - **Security:** High level of safety and security for goods.
- **Disadvantages:**
  - **High Cost:** Most expensive mode.
  - **Limited Capacity:** Cannot carry bulky, low-value goods economically.
  - **Weather Dependency:** Susceptible to delays and cancellations due to bad weather.

**D. PIPELINE TRANSPORTATION** A unique mode where the conduit is static, and the product flows through it.

- **Usage:** Primarily for liquids and gases (crude oil, refined petroleum, natural gas, water).
- **Advantages:**
  - **Low Operating Cost:** Once built, it is very cheap to operate.
  - **Continuous Flow:** Provides a 24/7 supply.
  - **Reduces Road Congestion:** Minimizes the number of fuel tankers on roads.
- **Disadvantages:**
  - **Immobility:** Cannot be redirected; serves only fixed points.
  - **High Initial Investment:** Very costly to construct.
  - **Vandalism and Theft:** Prone to "bunkering" and sabotage, especially in the Niger Delta.

- **Environmental Hazard:** Leaks can cause catastrophic environmental damage.
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### ***3. DOCUMENTS INVOLVED IN TRANSPORTATION***

1. **Waybill:** A receipt issued by the carrier listing the goods and the terms of transport. It is a contract of carriage but **not** a document of title.
  2. **Consignment Note:** Similar to a waybill, used mainly in road and rail transport.
  3. **Bill of Lading (B/L):** The most important document in sea freight. It serves three key functions:
    - A **receipt** for the goods received by the carrier.
    - A **contract** of carriage between the shipper and the carrier.
    - A **document of title** to the goods (ownership). The holder of the original B/L can claim the goods.
  4. **Air Waybill (AWB):** The equivalent of a Bill of Lading for air transport. However, it is **not** a document of title, only a receipt and a contract of carriage.
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### ***4. PROBLEMS FACING THE NIGERIAN TRANSPORT SECTOR***

1. **Poor Infrastructure:** Dilapidated roads, outdated rail lines, and shallow ports.
2. **Insecurity:** Piracy in the Gulf of Guinea, hijacking of trucks on highways, and pipeline vandalism.
3. **Administrative Bottlenecks:** Corruption at ports and numerous checkpoints on roads.
4. **Policy Inconsistency:** Lack of a coherent and sustained national transport policy.
5. **Funding Deficit:** Inadequate investment in maintenance and development of transport infrastructure.

#### **Evaluation:**

1. With the aid of an example, explain how transportation creates "Place Utility."
2. Differentiate between a 'Tramp' and an 'Ocean Liner'.
3. Why is a Bill of Lading considered more powerful than an Air Waybill?
4. Propose two solutions to the problem of insecurity on Nigerian highways.

**Assignment:**

1. Create a table comparing the four main modes of transport (Road, Rail, Water, Air) based on Cost, Speed, Flexibility, and Ideal Cargo Type.
  2. Investigate the current state of the Lagos-Kano standard gauge rail project. What are its potential impacts on marketing in Nigeria?
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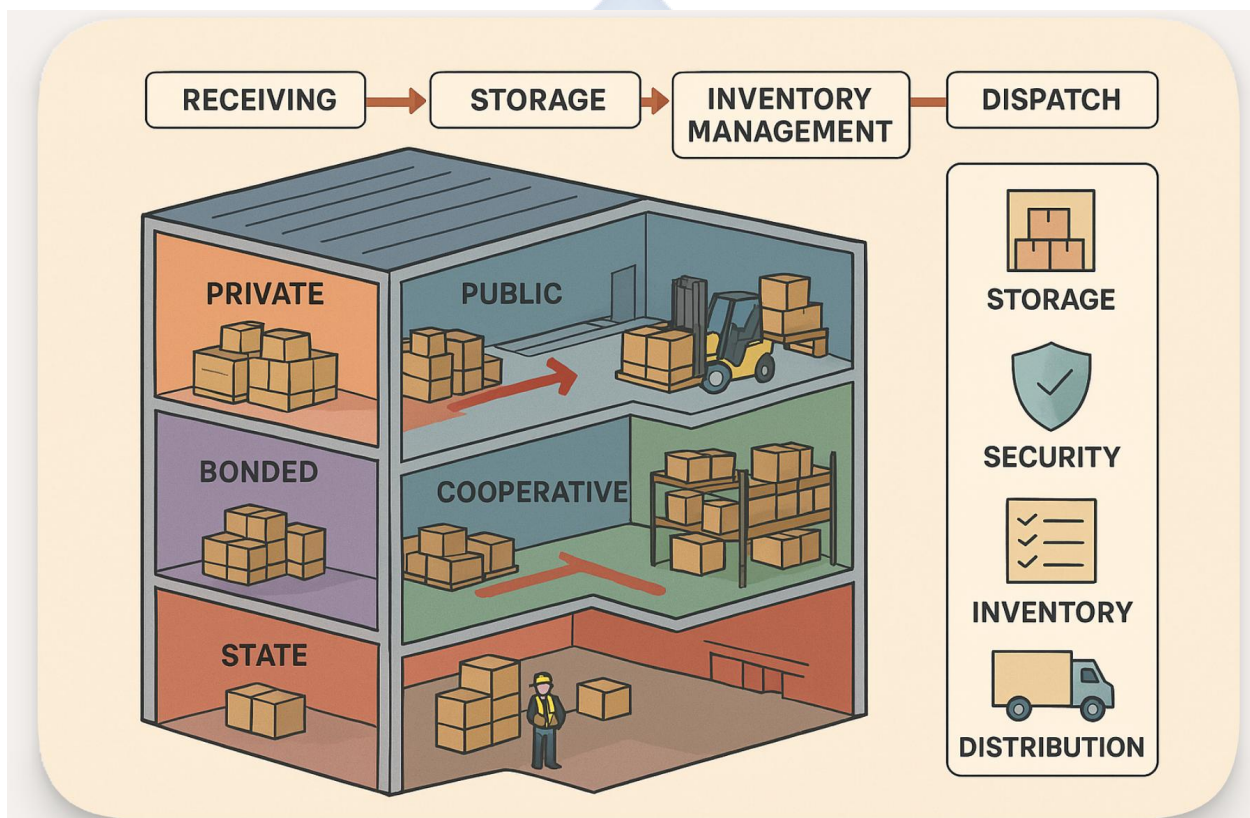




## WEEK 2: WAREHOUSING

**Topic:** Warehousing **Duration:** Double Period (80 Minutes) **Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define warehousing and distinguish it from mere storage.
2. Identify and explain the functions of different types of warehouses.
3. List and explain the documents used in warehousing.
4. Analyze the factors to consider when siting a warehouse.



### 1. CONCEPTUAL DEFINITION

Warehousing is the **logistical function** of holding and preserving goods from the time they are produced until they are needed by consumers. It is not just storage; it involves systematic and scientific management to maintain the quality and value of goods. It creates **Time Utility** by



making goods available when needed, thereby stabilizing prices and ensuring a continuous flow of products.

### **Key Functions of a Warehouse:**

- **Storage:** The basic function of holding goods.
  - **Price Stabilization:** By releasing goods gradually, warehouses prevent market gluts (which cause low prices) and shortages (which cause high prices).
  - **Risk Bearing:** The warehouse bears risks like theft, fire, and spoilage (often mitigated by insurance).
  - **Financing:** A Warehouse Warrant can be used as collateral for a loan.
  - **Value-Added Services:** Modern warehouses also offer branding, packaging, labelling, and order assembly (breaking bulk).
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## **2. TYPES OF WAREHOUSES**

### **1. Bonded Warehouses:**

- **Ownership:** Licensed by the government (Nigeria Customs Service).
- **Function:** Stores imported goods **before** customs duties and taxes are paid. Goods are "in bond."
- **Key Feature:** The importer cannot access the goods until duties are paid. If not paid within a stipulated time, the goods can be auctioned by Customs.
- **Location:** Seaports, airports, and land borders.

### **2. Public Warehouses:**

- **Ownership:** Private businesses.
- **Function:** Rent out storage space to the general public for a fee.
- **Advantage:** Ideal for small businesses and seasonal sellers who cannot afford their own storage facilities.

### **3. Private Warehouses:**

- **Ownership:** Owned and operated by manufacturers, wholesalers, or retailers for their exclusive use.
- **Advantage:** Maximum control over storage conditions and operations.
- **Disadvantage:** High capital investment and fixed cost.

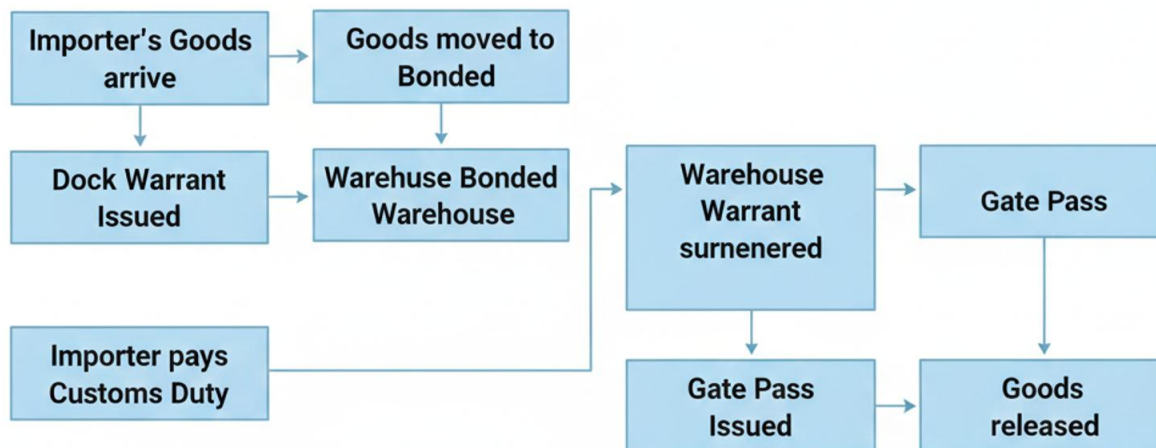
#### 4. Government Warehouses:

- **Ownership:** Federal or State governments.
- **Function:** Used to store seized goods (contraband), strategic grain reserves, and other essential commodities to control inflation and prevent famine.

#### 5. Cold Storage Warehouses:

- **Function:** Refrigerated facilities for perishable items like frozen foods, dairy products, pharmaceuticals, and vaccines.
- **Importance:** Extends the shelf-life of products and allows for international trade in perishables.

### Warehouse Document Flow



### 3. DOCUMENTS USED IN WAREHOUSING

1. **Warehouse Warrant:** A document of title issued by the warehouse keeper. It proves ownership of the stored goods and can be traded or used as collateral for a bank loan.
2. **Dock Warrant:** Issued for goods stored at the docks, acknowledging receipt. It can be converted into a warehouse warrant.

3. **Gate Pass:** An internal security document that authorizes the removal of specific goods from the warehouse premises.
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#### ***4. FACTORS TO CONSIDER IN SITING A WAREHOUSE***

1. **Proximity to Market/Factory:** A distribution warehouse should be near customers; a raw material warehouse should be near the factory.
2. **Adequate Transportation Links:** Easy access to major roads, rail sidings, or ports.
3. **Cost and Availability of Land:** Must be affordable and of sufficient size for future expansion.
4. **Utilities and Infrastructure:** Reliable electricity (critical for cold storage), water, and security systems.
5. **Labour Availability:** Access to a pool of skilled and unskilled workers.
6. **Economic and Government Policies:** Tax incentives and zoning laws can influence location.

#### **Evaluation:**

1. "Warehousing is more than just storage." Justify this statement.
2. Explain two key differences between a Bonded Warehouse and a Public Warehouse.
3. How does a Warehouse Warrant facilitate business financing?
4. A beverage company wants to build a warehouse to serve the entire South-East region.  
List three factors they must consider before choosing a location.

**Assignment:** Draw a detailed flow chart showing the journey of a container of imported electronics from the port to a retailer's shop in Kano, highlighting the roles of the bonded warehouse, customs, and transportation.

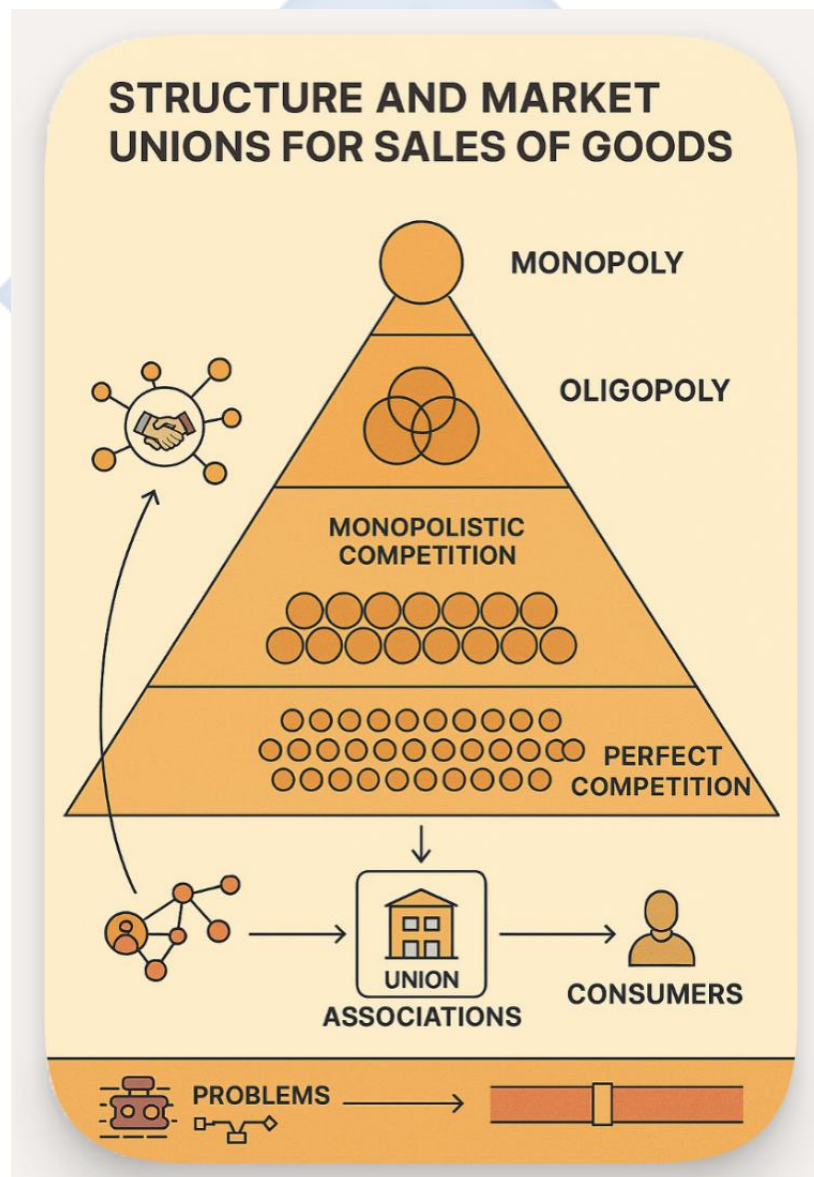
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## WEEK 3: MARKET STRUCTURES AND UNIONS

**Topic:** Market Structure & Market Unions

**Objectives:** At the end of the lesson, students should be able to:

1. Define and differentiate between various market structures.
2. Analyze the characteristics of perfect competition, monopoly, oligopoly, and monopolistic competition using real-world examples.
3. Explain the concept and functions of market unions in the Nigerian economy.
4. Critically evaluate the impact of market unions on both sellers and consumers.



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## ***1. MARKET STRUCTURE: THE COMPETITIVE LANDSCAPE***

A **market structure** describes the nature and degree of competition within a market. It is defined by key characteristics such as the number of firms, the nature of the product, the ease of entry and exit, and the level of control over price.

Market structures exist on a spectrum, from many competitors to no competition at all.

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## ***2. TYPES OF MARKET STRUCTURES (IN-DEPTH ANALYSIS)***

**A. Perfect Competition (Theoretical Ideal)** This is a hypothetical, idealized market structure used as a benchmark. It rarely exists in reality.

- **Characteristics:**
  - a. **Very Many Buyers and Sellers:** Each firm is so small that its actions cannot influence the market price. They are "price takers."
  - b. **Homogeneous Products:** The goods sold by all firms are identical, e.g., salt, raw agricultural commodities like cassava or yam from different farms. A buyer has no reason to prefer one seller over another.
  - c. **Free Entry and Exit:** There are no barriers (legal, financial, or technological) to prevent new firms from starting up or existing firms from leaving the market.
  - d. **Perfect Knowledge:** All buyers and sellers have complete information about market conditions, including prices.
  - e. **No Government Intervention:** The market is left to regulate itself.
- **Example:** The market for tomatoes in a large rural market (e.g., Mile 12 Market in Lagos). Thousands of sellers offer virtually identical products, and no single seller can charge more than the prevailing market price.

**B. Monopoly (The Single Seller)** A monopoly exists when a single firm is the only producer of a product with no close substitutes.

- **Characteristics:**

- a. **Single Seller:** The firm is the entire industry.
- b. **No Close Substitutes:** Consumers have no alternatives to the product.
- c. **High Barriers to Entry:** Legal, economic, or technological factors make it impossible for new competitors to enter (e.g., government license, control of a key resource).
- d. **Price Maker:** The monopolist has significant power to set the price.

- **Examples in Nigeria:**

- **Transmission Company of Nigeria (TCN):** It is the sole manager of the national electricity grid.
- **National Water Boards:** In many states, they are the only legal provider of piped water.
- **Microsoft Windows (Historically):** Held a near-monopoly on PC operating systems.

**C. Oligopoly (The Few Dominant Firms)** This is a market dominated by a small number of large, interdependent firms.

- **Characteristics:**

- a. **Few Dominant Firms:** The market is controlled by a handful of large sellers (e.g., 3-10 firms).
- b. **Interdependence:** The actions of one firm (e.g., a price cut) directly affect the others, who will likely react. This leads to strategic behavior and sometimes **collusion** (illegal cooperation to fix prices).
- c. **Differentiated or Homogeneous Products:** Can sell identical products (e.g., cement) or differentiated ones (e.g., mobile networks).
- d. **High Barriers to Entry:** Significant capital investment, brand loyalty, and economies of scale make entry difficult.

- **Examples in Nigeria:**



- **Cement Industry:** Dangote Cement, BUA Cement, and Lafarge Africa control the market.
- **Telecommunications:** MTN, Airtel, Glo, and 9Mobile.
- **Beverage Industry:** Coca-Cola, PepsiCo, and 7UP.
- **Banking Sector:** A few top banks hold a large market share.
- **Key Concept - Cartel:** A formal type of oligopoly where firms explicitly agree to coordinate production and pricing. **OPEC** is the world's most famous cartel.

**D. Monopolistic Competition (Many Differentiated Sellers)** This is a very common real-world structure, featuring many firms competing by selling similar but not identical products.

- **Characteristics:**
  - a. **Many Firms:** A large number of sellers compete for the same customers.
  - b. **Product Differentiation:** This is the key feature. Products are perceived as different by consumers due to:
    - **Branding:** (e.g., Peak vs. Three Crowns milk)
    - **Quality:** (e.g., different grades of furniture)
    - **Design:** (e.g., different styles of clothing)
    - **Location:** (e.g., a pharmacy on a main road vs. one inside a neighborhood)
  - c. **Some Control Over Price:** Because of differentiation, a firm can raise its price slightly without losing all its customers (e.g., someone loyal to a specific hair salon).
  - d. **Low Barriers to Entry:** It is relatively easy for new firms to enter the market.
- **Examples:** Restaurants, hair salons, fashion boutiques, bakeries, and supermarkets in a city.

## Illustration 2: Comparing Market Structures

| Feature           | Perfect Competition                                                                              | Monopolistic Competition                                                                         | Oligopoly                                                                           | Monopoly                                                                                        |
|-------------------|--------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| Number of Sellers | Very Many                                                                                        | Many                                                                                             | Few                                                                                 | One                                                                                             |
| Product Nature    | Homogeneous                                                                                      | Differentiated                                                                                   | Homogeneous/Diff.                                                                   | Unique, No Subs                                                                                 |
| Barriers to Entry | None                                                                                             | Low                                                                                              | Significant                                                                         | Very High                                                                                       |
| Price Control     | None (Price Taker)                                                                               | Fast Food Outlets                                                                                | Telecoms (MTN)                                                                      | Substantial                                                                                     |
| Example           |  Tomato Market |  Tomato Market |  |  TCN (Grid) |

### 3. MARKET UNIONS: ASSOCIATIONS OF TRADERS

A **Market Union** is an association formed by traders or producers dealing in the same line of goods or services. Their primary goal is to protect and promote the economic interests of their members.

#### In-depth Functions of Market Unions:

1. **Price Stabilization and Control:** They often set minimum or uniform selling prices for goods to prevent "price wars" that could hurt all members. For example, the Yam Sellers Association may set a price floor for a heap of yams during the harvest season.

2. **Regulation of Membership and Entry:** They control who can sell in a particular market. This protects members from excessive competition but can also create monopolistic practices within the market.
3. **Collective Bargaining:** Unions act as a single voice for their members when negotiating with government agencies over taxes, levies, market fees, and regulations. The National Union of Road Transport Workers (NURTW) is a powerful example.
4. **Provision of Welfare and Financial Aid:** Many unions operate like cooperatives, providing financial assistance, loans, or support to members during emergencies, sickness, or bereavement.
5. **Information Dissemination:** They serve as a channel for communicating important information about supply sources, government policies, or new regulations to their members.
6. **Maintenance of Standards:** Some unions ensure that members adhere to certain quality and ethical standards in their dealings.
7. **Conflict Resolution:** They provide a mechanism for settling disputes among members internally.

### **Critical Analysis: The Double-Edged Sword of Market Unions**

- **Positive Impacts (Help):**
  - They provide a support system for small-scale traders.
  - They bring order and predictability to the market.
  - They can advocate for better market infrastructure from the government.
- **Negative Impacts (Harm):**
  - **They can act as Cartels:** By fixing prices and restricting entry, they can keep prices artificially high, harming consumers.
  - **Exploitation:** They can impose numerous and sometimes arbitrary levies on their own members and non-members.
  - **Violence and Intimidation:** Some unions have been associated with the use of force to enforce their rules and collect fees.

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**Evaluation:**

1. Explain two major reasons why the Nigerian cement industry is described as an oligopoly.
2. "A restaurant in Lagos operates in a monopolistically competitive market." Justify this statement using three characteristics of this market structure.
3. Differentiate between a 'Monopoly' and a 'Monopsony'.
4. "Market unions are necessary evils in the Nigerian distribution system." Present two arguments in support and two arguments against this statement.

**Assignment:**

1. Choose a product you use daily (e.g., a mobile phone, a beverage, bread). Research and write a one-page report identifying its market structure and explaining your reasoning.
  2. Investigate the Organization of the Petroleum Exporting Countries (OPEC). Explain how it functions as a global market union (cartel) and its impact on the Nigerian economy.
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## WEEK 4: MARKETING FACILITATORS – THE INVISIBLE ENGINE OF COMMERCE

**Topic:** Marketing Facilitators **Duration:** Double Period (80 Minutes) **Instructional Objectives:**  
At the end of the lesson, students should be able to:

1. Define marketing facilitators and distinguish them from merchant middlemen.
  2. Categorize and explain the roles of different types of agent middlemen.
  3. Identify and analyze the functions of ancillary service providers in the marketing chain.
  4. Evaluate the critical importance of facilitators in modern business operations.
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### *1. DEFINING MARKETING FACILITATORS: THE SUPPORTING CAST*

In a movie, the stars cannot succeed without the directors, scriptwriters, and camera crew. In the same way, the journey of a product from producer to consumer relies not just on the manufacturers and sellers, but on a crucial group of supporting actors known as **Marketing Facilitators**.

**Marketing Facilitators** are individuals or institutions that provide essential services to aid the smooth flow of goods and the completion of transactions in the marketing process. Their defining characteristic is that they **do not take title to the goods**—meaning they never own the products. They are service providers, not owners.

## Key Distinction: Facilitations vs. Merchant Middlemen

| Feature                                                                                            | Merchant Middlemen<br>(Wholesalers/Retailers)   | Marketing Facilitations                         |
|----------------------------------------------------------------------------------------------------|-------------------------------------------------|-------------------------------------------------|
| <b>Ownership</b>                                                                                   | Take TITLE to the goods<br>(Own them)           | Do NOT take title; provide<br>SERVICES          |
| <b>Risk</b>                                                                                        | Bear the risk of ownership<br>(theft, spoilage) | Bear only operational or<br>or contractual risk |
| <b>Profit Source</b>                                                                               | Profit from buying low and<br>and selling high  | Profit from fees,<br>commissions, or charges    |
| <b>Example</b>  | A supermarket buying and<br>selling sugar       | A truck company hired<br>to transport sugar     |

## 2. CATEGORIES OF MARKETING FACILITATORS

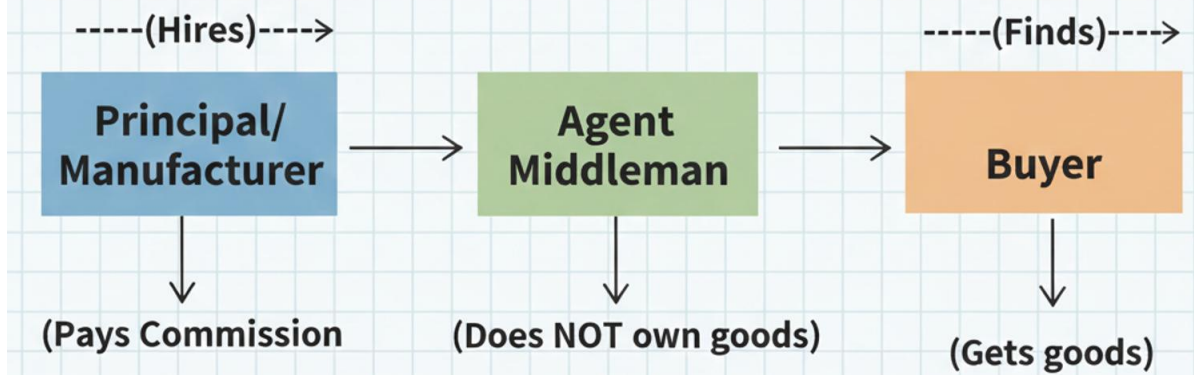
Marketing facilitators can be broadly divided into two main categories: **Agent Middlemen** and **Ancillary Service Providers**.

### A. AGENT MIDDLEMEN: THE CONNECTORS AND NEGOTIATORS

These facilitators act as representatives for the producer (the principal) in negotiating sales without taking ownership of the goods. They earn a commission on sales.



# The World of Agent Middlemen



## i. Brokers

- **Role:** Pure connectors. Their sole function is to bring buyers and sellers together.
- **Operation:** They do not handle the goods physically, store them, or get involved in delivery. They operate on a one-time or short-term basis.
- **Compensation:** Earn a **brokerage fee**.
- **Example:** A real estate agent connecting a house owner to a potential tenant. A stockbroker on the Nigerian Stock Exchange (NSE) connecting a share seller to a buyer.

## ii. Factors

- **Role:** Have possession and significant authority. They take physical delivery of the goods and sell them **in their own name** (not in the name of the principal).
- **Operation:** They have the power to set prices, offer credit terms to buyers, and are responsible for collecting payment.
- **Compensation:** Earn a commission, which is usually higher than a broker's due to the greater responsibility.

- **Example:** An agricultural factor who takes possession of a farmer's cocoa beans, stores them, and finds buyers, handling all the sales details.

### iii. Del Credere Agents

- **Role:** A specialized type of factor or agent who provides a **credit guarantee**.
- **Operation:** They guarantee to the principal that the buyer they found will pay for the goods. If the buyer defaults (fails to pay), the Del Credere agent is liable and must pay the principal.
- **Compensation:** Earn a higher **Del Credere Commission** for taking on this extra financial risk.
- **Example:** An agent who sells machinery to a new construction company. If the construction company cannot pay, the agent is responsible.

### iv. Auctioneers

- **Role:** Licensed agents who sell goods publicly to the highest bidder.
- **Operation:** They take custody of the goods and conduct an auction, encouraging competitive bidding to get the best possible price for the seller.
- **Compensation:** Earn a commission or a fixed fee.
- **Example:** An auctioneer selling off seized goods for the Nigeria Customs Service or selling artwork and antiques.

### Comparing Agent Middlemen

| Agent Type         | Handles Goods? | Sells in Own Name? | Can Grant Credit? | Key Risk/Role                             |
|--------------------|----------------|--------------------|-------------------|-------------------------------------------|
| <b>Broker</b>      | No             | No                 | No                | Connector; no risk                        |
| <b>Factor</b>      | Yes            | Yes                | Yes               | Full sales responsibility                 |
| <b>Del Credere</b> | Yes/No         | Yes/No             | Yes               | Guarantees buyer's payment (Highest risk) |
| <b>Auctioneer</b>  | Yes (Custody)  | No                 | No                | Sells to the highest bidder               |

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## ***B. ANCILLARY SERVICE PROVIDERS: THE INFRASTRUCTURE EXPERTS***

These are institutions that provide specialized services that support the entire marketing process without being directly involved in the negotiation of sales.

### **i. Financial Facilitators**

- **Banks:** (e.g., FirstBank, Zenith Bank) Provide crucial working capital loans for businesses to buy inventory, finance exports/imports, and manage cash flow.
- **Insurance Companies:** (e.g., Leadway Assurance, AIICO Insurance) Mitigate risk by providing cover against fire, theft, damage in transit, and other losses. This makes business possible despite uncertainties.
- **FinTech Companies:** (e.g., Paystack, Flutterwave) Facilitate seamless digital payments, which is the backbone of e-commerce.

### **ii. Logistical & Physical Distribution Facilitators**

- **Transport Companies:** (e.g., DHL, local haulage firms) Physically move goods from one point to another.
- **Warehousing Companies:** Provide storage facilities, including public and cold storage warehouses.
- **Courier Services:** (e.g., GIG Logistics, DHL Express) Handle small parcel deliveries quickly and reliably.

### **iii. Informational & Promotional Facilitators**

- **Advertising Agencies:** Create and place advertisements to build brand awareness and persuade customers. They have expertise in media buying and creative design.
- **Public Relations (PR) Firms:** Manage the public image and reputation of a company.
- **Market Research Agencies:** Gather and analyze data about market trends, consumer preferences, and competitor activity to guide business decisions.

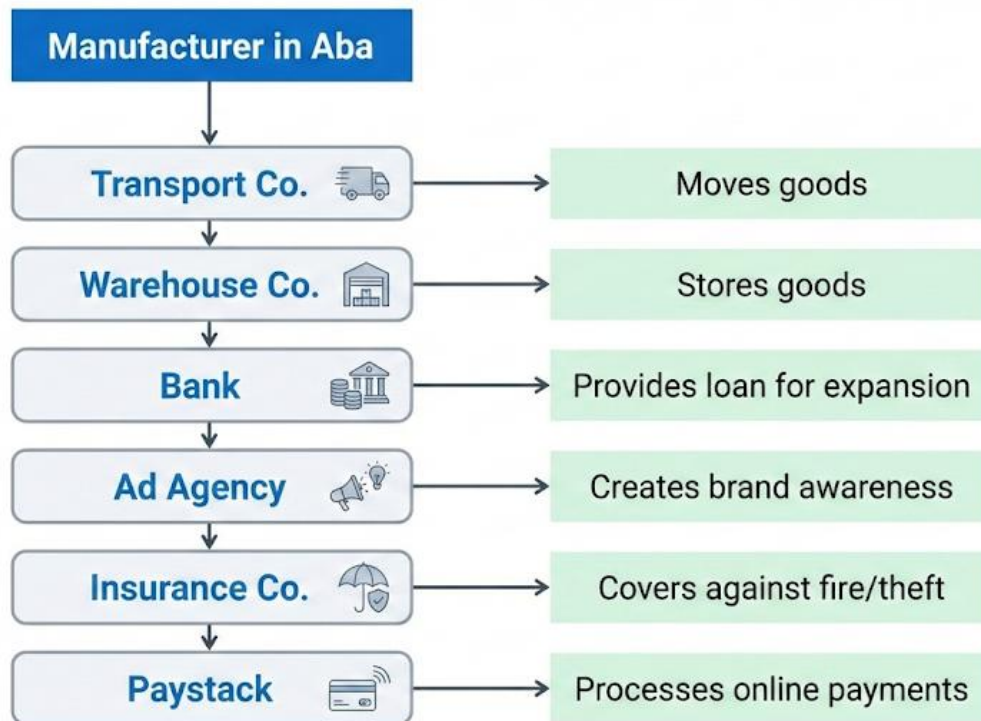
### **iv. Regulatory & Standardization Bodies**

- **Standards Organisation of Nigeria (SON):** Ensures products meet quality and safety standards, building consumer trust.
  - **Advertising Practitioners Council of Nigeria (APCON):** Regulates advertising practices to ensure they are ethical, truthful, and decent.
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### ***3. THE CRITICAL IMPORTANCE OF FACILITATORS***

1. **Specialization and Expertise:** Facilitators are specialists. A company can focus on its core strength (e.g., manufacturing) and outsource logistics to a transport specialist or marketing to an ad agency.
2. **Cost Efficiency (Economies of Scale):** It is cheaper for a small business to pay for warehouse space in a public warehouse than to build its own. A logistics company can combine shipments from multiple clients to reduce costs for everyone.
3. **Risk Reduction:** Insurance companies absorb massive risks that would be catastrophic for a single business. Del Credere agents absorb credit risk.
4. **Market Expansion:** Facilitators like transporters, banks, and online payment gateways enable businesses to reach customers in geographically distant locations, both nationally and internationally.
5. **Enhanced Efficiency:** The entire marketing system runs more smoothly, faster, and more reliably because of the specialized services provided by facilitators.

#### **The Facilitator Ecosystem in a Single Product's Journey**



#### Evaluation:

1. "A Del Credere agent is a risk-bearing facilitator." Explain this statement.
2. Differentiate between a Factor and a Broker using three clear points.
3. List three non-human (institutional) facilitators and state one function of each.
4. Why might a small business prefer to use a public warehouse and a hired transport company instead of building its own warehouse and buying its own trucks?

#### Assignment:

1. **Case Study Analysis:** Choose a well-known Nigerian company (e.g., Dangote Group, Jumia, or a local business in your community). Research and write a one-page report identifying at least FIVE different marketing facilitators they likely use and explain the specific role each one plays in their business.
2. **Creative Task:** You are starting a business to sell handmade Nigerian leather bags online. Create a list of the marketing facilitators you would need to hire to ensure your business runs successfully, and briefly state why you need each one.

## WEEK 6: MARKETING OF MINERAL PRODUCTS

**Topic:** Marketing of Mineral Products

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define mineral products and analyze their unique characteristics.
2. Explain the concept of derived demand in the context of mineral products.
3. Apply the marketing mix (4Ps) to mineral products, with specific examples.
4. Evaluate the critical problems facing the marketing of mineral products in Nigeria.
5. Identify key government agencies involved in the sector.

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### 1. NATURE AND CHARACTERISTICS OF MINERAL PRODUCTS

Mineral products are naturally occurring, inorganic substances extracted from the earth through mining or drilling. Unlike agricultural products, they are **extractive**. Nigeria is endowed with a wealth of these resources, which form the backbone of the national economy.

**Categories of Mineral Products in Nigeria:**

- **Hydrocarbons (Energy Minerals):** Crude Oil, Natural Gas, Bitumen.
- **Metallic Minerals:** Iron Ore, Gold, Tin, Lead, Zinc.
- **Non-Metallic/Industrial Minerals:** Limestone (for cement), Coal, Gypsum, Kaolin, Barite.

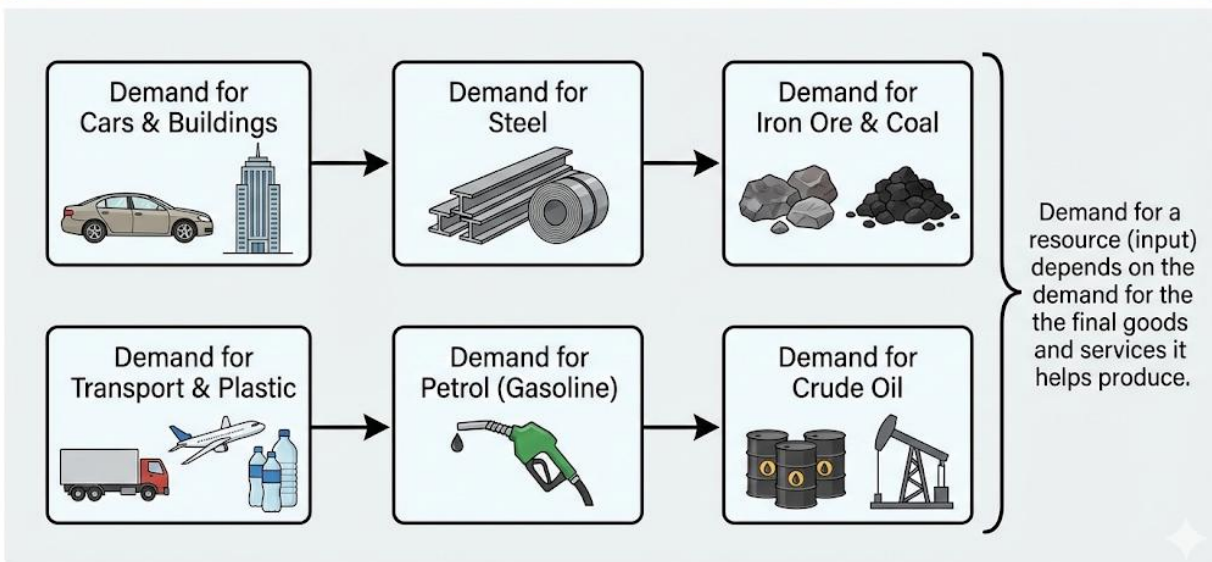
**Unique Characteristics of Mineral Products:**

1. **Non-Renewable (Depletable):** Once extracted and used, they cannot be replaced within a human timescale. This creates a need for sustainable management and revenue diversification.
2. **Location-Specific (Immobile):** They are found only where geological conditions permit. This influences infrastructure development and can lead to regional wealth disparities (e.g., the Niger Delta).



3. **Fluctuating and Variable Quality:** The quality and grade can vary significantly from one deposit to another. For example, Nigeria's **Bonny Light** crude oil is a high-grade, "sweet" crude that is highly sought after, while other types are "heavier" and less valuable.
4. **Bulkiness and Low Value-to-Weight Ratio (for some):** Many minerals (like coal and limestone) are heavy and costly to transport relative to their value, making proximity to processing plants crucial.
5. **Derived Demand:** This is a fundamental concept. The demand for mineral products is not direct; it is *derived* from the demand for the final products they help create.
  - **Example:** The demand for **crude oil** is derived from the global demand for petrol, diesel, plastics, and fertilizers. The demand for **iron ore** is derived from the demand for steel, which is used in construction and car manufacturing.

### The Concept of Derived Demand



## 2. THE MARKETING MIX (4PS) FOR MINERAL PRODUCTS

Marketing minerals is fundamentally different from marketing consumer goods like soap or soft drinks. It is primarily **Business-to-Business (B2B)** and operates on a global scale.

### A. PRODUCT

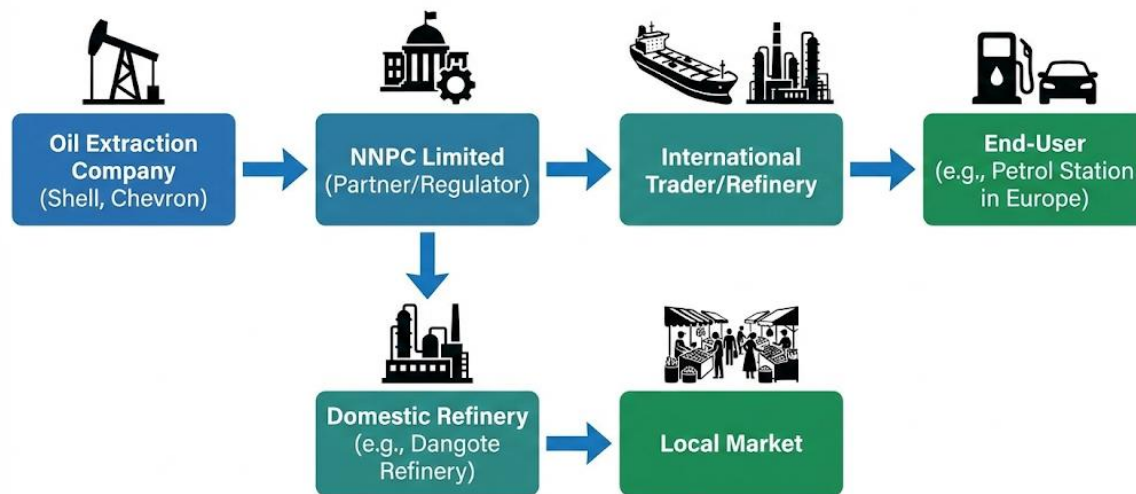
- **Core Product:** The raw or semi-processed mineral itself (e.g., crude oil, unrefined gold).

- **Standardization and Grading:** Products are strictly classified by internationally accepted grades and specifications. For oil, this includes API gravity (light/heavy) and sulphur content (sweet/sour). This standardization is crucial for pricing and trading on global commodity exchanges.
- **Limited Product Differentiation:** It is difficult to differentiate a barrel of Bonny Light crude from another barrel of the same grade. Competition is based more on reliability of supply, price, and contractual terms than on brand.

## **B. PRICE**

- **Global Price Determination:** Prices are largely determined by global supply and demand forces, not by individual producers.
- **Role of Cartels:** Cartels like the **Organization of the Petroleum Exporting Countries (OPEC+)** influence prices by setting production quotas for member countries, thereby manipulating global supply.
- **Contract-Based Pricing:** Many large deals are made through long-term contracts with prices linked to global benchmarks (e.g., Brent Crude price).
- **Government Influence:** In Nigeria, the government, through the **NNPC Limited**, plays a major role in price setting and regulation, especially for the domestic market.

**C. PLACE (DISTRIBUTION CHANNELS)** Distribution requires massive, capital-intensive infrastructure. The channel is typically very short and direct.



*Illustration: Simplified Distribution Channel*

- **Key Infrastructure:** The channel relies on **pipelines, supertankers, and rail networks** for movement. The lack of functional domestic refineries has historically forced Nigeria to export crude oil and import refined petroleum products, a major inefficiency.

#### D. PROMOTION

- **Minimal Mass Advertising:** You will not see an advertisement for "Nigeria's Premium Crude Oil" on television. Promotion is highly specialized.
- **Key Promotional Tools:**
  - **Bilateral Agreements:** Government-to-government deals.
  - **International Trade Fairs and Exhibitions:** Showcasing mining opportunities to foreign investors.
  - **Public Relations:** Managing the country's image as a reliable and stable supplier.
  - **Relationship Marketing:** Building long-term, trust-based relationships with major international buyers and partners.

### **3. PROBLEMS IN THE MARKETING OF MINERAL PRODUCTS IN NIGERIA**

1. **The "Resource Curse" (Dutch Disease):** Over-dependence on oil revenues has led to the neglect of other sectors like agriculture and manufacturing, making the economy vulnerable to global oil price shocks.
2. **Infrastructure Decay and Vandalism:**
  - **Oil Sector:** Pipeline vandalism, illegal bunkering, and oil theft lead to massive revenue losses and environmental damage. For example, the Forcados export terminal is frequently shut down due to sabotage.
  - **Solid Minerals:** Poor road networks and lack of rail links to mining sites increase transport costs.
3. **Price Volatility:** Sudden crashes in global commodity prices (as seen in 2014-2016 and 2020) can cripple the national budget and lead to economic recessions.
4. **Illegal Mining and Smuggling:** Rampant illegal mining of gold, tin, and other solid minerals leads to revenue loss for the government and funds criminal and insurgent activities.
5. **Environmental Degradation and Community Relations:** Oil spills in the Niger Delta and open-pit mining have destroyed farmland and aquatic life, leading to social unrest, lawsuits, and a poor international image. Effective **Corporate Social Responsibility (CSR)** is often lacking.
6. **Policy Instability and Regulatory Overlap:** Frequent changes in mining laws and conflicts between federal, state, and local communities over mining rights create uncertainty for investors.

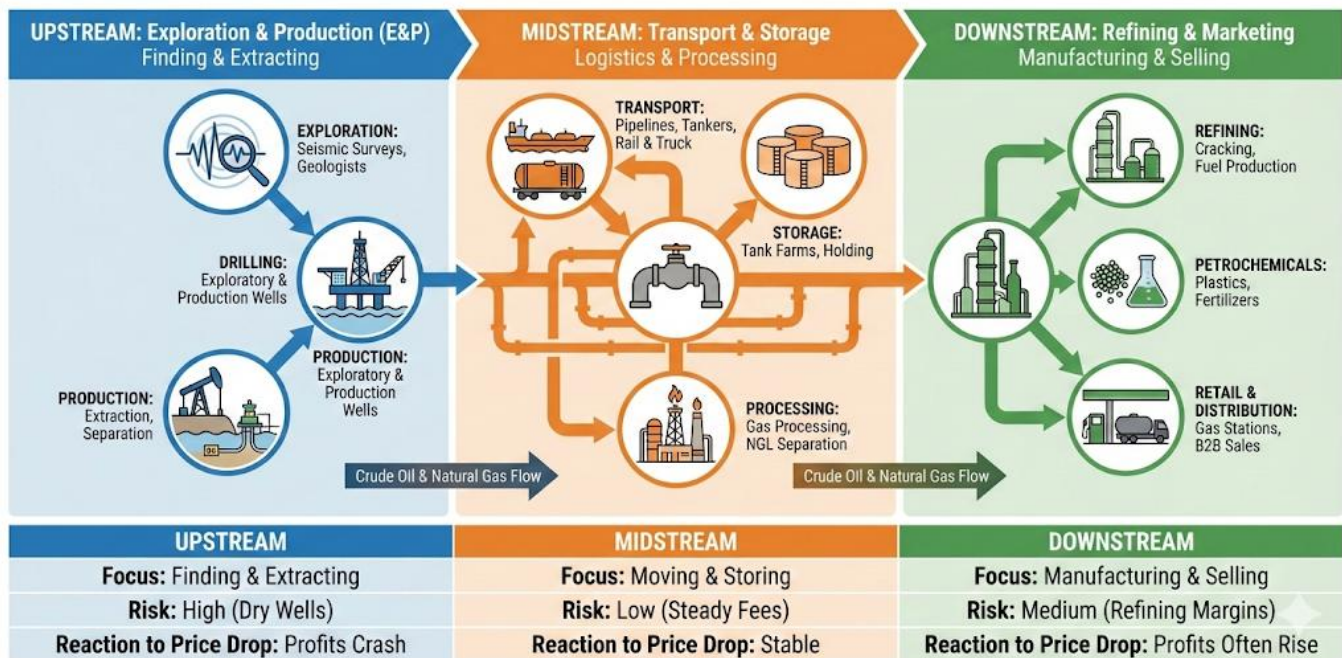
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### **4. KEY GOVERNMENT AGENCIES AND TERMINOLOGY**

- **NNPC Limited:** The national oil company involved in the exploration, refining, and distribution of petroleum products.
- **Department of Petroleum Resources (DPR):** The regulatory agency for the oil and gas industry (now transitioning to the Nigerian Upstream Petroleum Regulatory Commission - NUPRC).

- **Ministry of Mines and Steel Development:** Oversees the development of the solid minerals sector.
- **Nigeria Extractive Industries Transparency Initiative (NEITI):** Promotes transparency and accountability in the management of extractive industry revenues.
- **Upstream vs. Downstream Sectors:**
  - **Upstream:** The exploration and production phase (finding and extracting oil and gas).
  - **Downstream:** The refining, distribution, and marketing of the final products

## THE OIL AND GAS VALUE CHAIN



(petrol, kerosene, etc.).

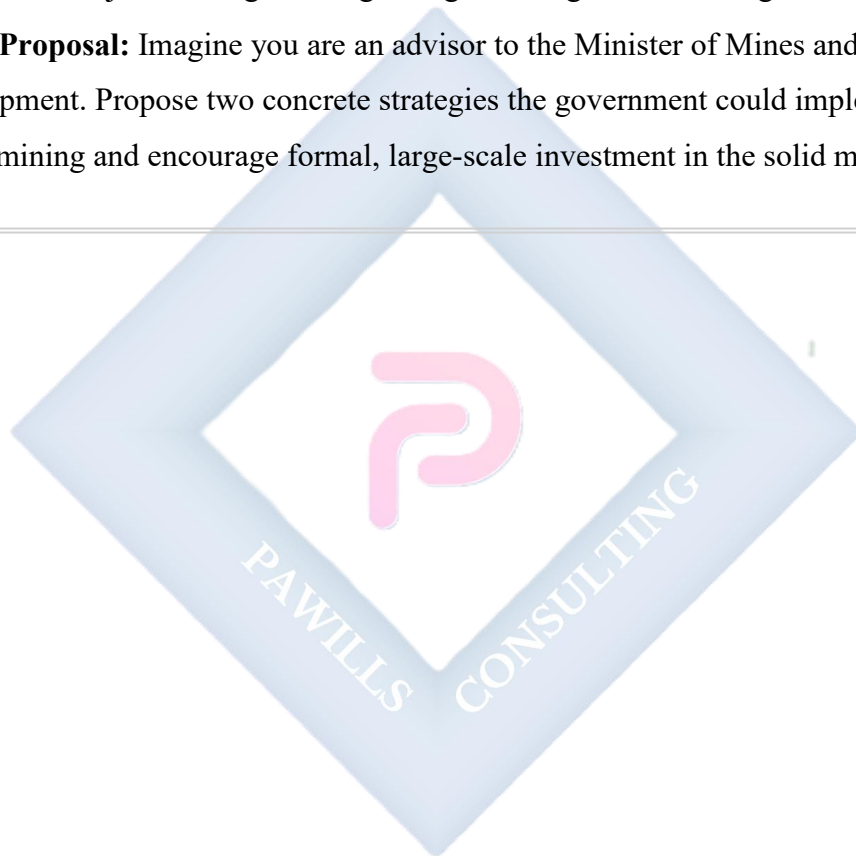
### Evaluation:

1. Explain the term "derived demand" using crude oil as an example.
2. Why is the promotion of mineral products like crude oil different from the promotion of a new soft drink?
3. Identify three major problems caused by pipeline vandalism in the Niger Delta.

4. What is the primary function of OPEC in the global oil market?

**Assignment:**

1. **Research Project:** Choose ONE solid mineral found in Nigeria (e.g., Gold, Limestone, Bitumen). Investigate and write a brief report on:
    - Its primary locations in Nigeria.
    - Its main uses and end-products.
    - Two major challenges facing its legal mining and marketing.
  2. **Policy Proposal:** Imagine you are an advisor to the Minister of Mines and Steel Development. Propose two concrete strategies the government could implement to reduce illegal mining and encourage formal, large-scale investment in the solid minerals sector.
- 





## WEEK 8: INTERNATIONAL MARKETING – CONNECTING NIGERIA TO THE WORLD

**Topic:** International Marketing **Duration:** Double Period (80 Minutes) **Instructional**

**Objectives:** At the end of the lesson, students should be able to:

1. Define international marketing and differentiate it from domestic marketing.
2. Analyze the key reasons why businesses expand internationally.
3. Evaluate the complex challenges and barriers faced in international trade.
4. Explain the concept of the international marketing environment (PESTEL factors).

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### *1. THE CONCEPT AND EXPANDED SCOPE OF INTERNATIONAL MARKETING*

**International Marketing** is the performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit.

In essence, it is **marketing across national borders**. It involves recognizing that the world is a single, interconnected marketplace, but one made up of vastly different cultures, laws, and economic systems.

#### **Key Differences Between Domestic and International Marketing:**

| Feature            | Domestic Marketing                                | International Marketing                                              |
|--------------------|---------------------------------------------------|----------------------------------------------------------------------|
| <b>Scope</b>       | Single country                                    | Multiple countries                                                   |
| <b>Environment</b> | Relatively uniform (same language, culture, laws) | Diverse and complex (different languages, cultures, laws, economies) |
| <b>Risk</b>        | Lower (familiar business terrain)                 | Higher (currency risk, political risk, cultural misunderstandings)   |
| <b>Control</b>     | Easier to manage operations                       | More difficult due to distance and different time zones              |

| Feature         | Domestic Marketing                  | International Marketing                                |
|-----------------|-------------------------------------|--------------------------------------------------------|
| <b>Research</b> | Simpler and cheaper data collection | Complex, expensive, and requires specialized knowledge |

### Levels of International Marketing Involvement:

1. **Exporting:** Selling surplus production abroad (lowest involvement).
2. **International Company:** Treats each foreign market as a separate entity and adapts its strategies accordingly.
3. **Multinational Company (MNC):** Has a significant presence in many countries, with decentralized management (e.g., Nestlé, Unilever).
4. **Global Company:** Views the entire world as a single market and standardizes its products and strategies where possible to achieve economies of scale (e.g., Apple, Coca-Cola).

## 2. COMPELLING REASONS FOR GOING INTERNATIONAL

Businesses do not venture abroad merely for adventure; they are driven by strategic imperatives.

### A. Proactive Motivators (Aggressive Drivers):

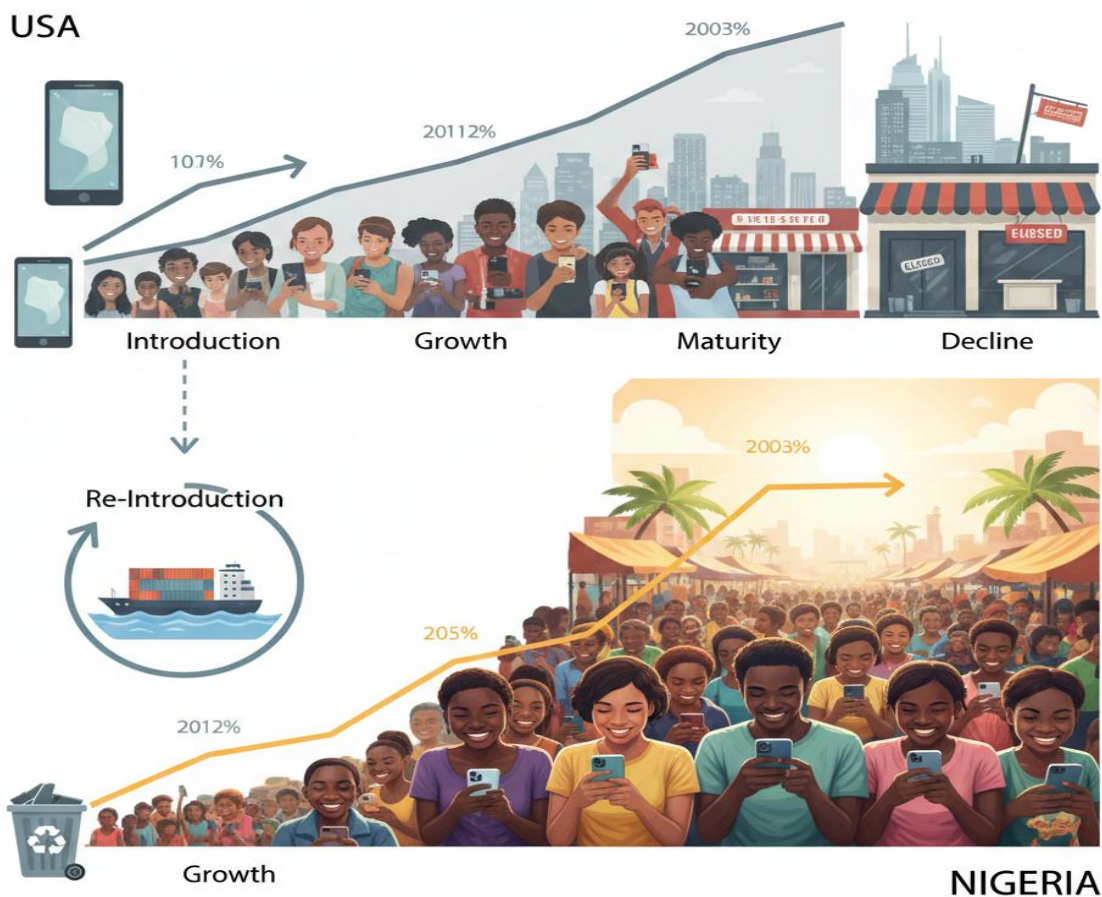
1. **Profit and Growth Ambition:** The desire to increase sales and profits by tapping into larger, sometimes untapped, markets.
2. **Economies of Scale:** Producing in larger volumes for a global market reduces the cost per unit, making the business more competitive.
3. **Unique Product or Technological Advantage:** A company with a superior product may find that international markets offer the greatest opportunity (e.g., a Nigerian fashion brand with unique Ankara designs).
4. **Extension of Product Life Cycle:** A product that is in the "decline" stage in a domestic market might be introduced as a "new" product in a developing country, thus extending its profitability.

### B. Reactive Motivators (Defensive Drivers):

1. **Saturation of Domestic Market:** When the local market is full of competitors and growth stagnates, firms look overseas for new customers. This is a major push for many Nigerian companies.
2. **Competitive Pressures:** If a company's main rivals are going global, it may be forced to follow to maintain its competitive position.
3. **Excess Production Capacity:** If a factory is not operating at full capacity, exporting can be a way to utilize idle resources and improve profitability.
4. **Proximity to International Customers:** A company in Seme Border near Benin Republic may naturally start exporting there due to proximity.

### The Product Life Cycle Extension

#### GLOBAL PRODUCT LIFE CYCLE: USA to NIGERIA



### ***3. THE CHALLENGES AND BARRIERS IN INTERNATIONAL MARKETING***

Expanding internationally is fraught with obstacles that require careful planning to overcome. These can be analyzed using the **PESTEL Framework**.

#### **A. Political and Legal Barriers:**

- **Tariffs:** Taxes imposed by a government on imported goods to make them more expensive and protect local industries. (e.g., Nigeria's tariffs on imported rice to encourage local production).
- **Quotas:** A physical limit on the quantity of a good that can be imported during a specific period.
- **Embargoes:** A complete ban on the import or export of goods to or from a specific country for political reasons (e.g., international embargoes on North Korea).
- **Complex Regulations:** Differing laws on product safety, labeling, packaging, and environmental standards can be a major hurdle.

#### **B. Economic Barriers:**

- **Currency Fluctuation (Exchange Rate Risk):** The value of currencies changes daily. A Nigerian exporter who agrees to a price in US Dollars may receive fewer Naira than expected if the Naira depreciates before payment is made.
- **Differences in Income Levels:** Marketing strategies must adapt to the purchasing power of the target market. Selling a luxury car in a low-income country requires a different approach.
- **Infrastructure Disparities:** Lack of reliable roads, electricity, or banking systems in the target country can disrupt distribution and operations.

#### **C. Social and Cultural Barriers:**

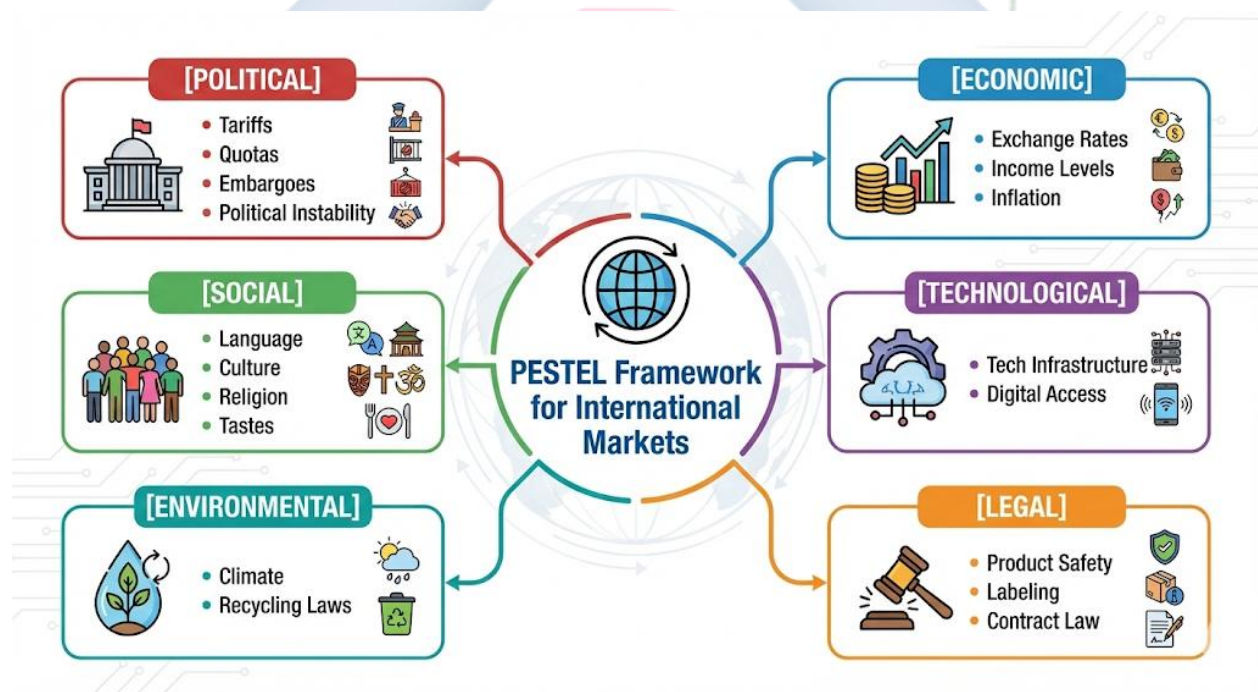
- **Language:** Brand names and slogans can have unintended meanings. Chevrolet's "Nova" car famously translated to "no go" in Spanish.
- **Values and Customs:** Colors, symbols, and gestures have different meanings. The "thumbs-up" sign is offensive in parts of the Middle East.

- **Tastes and Preferences:** Selling beef products in India (where the cow is sacred) or pork in Saudi Arabia would be a failure. A food company must adapt its recipe to local palates.
- **Religion:** Religious holidays and dietary laws (e.g., Halal, Kosher) significantly impact marketing timing and product formulation.

#### D. Technological and Environmental Barriers:

- **Different Technical Standards:** Electrical appliances must be compatible with local voltage and plug types.
- **Digital Divide:** E-commerce strategies that work in a highly connected country may fail in a region with low internet penetration.
- **Environmental Regulations:** Strict laws on packaging waste or carbon emissions can affect product design and cost.

#### The PESTEL Framework for International Markets





#### 4. THE ROLE OF GOVERNMENT AND INTERNATIONAL INSTITUTIONS

- **World Trade Organization (WTO):** A global international organization dealing with the rules of trade between nations. Its goal is to help producers of goods and services, exporters, and importers conduct their business by reducing trade barriers.
- **Nigeria Export Promotion Council (NEPC):** The federal government agency dedicated to promoting the development and diversification of Nigeria's non-oil exports.
- **Nigerian Export-Import Bank (NEXIM):** Provides financing, risk-bearing, and trade information services to support Nigerian exporters.
- **Africa Continental Free Trade Area (AfCFTA):** A landmark agreement creating a single market for goods and services across 54 African countries. It aims to boost intra-African trade by reducing tariffs and other barriers, presenting a massive opportunity for Nigerian businesses.

**Case Study: Walmart's Failure in Germany** Walmart, a retail giant, failed in Germany because it ignored the PESTEL environment. It imposed American corporate culture on German employees, struggled with union laws (Political/Legal), and failed to understand that German consumers preferred discounters like Aldi and Lidl over Walmart's "everyday low price" model, which was not the lowest. They also disliked the friendly greeters at the door, finding it insincere (Social/Cultural).

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#### Evaluation:

1. Using a practical example, differentiate between a *tariff* and a *quota*.
2. Explain how "currency fluctuation" poses a financial risk to a Nigerian exporter.
3. "Cultural barriers are often more difficult to overcome than tariff barriers." Do you agree? Justify your answer with two reasons.
4. How can the AfCFTA agreement benefit a small Nigerian business producing handmade shoes?

#### Assignment:



1. **Market Entry Analysis:** Choose a Nigerian product (e.g., Dangote Cement, Indomie Noodles, a local music artist). Select a foreign country and write a one-page report identifying the **two biggest PESTEL challenges** this product would face when entering that market and propose a solution for each.
  2. **Cultural Sensitivity Exercise:** Find a well-known example of a brand that failed in an international market due to a cultural blunder (like Walmart in Germany). Research and summarize what the company did wrong and what they should have done instead.
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## WEEK 9: ORGANIZING FOR INTERNATIONAL MARKETING – STRATEGIES AND STRUCTURES FOR GLOBAL SUCCESS

**Topic:** Organizing for International Marketing **Duration:** Double Period (80 Minutes)

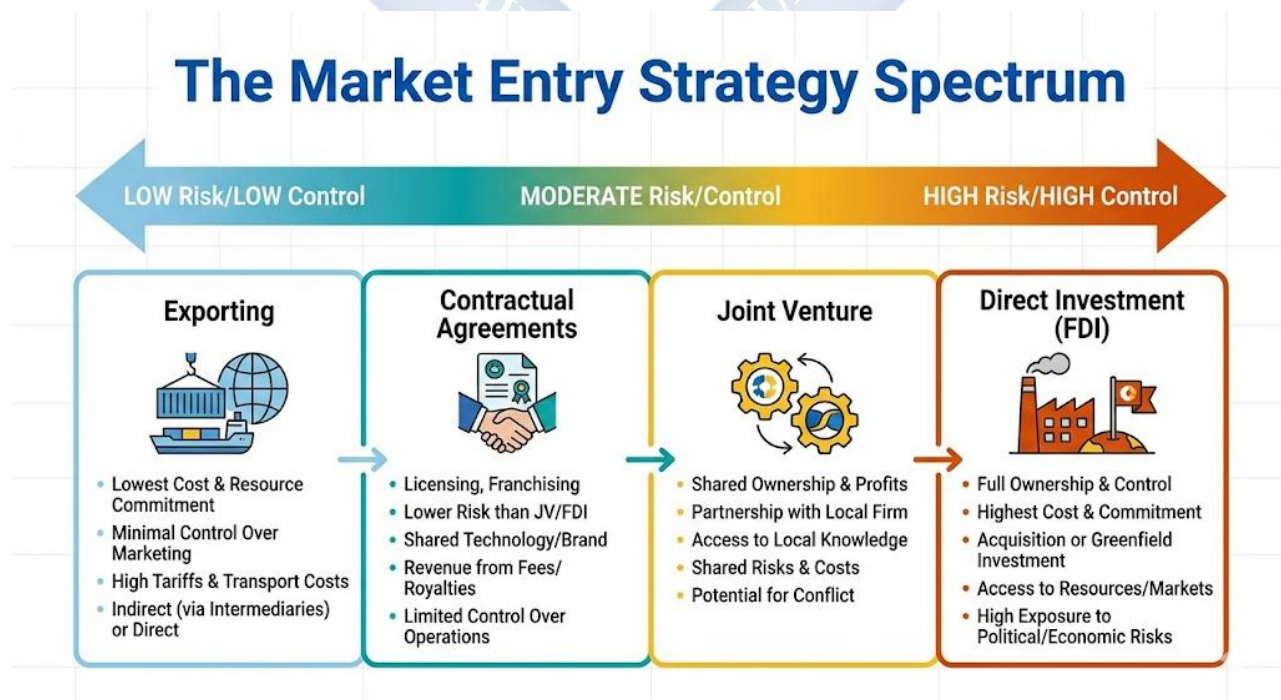
**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Analyze and compare the five main market entry strategies, evaluating their levels of risk, control, and investment.
2. Differentiate between global, multidomestic, and transnational marketing strategies.
3. Identify and explain organizational structures suitable for international operations.
4. Evaluate the roles of key Nigerian government agencies in facilitating international marketing.

### 1. MARKET ENTRY STRATEGIES: THE HIERARCHY OF COMMITMENT

Choosing how to enter a foreign market is one of the most critical strategic decisions a company can make. The options represent a spectrum from low risk/low control to high risk/high control.

#### The Market Entry Strategy Spectrum



**A. Exporting (The First Step)** This is the simplest and most common way to begin international marketing. The product is manufactured in the home country and then sold abroad.

- **i. Indirect Exporting:**

- **How it works:** The company uses intermediaries *in its own country* to handle the export process. These can be **Export Merchants** (who buy your goods and sell them abroad) or **Export Agents** (who find foreign buyers for a commission).
- **Advantages:** Least risky, requires no international expertise, low investment.
- **Disadvantages:** Least control over how the product is marketed and sold abroad; lower profit margins.
- **Example:** A Nigerian shea butter producer sells a large batch to a trading company in Lagos, which then exports it to Europe.

- **ii. Direct Exporting:**

- **How it works:** The company handles the export process itself, dealing directly with buyers, distributors, or agents *in the foreign market*.
- **Advantages:** Greater control over the process, closer relationship with the foreign market, higher profit potential.
- **Disadvantages:** Higher risk and resource requirement than indirect exporting; requires understanding of export documentation and logistics.
- **Example:** The same shea butter producer partners directly with a cosmetic chain in the UK, handling all shipping and customs paperwork.

**B. Contractual Agreements (Partnerships without Equity)** The firm enters a legal contract to provide something of value to a foreign company in return for royalties or fees.

- **i. Licensing:**

- **How it works:** A company (the licensor) grants a foreign company (the licensee) the right to use its intellectual property (e.g., patent, trademark, technology, brand name) for a fee (royalty).
- **Advantages:** Low investment, quick market entry, circumvents trade barriers.

- **Disadvantages:** Risk of the licensee becoming a future competitor; less control over product quality and marketing.
- **Example:** A Nigerian software company licenses its e-learning platform to a South African university.
- **ii. Franchising:**
  - **How it works:** A specialized form of licensing where the franchisor grants the franchisee the right to do business under its name in a prescribed manner. The franchisor provides a complete business system, marketing strategy, and ongoing support.
  - **Advantages:** Rapid expansion with minimal capital investment; franchisees are highly motivated as owner-operators.
  - **Disadvantages:** Requires strong, standardized brand; difficult to maintain quality control across many franchisees.
  - **Example:** A Nigerian restaurant chain like "Sweet Kiwi" franchising its brand and operating model to entrepreneurs in Ghana.

### C. Joint Venture (Shared Ownership)

- **How it works:** A company partners with a local firm in the foreign country to create a new, jointly-owned entity. Both partners share investment, ownership, control, and profits.
- **Advantages:** Access to the local partner's knowledge, distribution channels, and government contacts; shared costs and risks.
- **Disadvantages:** Risk of conflicts with partners over goals, strategies, and control; less profit than sole ownership.
- **Example:** Dangote Group forming a joint venture with a Chinese construction company to build and operate a cement plant in Kenya.

### D. Direct Investment (Full Ownership & Control)

- **How it works:** The company invests directly by establishing its own manufacturing facilities, subsidiaries, or acquisitions in the foreign country. This is also known as **Foreign Direct Investment (FDI)**.
- **Advantages:** Maximum control over operations; protects technology and expertise; qualifies for potential local government incentives.
- **Disadvantages:** Highest level of risk and financial commitment; most vulnerable to political and economic instability in the host country.
- **Example:** Jumia, while pan-African, establishes its own fully-owned warehouses and offices in each country it operates.

### Comparing Market Entry Strategies

| Strategy              | Level of Control | Level of Risk | Investment Required | Best For...                               |
|-----------------------|------------------|---------------|---------------------|-------------------------------------------|
| Indirect Export       | Very Low         | Very Low      | Low                 | Small businesses testing the waters       |
| Direct Export         | Low-Moderate     | Low-Moderate  | Low-Moderate        | Companies ready to engage directly        |
| Licensing/Franchising | Moderate         | Moderate      | Low                 | Strong brands & business models           |
| Joint Venture         | Moderate-High    | High          | High                | Complex markets, sharing resources        |
| Direct Investment     | Very High        | Very High     | Very High           | Large MNCs with deep pockets & experience |

## ***2. INTERNATIONAL MARKETING STRATEGIES: STANDARDIZATION VS. ADAPTATION***

Once a company has entered a market, it must decide on its strategic approach.

- **Global Strategy (Standardization):** Marketing a product in the same way everywhere in the world. Assumes consumer needs are universal.
  - *Example:* Coca-Cola, Apple iPhone.
- **Multidomestic Strategy (Adaptation):** Adjusting the marketing mix (product, price, promotion, place) to suit each local market's unique needs.
  - *Example:* McDonald's offering vegetarian burgers in India and rice dishes in Nigeria.
- **Transnational Strategy (Glocalization):** A hybrid approach. The company seeks global efficiency but remains responsive to local markets. The core brand is standardized, but execution is localized.
  - *Example:* A Nigerian fashion brand uses its signature Ankara prints (global standard) but creates different clothing styles (e.g., abayas for the Middle East, dresses for Europe) to suit local tastes (local adaptation).

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## ***3. ORGANIZATIONAL STRUCTURES FOR INTERNATIONAL OPERATIONS***

As a company's international sales grow, its internal structure must evolve.

1. **Export Department:** A small unit within the domestic sales department. Suitable for beginner exporters.
2. **International Division:** A separate division with its own staff (marketing, finance, logistics) to handle all foreign operations. Common for companies with significant international sales.
3. **Global Organizational Structures:**
  - **Geographical Structure:** The world is divided into regions (e.g., VP of North America, VP of Europe, VP of Africa). Ideal when consumer needs vary significantly by region.



- **Product Structure:** Global managers are responsible for specific product lines worldwide (e.g., Global Manager for Beverages, Global Manager for Snacks). Best for companies with diverse, unrelated products.
  - **Matrix Structure:** A complex structure where employees report to both a product manager and a geographical manager. Balances global product focus with local market responsiveness.
- 

#### ***4. THE ROLE OF NIGERIAN GOVERNMENT AGENCIES***

The Nigerian government provides crucial support to companies looking to "export Naija to the world."

- **Nigerian Export Promotion Council (NEPC):**
  - **Primary Function:** To promote the development and diversification of Nigeria's non-oil exports.
  - **Services:** Organizes trade fairs, provides market intelligence, and offers training for exporters on standards and packaging.
- **Nigerian Export-Import Bank (NEXIM Bank):**
  - **Primary Function:** To provide financing, risk-bearing, and trade information services.
  - **Services:** Offers loans to exporters, provides credit insurance against the risk of non-payment by foreign buyers, and gives guarantees to commercial banks to support export-oriented businesses.
- **Standards Organisation of Nigeria (SON):**
  - **Role:** Ensures that Nigerian exports meet international quality and safety standards, which is critical for gaining acceptance in foreign markets.
- **Nigeria Customs Service (NCS):**
  - **Role:** Regulates and facilitates the movement of goods across Nigerian borders, handling export documentation and clearance.

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**Evaluation:**

1. A small Nigerian company making high-quality leather bags wants to enter the East African market but has limited capital. Which market entry strategy would you recommend? Justify your answer.
2. Differentiate between *Licensing* and *Franchising* with a clear example for each.
3. Explain one major advantage and one major disadvantage of a *Joint Venture*.
4. How does NEXIM Bank help to reduce the financial risk for a Nigerian exporter?

**Assignment: Strategic Business Plan:** You are the Marketing Director for "Naija Delights," a company that produces packaged spicy plantain chips. You have decided to expand into the United Kingdom.

1. **Market Entry:** Recommend ONE market entry strategy for your first year. Explain *why* this strategy is the most appropriate, considering your size and resources.
  2. **Marketing Strategy:** Will you use a *Global* (Standardized) or *Multidomestic* (Adapted) marketing strategy? Justify your choice. Suggest one possible adaptation you might make to the product or its promotion for the UK market.
  3. **Government Support:** Identify two Nigerian government agencies you would approach for assistance and state what specific help you would request from each.
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# WEEK 10: APPLICATION OF ICT IN INTERNATIONAL MARKETING – THE DIGITAL BRIDGE TO GLOBAL MARKETS

**Topic:** Application of ICT in International Marketing **Duration:** Double Period (80 Minutes)

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Analyze how ICT has transformed traditional international marketing.
2. Evaluate key digital marketing tools and their specific applications in a global context.
3. Explain how electronic payment systems facilitate cross-border e-commerce.
4. Develop a basic digital marketing plan for a Nigerian product targeting an international audience.

## 1. THE DIGITAL REVOLUTION: SHRINKING THE GLOBAL MARKETPLACE

Information and Communication Technology (ICT) refers to the infrastructure and components that enable modern computing, including the internet, wireless networks, social media, and mobile devices. In international marketing, ICT has acted as a powerful force, turning the world into a "**Global Village**" where geographical distance is no longer a primary barrier to trade.

### The ICT Transformation: From Traditional to Digital International Marketing:

| Traditional International Marketing                                                       | ICT-Enabled International Marketing                                                            |
|-------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>High Cost:</b> Physical travel, international phone calls, setting up foreign offices. | <b>Low Cost:</b> Video conferencing (Zoom), VoIP (WhatsApp/Skype), digital storefronts.        |
| <b>Slow Speed:</b> Weeks for communication and shipping.                                  | <b>Real-Time:</b> Instant communication, digital product delivery (e-books, software).         |
| <b>Limited Reach:</b> Primarily large corporations with vast resources.                   | <b>Global Reach:</b> A micro-business in Aba can sell to a customer in Alabama.                |
| <b>High Barriers:</b> Reliance on intermediaries, complex export                          | <b>Reduced Barriers:</b> E-commerce platforms and digital marketing lower the entry threshold. |

|                                     |                                     |
|-------------------------------------|-------------------------------------|
| Traditional International Marketing | ICT-Enabled International Marketing |
| documentation.                      |                                     |

### Core Concept: E-commerce vs. E-business

- **E-commerce:** The **buying and selling** of goods and services over the internet. This is the *transactional* component.
- **E-business:** A broader term that includes e-commerce but also covers all **business processes** conducted online (e.g., customer service, supply chain management, collaboration with partners). E-commerce is a subset of e-business.

## 2. KEY ICT TOOLS IN INTERNATIONAL MARKETING

**A. The Internet and World Wide Web: The Foundation** The internet is the fundamental platform upon which all digital marketing is built. It provides:

- **A Global Storefront:** A website is your business's 24/7 presence in every country.
- **Information Repository:** Detailed product information, FAQs, and brand stories are instantly accessible.
- **Communication Channel:** Email, live chat, and contact forms enable direct customer interaction.

**B. E-commerce Platforms: The Digital Marketplace** These are the engines of online trade. They can be categorized as:

- **Business-to-Business (B2B):** Alibaba, TradeKey. A Nigerian sesame seed exporter can connect with international food processing companies.
- **Business-to-Consumer (B2C):** Amazon, Jumia, Konga. A Nigerian fashion designer sells directly to consumers worldwide.
- **Consumer-to-Consumer (C2C):** eBay, Jiji, Facebook Marketplace. Individuals sell to other individuals.

**C. Social Media Marketing: The Engagement Engine** Social media platforms are not just for socializing; they are powerful marketing tools for:

- **Brand Building:** Creating a recognizable and trusted identity (e.g., @innosonvehicles on Instagram).
- **Targeted Advertising:** Using platform data to show ads to specific demographics (age, location, interests) in other countries.
- **Customer Engagement:** Building a community, getting feedback, and providing customer service.
- **Influencer Partnerships:** Collaborating with popular social media personalities in a target country to promote your product.

#### Choosing the Right Social Media Platform

| Platform  | Primary Audience & Use Case for a Nigerian Business                                                                         |
|-----------|-----------------------------------------------------------------------------------------------------------------------------|
| Facebook  | Broad demographics; ideal for brand awareness, building community through groups, and targeted advertising.                 |
| Instagram | Highly visual, younger audience; perfect for showcasing products in fashion, art, food, beauty, and tourism.                |
| LinkedIn  | B2B focus; best for professional services, corporate networking, recruiting, and marketing industrial products.             |
| Twitter/X | Real-time conversation; excellent for customer service, breaking news, following trends, and engaging in public discourse.  |
| TikTok    | Gen Z & Millennials; excellent for creating viral, short-form video content and tapping into current challenges and trends. |

#### D. Search Engine Optimization (SEO)

- **What it is:** The practice of optimizing your website to rank higher in organic (non-paid) search engine results like Google.
- **Why it's crucial for international marketing:** When a potential customer in Brazil searches for "handmade African beads," a well-optimized Nigerian website can appear on the first page, generating free, highly targeted traffic.
- **Key Elements:** Using the right keywords, having a mobile-friendly site, and obtaining quality backlinks.

#### **E. Email Marketing: The Direct Line**

- **Function:** Sending targeted messages and promotions directly to a list of subscribers who have given permission.
- **International Application:** Segmenting your email list by country allows you to send tailored messages about relevant shipping options, currency pricing, and cultural promotions.

#### **F. Big Data & Analytics: The Digital Crystal Ball**

- **What it is:** The analysis of vast amounts of data to reveal patterns, trends, and associations, especially relating to human behavior.
- **Application:** An online store can use analytics to see that visitors from Germany spend more time on a product page than visitors from Italy, suggesting higher interest. This data can inform which markets to target with paid ads.

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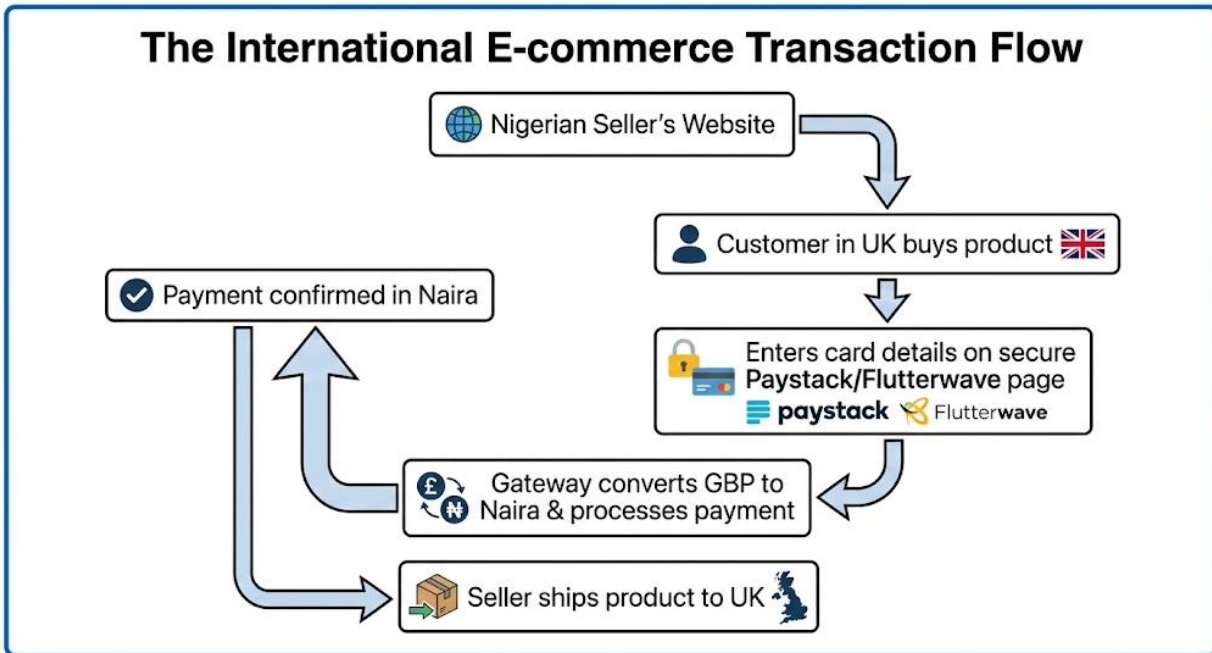
### ***3. ELECTRONIC PAYMENT SYSTEMS: THE LIFEBLOOD OF E-COMMERCE***

For international e-commerce to work, secure, fast, and reliable cross-border payment systems are non-negotiable.

- **International Payment Gateways:**
  - **PayPal:** Widely accepted globally, allowing customers to pay without sharing their card details.
  - **Stripe:** A developer-friendly gateway popular with online businesses.



- **Credit/Debit Cards:** Visa, Mastercard, and American Express are universally accepted.
- **Digital/Mobile Wallets:** Apple Pay, Google Pay, Samsung Pay.
- **Nigerian Fintech Solutions: Paystack and Flutterwave** have been revolutionary. They allow Nigerian businesses to accept international payments in multiple currencies (Dollars, Euros, Pounds) from global customers, then receive the funds in Naira. They are the bridge connecting Nigerian merchants to the global financial system.



#### 4. OVERCOMING INTERNATIONAL BARRIERS WITH ICT

ICT provides solutions to the very barriers discussed in Week 8:

- **Cultural Barriers:** Use social media and website analytics to understand local preferences and adapt messaging.
- **Language Barriers:** Website translation plugins (like Google Translate) and hiring freelance translators online make content multilingual.
- **Financial Barriers:** Fintech platforms like Paystack simplify cross-border payments and currency conversion.
- **Logistical Barriers:** ICT integrates with logistics; customers can track their international shipments in real-time via tracking numbers and courier apps.

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### Evaluation:

1. Explain how a Nigerian art gallery can use **social media** to attract customers from the United States.
2. What is the primary difference between **e-commerce** and **e-business**?
3. Why is **SEO** critically important for a small business trying to compete internationally?
4. How have Nigerian fintech companies like Flutterwave and Paystack empowered local businesses in the global marketplace?

### Assignment: Create a Digital Marketing Plan

You are the marketing manager for "**Zuma Gold**," a Nigerian company that produces premium, packaged palm oil and coconut oil for cooking and skincare.

**Your Task:** Develop a simple digital marketing plan to launch these products in the United Kingdom.

1. **E-commerce Platform:** Which *one* B2C platform would you primarily use to sell? (e.g., your own website, Amazon UK, etc.) Justify your choice.
2. **Social Media Strategy:** Choose *two* social media platforms you would use to promote Zuma Gold in the UK. For each platform, state:
  - *Why* it is suitable for this product and audience.
  - *One* example of the type of content you would post (e.g., recipe video, customer testimonial, skincare tip).
3. **Payment Solution:** Which *one* payment gateway would you integrate to handle transactions from UK customers? Explain why.
4. **SEO & Content:** Suggest *two* specific keywords a health-conscious UK consumer might use to find a product like Zuma Gold online (e.g., "organic coconut oil for hair").

# SS2 MARKETING LESSON NOTES

## SECOND TERM

### WEEK 1: PLANNING FOR A PERSONAL MARKETING OUTLET

**Topic:** Planning for a Personal Marketing Outlet

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define a marketing outlet and differentiate between its physical and virtual forms.
2. Analyze and apply the seven critical steps in establishing a personal marketing outlet.
3. Evaluate the importance of location and other key factors in the success of an outlet.
4. Identify potential risks in retail operations and develop strategies to mitigate them.

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#### ***1. THE CONCEPT OF A MARKETING OUTLET: YOUR GATEWAY TO THE CUSTOMER***

A **Marketing Outlet** is any interface, physical or digital, where a transaction between a business and its final consumer occurs. It is the critical "point of sale" (POS) where ownership of goods or services is transferred.

- **Physical Outlets:** These have a tangible presence in a geographical location.
  - *Examples:* A kiosk, a supermarket (Shoprite), a boutique, a roadside stall, a pharmacy, a shopping mall.
- **Virtual/Digital Outlets:** These exist online.
  - *Examples:* An e-commerce website (Jumia, Amazon), a social media shop (on Instagram or WhatsApp), a dedicated mobile app.

**Why is Planning Critical?** The proverb "He who fails to plan, plans to fail" is profoundly true in business. Planning reduces uncertainty, helps secure funding, and provides a clear roadmap from concept to grand opening. It transforms a mere idea into a viable enterprise.

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## 2. THE BLUEPRINT FOR SUCCESS: 7 STEPS TO ESTABLISHING YOUR OUTLET

**Step 1: The Feasibility Study (The Reality Check)** This is the research phase to determine if your business idea is viable *before* you invest money.

- **Market Demand Analysis:** Is there a genuine need or desire for your product/service in your target area? (e.g., Is there a demand for a phone accessory shop near a university campus?).
- **Competitor Analysis:** Who are your competitors? What are their strengths and weaknesses? What can you do better?
- **Profitability Projection:** Can you sell at a price that covers all your costs (rent, inventory, salaries, utilities) and leaves a reasonable profit? Estimate your **Break-Even Point**—the point where total revenue equals total costs.

**Step 2: Business Plan Formulation (Your Written Roadmap)** A business plan is a formal document that outlines your business goals and how you plan to achieve them. It is essential for attracting investors and guiding your operations.

- **Key Components:**
  - **Executive Summary:** A concise overview of the entire plan.
  - **Company Description:** What is your business? What is your mission?
  - **Market Analysis:** Summary of your feasibility study.
  - **Organization & Management:** Your business structure (sole proprietorship, partnership) and team.
  - **Products/Services:** What you are selling.
  - **Marketing & Sales Strategy:** How you will attract and retain customers.
  - **Financial Plan:** Startup budget, sales forecasts, and cash flow projections.

**Step 3: Capital Generation (Fuel for Your Business Engine)** Capital is the financial resource needed to start and operate the business.

- **Sources of Funds:**

- **Personal Savings (Owner's Equity):** The most common source; demonstrates personal commitment.
- **Friends and Family:** Can be flexible but may strain relationships.
- **Bank Loans:** Require a solid business plan and often, collateral.
- **Cooperatives/Esusu (Ajo):** A traditional and popular source of collective funding.
- **Government Grants:** Programs from agencies like SMEDAN or BOI.

**Step 4: Location Selection (The Golden Rule of Real Estate)** The right location can make or break a physical outlet. Consider:

- **Proximity to Target Market:** Be where your customers are. A student shop must be near a school.
- **Accessibility and Traffic:** Is it easy for customers and delivery vehicles to get to? High foot or vehicle traffic is a plus.
- **Visibility:** Can the outlet be easily seen from the road? A good sign and clear visibility attract walk-in customers.
- **Affordability:** Can you afford the rent or lease without straining your finances?
- **Infrastructure:** Availability of stable electricity, water, security, and internet connectivity.

**Step 5: Staffing and Organization (Building Your Team)** Your team is your most valuable asset.

- **Recruitment:** Hire for attitude and train for skill. Look for honesty, reliability, and a customer-friendly demeanor.
- **Roles and Responsibilities:** Define clear roles: Manager (oversees operations), Cashier (handles transactions), Sales Attendants (assist customers), Cleaner (maintains hygiene).

**Step 6: Product Selection and Sourcing (Your Inventory)**

- **Product Mix:** Decide on the breadth (number of product lines) and depth (varieties within a line) of your assortment. A provisions shop might sell food items (bread, beverages) and non-food items (detergent, toiletries).
- **Supplier Relations:** Identify reliable wholesalers or manufacturers who offer good prices, consistent quality, and flexible payment terms.

### Step 7: Legal Formalities (Operating Legally)

- **Business Name Registration:** Register with the **Corporate Affairs Commission (CAC)** to make your business a legal entity.
- **Tax Identification Number (TIN):** Obtain from the Federal Inland Revenue Service (FIRS).
- **Local Government Permits:** Secure the necessary operating license from your local government authority.

## 3. RISK MANAGEMENT: SAFEGUARDING YOUR ENTERPRISE

Every business faces risks; successful entrepreneurs anticipate and manage them.

### Common Business Risks & Mitigation Strategies

| Risk Category    | Specific Risk                                                                                              | Mitigation Strategy                                                                                                                                                                                                                                                                                                |
|------------------|------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial Risk   | Theft/Pilferage         | CCTV, regular stock-taking, strict cash handling    |
|                  | Bad Debts               | Strict 'No Credit' policy or vetting system                                                                                              |
| Operational Risk | Fire/Natural Disaster   | Insurance, fire extinguishers, secure location                                                                                           |
|                  | Spoilage (Perishables)  | FIFO stock rotation, proper storage facilities                                                                                           |
| Market Risk      | Obsolescence            | Careful buying, monitoring trends, discounts        |
|                  | New Competition         | Excellent customer service, loyalty programs                                                                                             |



**Evaluation:**

1. Beyond making sales, what are two other critical functions of a marketing outlet?
2. Why is a Feasibility Study considered the foundation of a successful business?
3. A student wants to open a photocopying and stationery shop opposite the school gate.  
List three location-related advantages this site would have.
4. Explain how the FIFO method helps in managing the risk of spoilage.

**Assignment: Develop a Mini Business Plan** Choose a business idea for a marketing outlet you would like to start in your community (e.g., a Snack Corner, a Mobile Data & Airtime Vendor, a Laundry Service).

Draft a simple one-page business plan covering:

- **Business Name & Description**
  - **Location & Justification**
  - **List of 5-7 Key Products/Services**
  - **Target Customers**
  - **Estimated Startup Costs (Breakdown: Rent, initial stock, registration, etc.)**
-

## WEEK 2: PURCHASING, SUPPLYING, AND MERCHANDISING

**Topic:** The Art and Science of Retail Success

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Differentiate between the distinct functions of purchasing, supplying, and merchandising.
2. Analyze the procurement cycle and its importance in business operations.
3. Evaluate various merchandising techniques and their psychological impact on consumers.
4. Explain how effective merchandising contributes to sales, brand image, and inventory management.

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### *1. THE RETAIL TRIAD: THREE INTERCONNECTED FUNCTIONS*

Purchasing, Supplying, and Merchandising are three distinct but deeply interconnected functions that form the backbone of any successful retail operation. Understanding their unique roles is key to managing a profitable marketing outlet.

**A. Purchasing: The Strategic Art of Buying** Purchasing is not merely "buying." It is the strategic process of **acquiring the right goods, in the right quantity, at the right price, from the right source, at the right time.**

- **The 5 Rights of Purchasing:**
  - a. **Right Quality:** Goods must meet the expected standards and specifications for your target market.
  - b. **Right Quantity:** Buying enough to meet demand without overstocking and tying up capital.
  - c. **Right Price:** Securing the best possible price to maintain profitability.
  - d. **Right Source:** Choosing reliable suppliers who are consistent and trustworthy.
  - e. **Right Time:** Ensuring goods are available when needed to avoid stock-outs.
- **The Procurement Cycle:** A structured process that guides purchasing decisions:

- a. **Need Identification:** Realizing what goods are needed based on sales data or inventory levels.
- b. **Supplier Sourcing & Evaluation:** Finding and vetting potential suppliers.
- c. **Price & Term Negotiation:** Agreeing on price, delivery schedules, and payment terms.
- d. **Purchase Order Placement:** Formally ordering the goods.
- e. **Order Expediting & Follow-up:** Tracking the order to ensure timely delivery.
- f. **Receipt & Inspection:** Accepting and checking the delivered goods against the order.
- g. **Invoice Approval & Payment:** Paying the supplier for the received goods.

**B. Supplying: The Logistics of Availability** Supplying is the operational process that follows purchasing. It focuses on the **logistics, storage, and delivery** of goods from the supplier to the buyer, ensuring they arrive in good condition and on schedule.

- **Key Activities:** Transportation management, warehousing, inventory control, and order fulfillment.
- **The Link:** Purchasing decides *what* to buy and *from whom*; Supplying handles *how* and *when* it gets to you.

**C. Merchandising: The Psychology of Selling** If purchasing is about buying right, merchandising is about **selling right**. It is the planning, presenting, and promoting of products to maximize sales and profitability. Merchandising is the "**Silent Salesman**" that works 24/7.

- **Core Goal:** To make products irresistible and easy to buy, thereby influencing consumer purchasing decisions at the point of sale.

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## **2. METHODS OF MERCHANDISING: TOOLS OF THE TRADE**

Effective merchandising uses a blend of art and science to attract customers and drive sales.

**1. Visual Merchandising (The Art of Display)** This is about creating an appealing visual experience.

- **Window Displays:** The "first impression" of the store. An attractive, thematic window can stop passersby and draw them in.
- **Interior Displays:**
  - **The "Eye-Level is Buy-Level" Principle:** The most profitable products are placed at eye level (between waist and shoulders). Cheaper or less profitable items are placed on lower or higher shelves.
  - **End-Cap Displays:** The shelves at the end of aisles are prime real estate for promotional items or high-margin goods.
  - **Thematic Arrangements:** Grouping related products together (e.g., placing pasta, pasta sauce, and cheese in one section).

### The "Eye-Level is Buy-Level" Principle



## 2. Promotional Pricing & Offers Using price as a tool to create urgency and perceived value.

- **Examples:** "Buy One, Get One Free (BOGOF)," "50% Off," "Multi-buy offers" (3 for the price of 2).
- **Psychological Pricing:** Setting prices just below a round number (e.g., N999 instead of N1000) to make the product seem significantly cheaper.

### 3. Strategic Product Placement Placing products based on customer buying behavior.

- **Impulse Buy Zones:** Placing small, inexpensive, tempting items (chocolates, gums, magazines) near the checkout counter where customers are likely to make unplanned purchases while queueing.
- **Destination Products:** Staple items like milk or bread are often placed at the back of the store, forcing customers to walk past other tempting products to get to them.

### 4. Stock Rotation & Freshness

- **FIFO (First-In, First-Out):** Ensuring that the oldest stock (first in) is sold first (first out) to prevent spoilage and obsolescence. This is critical for perishable goods.

### 5. Sensory Merchandising Engaging multiple senses to enhance the shopping experience.

- **In-Store Music:** Playing upbeat music to encourage a faster shopping pace or calm music to make customers linger.
- **Product Sampling:** Allowing customers to taste or try a product (common in food stores and cosmetics).
- **Scent Marketing:** Using a pleasant, subtle scent in the store to create a positive atmosphere.

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## 3. THE STRATEGIC IMPORTANCE OF MERCHANDISING

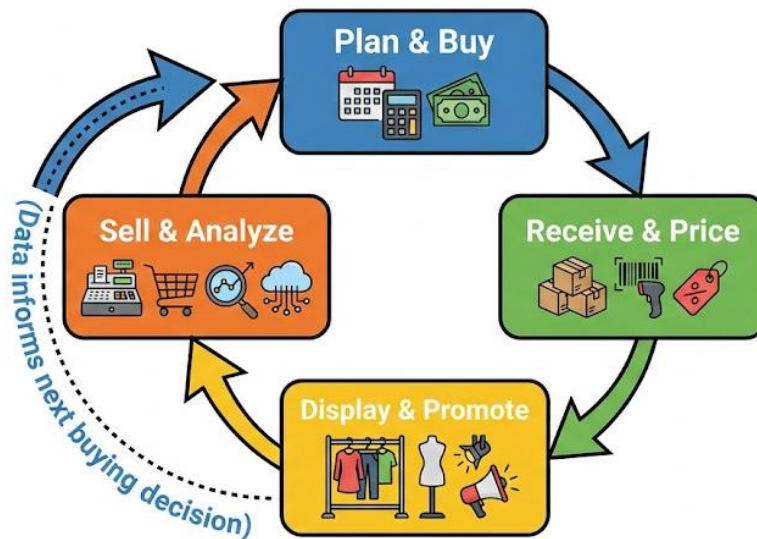
Effective merchandising is not just about looking good; it's a powerful business strategy.

2. **Drives Sales and Increases Profit:** Attractive displays and promotions directly lead to **impulse purchases**, increasing the average transaction value.
3. **Builds and Reinforces Brand Image:** A clean, well-organized, and creatively merchandised store projects an image of quality, professionalism, and trustworthiness.
4. **Enhances Customer Experience:** It makes shopping easier, more enjoyable, and less frustrating. Customers can find what they need and discover new products.



5. **Optimizes Inventory Management:** By highlighting slow-moving items through promotions and strategic placement, merchandising helps clear dead stock and improve inventory turnover.
6. **Maximizes Space Productivity:** Effective merchandising ensures that every square meter of the store is generating revenue, by allocating space based on a product's profitability and sales velocity.

## The Merchandising Cycle



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### Evaluation:

1. Using the "5 Rights" framework, explain what a purchasing officer for a supermarket must consider when ordering a new batch of soap.
2. How does the principle of "Eye-Level is Buy-Level" directly influence consumer behavior and store profitability?
3. A new bakery is struggling to sell its day-old bread. Suggest two merchandising techniques it could use to clear this stock.
4. "Merchandising turns a shop into a destination." Justify this statement.



**Assignment: Store Audit and Report** Visit a well-known retail store in your area (e.g., a supermarket, a pharmacy, or a clothing store). Observe and write a detailed report on the following:

1. **Visual Merchandising:** Describe one specific display (a window or an interior aisle) that you found particularly effective. What made it effective?
2. **Product Placement:** What types of products are placed near the checkout counter? Why do you think they were chosen for this location?
3. **Pricing Strategies:** Identify one example of psychological pricing and one example of a promotional offer (e.g., a discount).
4. **Stock Freshness:** Check the expiry dates on a few perishable goods (like milk or bread). Does the store appear to be following the FIFO method? Explain your observation.



## WEEK 3: MARKETING OF SERVICES

**Topic:** Marketing of Services

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define services and differentiate them from physical goods.
2. Analyze the unique characteristics of services using the "8 I's" framework.
3. Categorize different types of services in the economy.
4. Evaluate the distinct challenges in marketing services and propose effective strategies to overcome them.

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### 1. THE NATURE OF SERVICES: THE INTANGIBLE ECONOMY

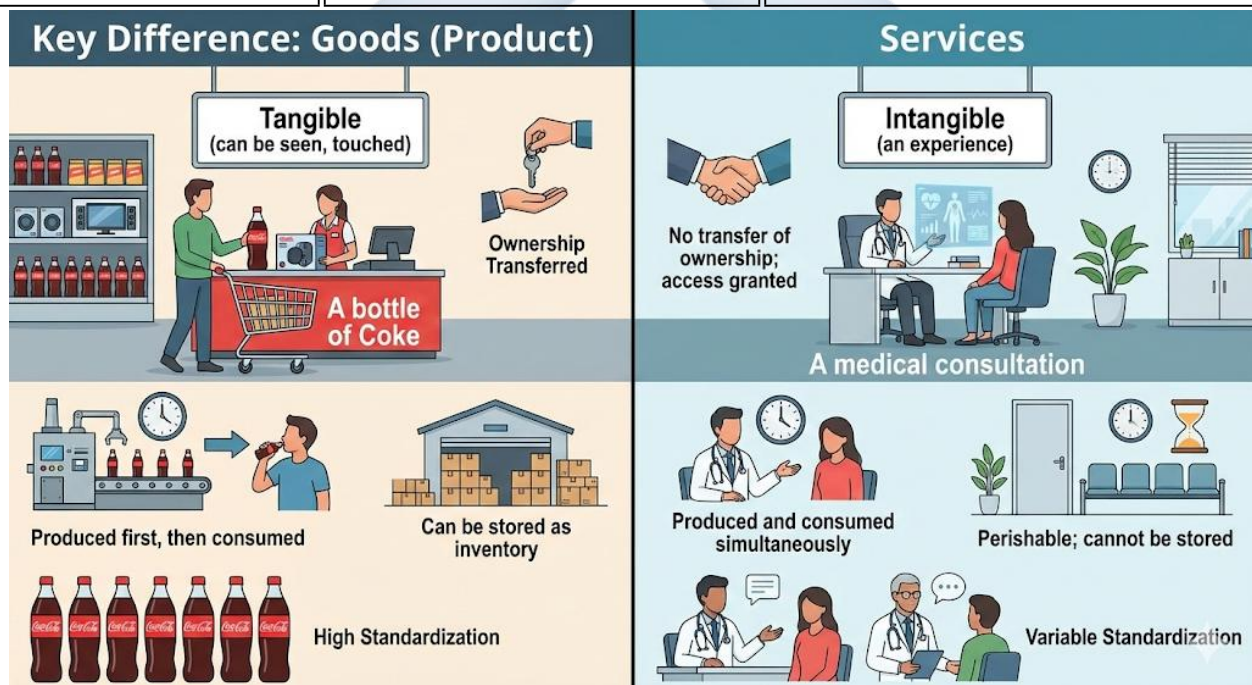
A **service** is any act or performance that one party can offer to another that is essentially **intangible** and does not result in the **ownership** of anything. Its production may or may not be tied to a physical product.

- **Core Concept:** You cannot drop a service on your foot. You experience it, but you don't own it.
- **The Service Economy:** In modern economies like Nigeria, the service sector (banking, telecoms, entertainment, education) is the largest and fastest-growing contributor to GDP, surpassing agriculture and manufacturing.

**Key Difference: Goods vs. Services**

| Attribute | Goods (Product)                                    | Services                                                           |
|-----------|----------------------------------------------------|--------------------------------------------------------------------|
| Nature    | <b>Tangible</b> (can be seen, touched, held)       | <b>Intangible</b> (an experience or process)                       |
| Ownership | <b>Transferred</b> from seller to buyer completely | <b>No transfer</b> of ownership; only access or rights are granted |

| Attribute                           | Goods (Product)                                            | Services                                                                  |
|-------------------------------------|------------------------------------------------------------|---------------------------------------------------------------------------|
| <b>Production &amp; Consumption</b> | <b>Separable:</b> Produced first, then sold/consumed later | <b>Inseparable:</b> Produced and consumed simultaneously                  |
| <b>Storage</b>                      | <b>Storable:</b> Can be kept as inventory for later sale   | <b>Perishable:</b> Cannot be stored (time-dependent)                      |
| <b>Standardization</b>              | <b>High:</b> Identical units (mass production)             | <b>Variable:</b> Quality depends on the provider and customer interaction |
| <b>Example</b>                      | A bottle of Coke, a shoe, a car                            | A medical consultation, a haircut, legal advice                           |



## 2. THE UNIQUE CHARACTERISTICS OF SERVICES (THE 8 I's)

Services possess unique characteristics that fundamentally shape how they are marketed. We can expand beyond the classic 4 I's to an "8 I's" framework for a deeper understanding.

**1. Intangibility** Services cannot be seen, tasted, felt, heard, or smelled before they are purchased. A customer cannot inspect a haircut before sitting in the barber's chair.

- **Marketing Challenge:** How do you sell a promise?
- **Strategy:** Use **tangibles** to represent the service. A bank uses a sturdy building and branded debit cards to project security and reliability.

**2. Inseparability** Services are typically produced and consumed at the same time. The service provider is often physically present when the service is delivered, and the customer participates in the process.

- **Marketing Challenge:** The quality of the service is tied to the quality of the interaction between the provider and the customer.
- **Strategy:** Focus on **staff training** and **customer relationship management**.

**3. Inconsistency (Variability)** The quality of a service can vary from day to day, from provider to provider, and even with the same provider. A chef might have an off day; a teacher might deliver a lesson differently to two separate classes.

- **Marketing Challenge:** How do you deliver a consistent, standardized experience?
- **Strategy:** **Standardize the service process** through checklists and scripts (e.g., the greeting at a hotel). Invest in continuous training.

**4. Inventory (Perishability)** Services cannot be saved, stored, or inventoried for later use. An empty hotel room for the night, an unfilled seat on a flight, or an unused hour of a lawyer's time represents lost revenue that can never be recovered.

- **Marketing Challenge:** How do you manage fluctuating demand?
- **Strategy:** Use **dynamic pricing** (e.g., off-peak discounts for flights) and **reservation systems** to manage demand.

**5. Involvement (Customer Participation)** The customer is often directly involved in the service production. A student must attend and participate in class to get the full value of the education.

- **Marketing Challenge:** The customer's input affects the service outcome.

- **Strategy: Educate the customer** on their role. A gym provides an orientation session for new members.

**6. Inability to Own** You pay for a service, but you don't own anything tangible at the end. You pay for a Netflix subscription for a month of access, not for ownership of the movies.

- **Marketing Challenge:** The value is in the experience, not in a physical asset.
- **Strategy:** Emphasize the **benefits and outcomes** (e.g., relaxation, knowledge, convenience) rather than the service itself.

**7. Immediacy** Many services are required instantly and cannot be delayed. You need a plumber *now* when a pipe bursts, not tomorrow.

- **Marketing Challenge:** The service must be readily available.
- **Strategy:** Ensure **accessibility** and **responsiveness** (e.g., 24/7 customer service lines).

**8. Information-Based** The core of many services is information and expertise (e.g., legal advice, software development, medical diagnosis).

- **Marketing Challenge:** Demonstrating expertise before the customer commits.
- **Strategy:** Showcase **credentials, case studies, and testimonials** to build credibility.

---

### 3. THE SERVICE MARKETING MIX (THE 7 P's)

Marketing services requires an expanded framework beyond the traditional 4 P's of product marketing. This is known as the **Extended Marketing Mix** or the **7 P's**.

| Category             | The 'P'    | Focus & Definition                                                                                                    |
|----------------------|------------|-----------------------------------------------------------------------------------------------------------------------|
| Traditional<br>4 P's | 1. Product | <b>The Service Offer.</b> What solution is being sold? (e.g., A flight seat, a bank account, a consultancy hour).     |
|                      | 2. Price   | <b>Cost &amp; Payment.</b> Strategy for pricing (premium vs. budget) and payment terms (subscriptions, fees, credit). |

| Category              | The 'P'                     | Focus & Definition                                                                                                                                           |
|-----------------------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                       | <b>3. Place</b>             | <b>Access &amp; Location.</b> Where and how the service is accessed (e.g., Online app, physical branch, home delivery).                                      |
|                       | <b>4. Promotion</b>         | <b>Communication.</b> How the service is marketed (Advertising, PR, Direct Sales) to build trust.                                                            |
| <b>Extended 3 P's</b> | <b>5. People</b>            | <b>Staff &amp; Customers.</b> Services rely on human interaction. The attitude of staff <i>is</i> the product. (Includes training, uniforms, and culture).   |
|                       | <b>6. Process</b>           | <b>Service Delivery.</b> The steps and flow the customer goes through. (e.g., Queue times, ease of booking, complaint handling).                             |
|                       | <b>7. Physical Evidence</b> | <b>Tangible Cues.</b> Since you can't "touch" a service, customers judge quality by the environment (e.g., cleanliness, decor, brochures, staff appearance). |





## *The 7 P's of Service Marketing*

**People:** Everyone involved in the service delivery, from the frontline staff to the customers themselves. A rude bank teller can destroy the customer's experience.

- **Process:** The actual procedures, mechanisms, and flow of activities by which the service is delivered. A long, complicated process for opening a bank account is a deterrent.
- **Physical Evidence:** The environment in which the service is delivered and where the firm and customer interact. This includes the building, furniture, signage, and even the staff's uniforms. It provides tangible proof of the service quality.

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## **4. CATEGORIES OF SERVICES**

Services can be broadly classified into several sectors:

1. **Business-to-Consumer (B2C) Services:** Directed at individual people.
  - *Personal Services:* Hairdressing, tailoring, fitness training.
  - *Healthcare:* Hospitals, clinics, physiotherapy.
  - *Hospitality:* Hotels, restaurants, event planning.
2. **Business-to-Business (B2B) Services:** Directed at other organizations.
  - *Professional Services:* Legal, accounting, management consulting.
  - *Financial Services:* Corporate banking, insurance, investment advisory.
  - *Technical Services:* IT support, software development, engineering.
3. **Public Services:** Provided by the government for citizens.
  - *Examples:* Public education, police, fire service, national defense.
4. **Non-Profit Services:** Provided by NGOs and charities.
  - *Examples:* Religious services, charitable foundations, community development programs.

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## **5. CHALLENGES AND STRATEGIES IN SERVICES MARKETING**

### **Challenge 1: Demonstrating Value for an Intangible Product**

- **Problem:** Customers are hesitant to pay for something they can't see.
- **Solution: Create Physical Evidence.** Use brochures, professional websites, and portfolios. Offer free trials or consultations.

### Challenge 2: Maintaining Consistent Quality

- **Problem:** A service is only as good as the last interaction.
- **Solution: Invest in People and Process.** Implement rigorous training, create detailed service blueprints, and empower employees to solve problems.

### Challenge 3: Managing Supply and Demand

- **Problem:** A service cannot be stockpiled during slow periods to meet peak demand.
- **Solution: Use Demand-Shifting Tactics.** Offer price discounts during off-peak hours. Use appointment systems to smooth out demand.

### Challenge 4: Building Trust

- **Problem:** Customers cannot test the service beforehand.
- **Solution: Leverage Social Proof.** Showcase customer testimonials, online reviews, and case studies. Build a strong brand reputation.

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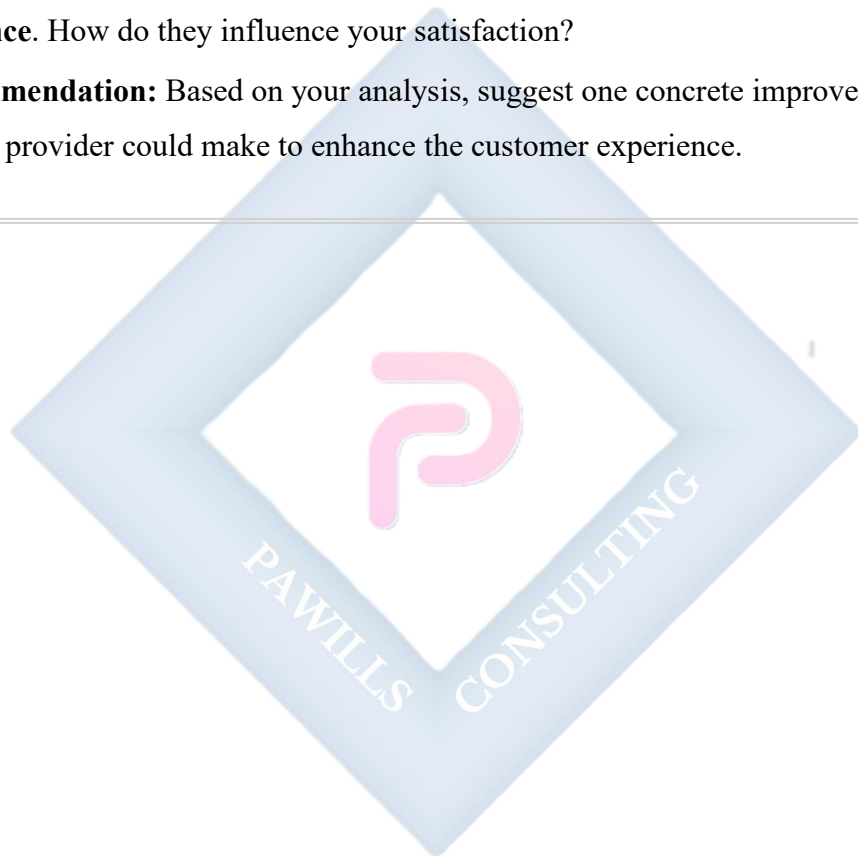
### Evaluation:

1. Explain the characteristic of **Inseparability** using the example of a restaurant meal.
2. Why is the "**People**" element of the 7 P's considered so critical in a service business like a hospital?
3. A new gym is struggling to attract members. Suggest two strategies it could use to overcome the problem of **Intangibility**.
4. Differentiate between a **B2C service** and a **B2B service**, providing one example of each not mentioned in the notes.

**Assignment: Service Provider Analysis** Choose one service provider that you or your family uses regularly (e.g., your mobile network provider, a specific bank, a barbershop/salon, a restaurant).

Write a detailed analysis covering:

1. **The 8 I's:** Identify and explain which *three* of the 8 I's are most evident in your experience with this service.
2. **The 7 P's:** Evaluate the service based on two of the *extended* P's: **People** and **Physical Evidence**. How do they influence your satisfaction?
3. **Recommendation:** Based on your analysis, suggest one concrete improvement the service provider could make to enhance the customer experience.



## WEEK 4: CONSUMER BEHAVIOR

**Topic:** The Psychology of the Purchase Decision

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define consumer behavior and explain its significance in marketing.
  2. Analyze the key internal and external factors that influence consumer decisions.
  3. Map the five-stage consumer decision-making process for different types of purchases.
  4. Categorize consumer buying behavior and apply this knowledge to marketing strategy.
- 

### *1. DECODING CONSUMER BEHAVIOR: WHY PEOPLE BUY*

**Consumer Behavior** is the study of individuals, groups, or organizations and the processes they use to select, secure, use, and dispose of products, services, experiences, or ideas to satisfy needs and the impacts that these processes have on the consumer and society.

In simple terms, it answers the fundamental question: **Why do people buy what they buy?**

- **It's More Than Just Buying:** It encompasses the entire journey—from realizing a need, to searching for information, to the final post-purchase feelings.
- **A Blend of Disciplines:** It draws from psychology (motivation, perception), sociology (groups, family), anthropology (culture), and economics (income, value).

### **Why is Studying Consumer Behavior Crucial for Marketers?**

1. **To Develop Effective Products:** By understanding needs and desires, companies can create products that people actually want.
2. **To Craft Compelling Messages:** Marketing communication can be tailored to resonate with the target audience's motivations and values.
3. **To Predict Market Trends:** Identifying shifts in consumer attitudes can help businesses stay ahead of the curve.
4. **To Build Customer Loyalty:** Understanding post-purchase behavior helps in creating experiences that turn one-time buyers into lifelong fans.

---

## ***2. THE INFLUENCE MATRIX: FACTORS SHAPING CONSUMER DECISIONS***

A consumer's decision is not made in a vacuum. It is influenced by a complex web of internal and external factors.

### **A. Internal Influences (The Psychological World Inside the Consumer)**

#### **1. Motivation (The Driving Force):**

- **Concept:** The internal need that drives a person to act. Psychologist Abraham Maslow's Hierarchy of Needs explains that people are motivated to fulfill basic needs (hunger, safety) before higher-level needs (esteem, self-actualization).
- **Marketing Application:** Advertisements for basic food items appeal to physiological needs, while luxury car ads appeal to esteem and status needs.

#### **2. Perception (Our Personal Reality):**

- **Concept:** The process by which we select, organize, and interpret information to create a meaningful picture of the world. Two people can see the same ad and interpret it differently.
- **Marketing Application:** Brands use distinctive packaging (e.g., Coca-Cola's red and white) to be easily perceived and recognized on a crowded shelf.

#### **3. Learning and Experience (The Past Guides the Future):**

- **Concept:** Changes in an individual's behavior arising from experience. If a customer has a positive experience with a brand, they are likely to repeat the purchase (positive reinforcement).
- **Marketing Application:** Free samples and trial periods are used to encourage first-time purchases, leading to learned brand loyalty.

#### **4. Attitudes and Beliefs (Mental Shortcuts):**

- **Concept:** A person's enduring favorable or unfavorable evaluations, emotional feelings, and action tendencies towards an object or idea. The belief that "German cars are well-engineered" is a powerful attitude.

- **Marketing Application:** Marketers try to create positive brand attitudes through quality products and emotional advertising.

## **B. External Influences (The Social World Around the Consumer)**

### **1. Cultural Factors (The Invisible Hand):**

- **Culture:** The set of basic values, perceptions, wants, and behaviors learned from family and society. In Nigeria, the culture of respect for elders influences the products bought for them.
- **Subculture:** A group of people with shared value systems based on common life experiences. This includes ethnic groups (Yoruba, Igbo, Hausa), religions, or geographic regions.
- **Social Class:** Relatively permanent divisions in a society with shared values, interests, and behaviors. A person's social class influences their choice of car, neighborhood, and leisure activities.

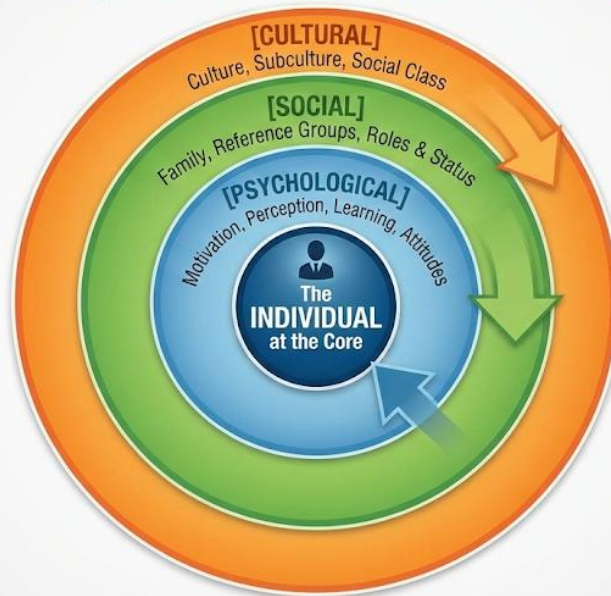
### **2. Social Factors (The People We Know):**

- **Reference Groups:** Groups that serve as a direct or indirect point of comparison in forming a person's attitudes or behavior.
  - **Membership Groups:** Groups the person belongs to (family, friends, coworkers).
  - **Aspirational Groups:** Groups the person wishes to belong to (celebrities, influencers).
- **Family:** The most important consumer-buying organization. Marketers study the roles of the husband, wife, and children in purchasing different products.
- **Roles and Status:** A person's position in each group defines their role and status. A university vice-chancellor is expected to dress and behave in a way that reflects their status.

## **Illustration: The Layers of Consumer Influence**



## The Layers of Consumer Influence



### 3. THE CONSUMER'S JOURNEY: THE DECISION-MAKING PROCESS

For significant purchases, consumers typically go through a five-stage process. However, for routine buys, they may skip or reverse some stages.

#### Illustration: The Consumer Decision-Making Process



#### Stage 1: Need Recognition

- **What Happens:** The consumer recognizes a problem or need. The need can be triggered by internal stimuli (e.g., feeling hungry) or external stimuli (e.g., seeing an ad for a new phone).
- **Marketing Task:** Activate need recognition through advertising and promotions.

## Stage 2: Information Search

- **What Happens:** The consumer seeks information. This can be:
  - **Internal Search:** Recalling past experiences from memory.
  - **External Search:** Seeking information from friends, family, online reviews, or in-store visits.
- **Marketing Task:** Make information readily available through websites, brochures, and sales staff. Ensure positive word-of-mouth.

## Stage 3: Evaluation of Alternatives

- **What Happens:** The consumer uses the information to evaluate brands in the consideration set. They compare products based on attributes like price, quality, and features.
- **Marketing Task:** Understand the criteria consumers use and position your brand favorably against competitors.

## Stage 4: Purchase Decision

- **What Happens:** The consumer makes the actual purchase. However, this decision can still be disrupted by factors like a negative salesperson interaction or a competitor's last-minute discount.
- **Marketing Task:** Make the purchasing process easy, pleasant, and secure.

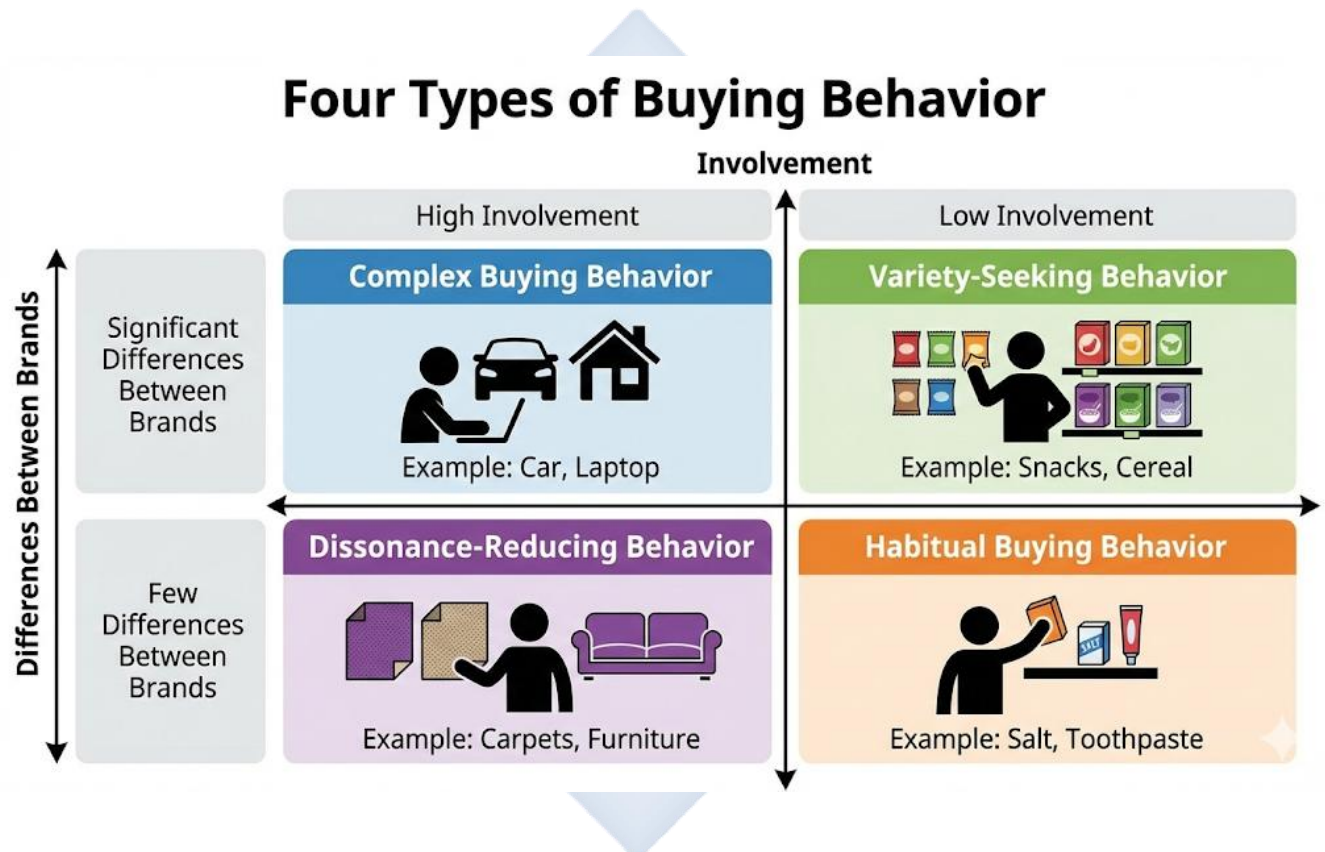
## Stage 5: Post-Purchase Behavior

- **What Happens:** The consumer assesses whether they are satisfied or dissatisfied. This leads to **Cognitive Dissonance** (post-purchase doubt): "Did I make the right choice?"

- **Marketing Task:** Reduce dissonance by providing reassurance (e.g., a confirmation email, a thank-you note, excellent after-sales service). Satisfaction leads to repeat purchases and loyalty; dissatisfaction leads to returns and negative reviews.

#### 4. TYPES OF CONSUMER BUYING BEHAVIOR

Not all purchases require the same level of effort. Consumer behavior can be categorized based on the degree of involvement and the perceived differences between brands.



- **Complex Buying Behavior:** Occurs when consumers are highly involved in a purchase and perceive significant differences among brands. They will spend time researching before deciding.
- **Dissonance-Reducing Behavior:** Occurs when consumers are highly involved but see little difference between brands. They may respond to price or convenience, and experience post-purchase dissonance.

- **Habitual Buying Behavior:** Occurs under conditions of low involvement and little brand difference. Consumers do not search for information; they simply reach for the same brand out of habit.
  - **Variety-Seeking Behavior:** Occurs in situations of low involvement but with significant perceived brand differences. Consumers often do a lot of brand switching for the sake of variety.
- 

### Evaluation:

1. Explain how a popular musician (like Burna Boy) acts as an *aspirational reference group* and influences the consumer behavior of his fans.
2. Describe what a marketer can do at the *Post-Purchase Stage* to reduce a customer's cognitive dissonance after buying an expensive smartphone.
3. A student is buying a new pen. Which type of buying behavior from the matrix is this most likely to be? Explain your answer.
4. "A person's culture is the most fundamental determinant of their wants and behavior." Do you agree? Support your view with an example.

**Assignment: Consumer Decision Journey Analysis** Track your own or a family member's decision-making process for a recent **significant purchase** (e.g., a mobile phone, a piece of furniture, or choosing a secondary school).

Create a report that details:

1. **The Product:** What was purchased?
2. **The Journey:** Document the process through each of the five stages.
  - What triggered the need? (Stage 1)
  - What sources of information were used? (Stage 2)
  - What were the top 2-3 alternatives considered, and what were the key factors in the comparison? (Stage 3)
  - Where was the final purchase made, and why? (Stage 4)
  - How did you/they feel after the purchase? Was there any doubt? (Stage 5)

3. **Categorization:** Based on the matrix, which type of buying behavior (Complex, Dissonance-Reducing, Habitual, Variety-Seeking) does this purchase represent? Justify your classification.
- 



## WEEK 6: PRODUCT LIFE CYCLE (PLC)

**Topic:** The Life and Death of Products in the Market

**Instructional Objectives:** At the end of the lesson, students should be able to:

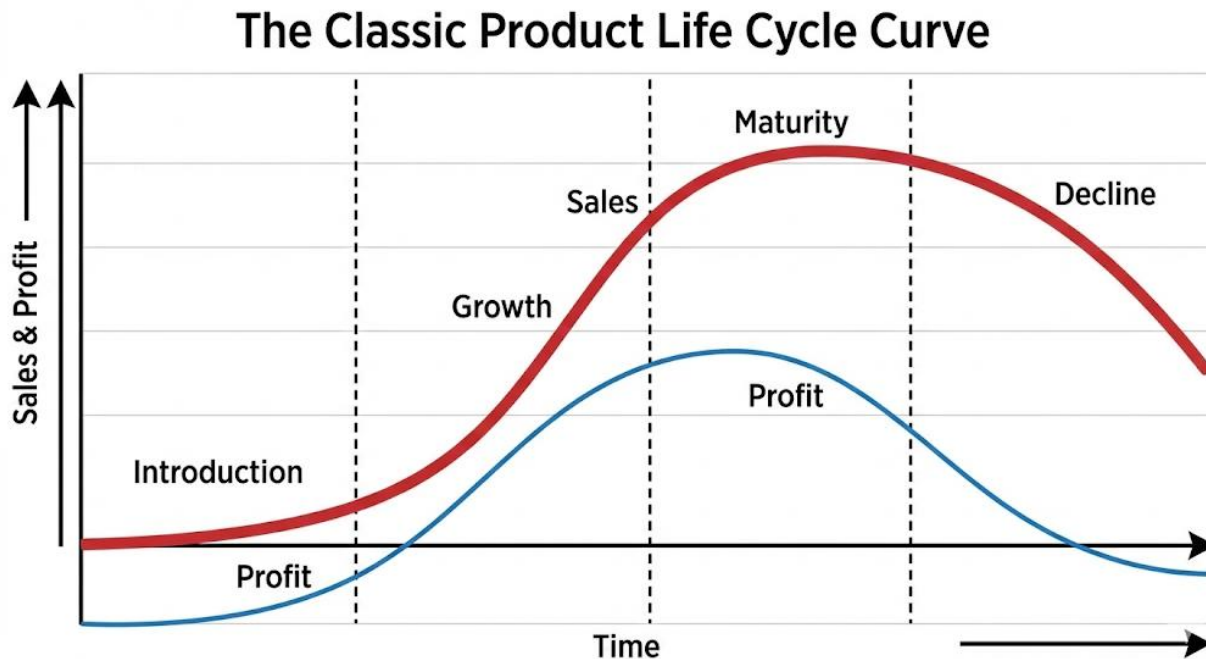
1. Define the Product Life Cycle (PLC) and explain its importance in marketing strategy.
  2. Identify and analyze the four main stages of the PLC, including their characteristics and challenges.
  3. Develop appropriate marketing strategies for each stage of the PLC.
  4. Evaluate how the PLC concept applies to modern products and services.
- 

### *1. THE CONCEPT OF THE PRODUCT LIFE CYCLE*

The **Product Life Cycle (PLC)** is a conceptual model that describes the typical stages a product goes through from its introduction to its eventual withdrawal from the market. Just like living organisms, products are born, grow, mature, and eventually decline.

- **It's a Model, Not a Law:** The PLC is a framework for understanding market dynamics, but not all products follow this exact pattern or timeline. Some products may have very short life cycles (e.g., fashion fads), while others can last for decades (e.g., Coca-Cola).
- **Strategic Importance:** Understanding which stage a product is in helps marketers make informed decisions about pricing, promotion, distribution, and product modifications. It answers the critical question: **"What should we do next with this product?"**





*Illustration: The Classic Product Life Cycle Curve*

## 2. THE FOUR STAGES OF THE PLC: CHARACTERISTICS AND STRATEGIES

### STAGE 1: INTRODUCTION

This is the launch phase where the product is first made available to the public.

- **Characteristics:**

- **Sales:** Low and slow as the market becomes aware of the product.
- **Costs:** Very high due to heavy investment in research, development, and launch marketing.
- **Profit:** Negative or minimal (losses are common).
- **Competition:** Little or none.
- **Customers:** "Innovators" - a small group willing to try new things.

- **Marketing Objectives:**

- Create awareness and trial.

- Establish a foothold in the market.
  - Build distribution channels.
  - **Marketing Strategies:**
    - **Product:** Basic model, focus on building quality.
    - **Price:**
      - **Price Skimming:** Set a high initial price to recover development costs (e.g., new gaming consoles, high-end smartphones).
      - **Penetration Pricing:** Set a low initial price to attract a large number of customers quickly and gain market share (e.g., new streaming services).
    - **Promotion:** Heavy spending on advertising to educate the market and generate demand.
    - **Place (Distribution):** Selective distribution, building relationships with key retailers.
  - **Nigerian Example: Electric Vehicles (EVs)** are currently in the introduction stage in Nigeria. They are expensive, awareness is low, and charging infrastructure is limited.
- 

## STAGE 2: GROWTH

If the product is accepted, it enters the growth stage, where sales begin to climb rapidly.

- **Characteristics:**
  - **Sales:** Rapidly increasing.
  - **Costs:** High, but decreasing per unit due to economies of scale.
  - **Profit:** Rising significantly.
  - **Competition:** Competitors enter the market, attracted by the opportunity.
  - **Customers:** "Early Adopters" and the "Early Majority" join the Innovators.
- **Marketing Objectives:**
  - Maximize market share.

- Build brand preference and loyalty.
  - Differentiate from new competitors.
  - **Marketing Strategies:**
    - **Product:** Improve product quality, add new features, models, or support services.
    - **Price:** Maintain or slightly reduce price as competition increases.
    - **Promotion:** Shift from product awareness to brand preference. Emphasize the product's unique benefits.
    - **Place (Distribution):** Intensive distribution to make the product available in as many outlets as possible.
  - **Nigerian Example: Home Solar Power Systems** are in the growth stage. Sales are rising, more companies are entering the market, and consumers are becoming more aware of the benefits.
- 

### STAGE 3: MATURITY

Sales peak and begin to slow down as the market becomes saturated.

- **Characteristics:**
  - **Sales:** Peak and then slowly decline.
  - **Costs:** Low, due to established production.
  - **Profit:** High initially, then begins to erode due to intense competition and price wars.
  - **Competition:** Fierce; the number of competitors is at its highest.
  - **Customers:** The "Late Majority" buys. The market is saturated.
- **Marketing Objectives:**
  - Defend market share.
  - Extend the product's life.
  - Maximize profit while minimizing cost.

- **Marketing Strategies:**
    - **Product Modifications:**
      - **Quality Improvements:** "New and improved formula!"
      - **Feature Improvements:** Add new functionalities.
      - **Style Improvements:** Update the aesthetic design.
    - **Price:** Competitive pricing, discounts, and sales promotions to lure customers from competitors.
    - **Promotion:** Heavy emphasis on advertising and sales promotions to highlight differences.
    - **Place (Distribution):** Find new, untapped distribution channels or market segments.
  - **Nigerian Example: Mobile Smartphones** are in the maturity stage. Almost everyone who wants one has one, and competition between Tecno, Infinix, Samsung, and Apple is intense, focusing on camera quality, battery life, and price.
- 

#### STAGE 4: DECLINE

The product experiences a sharp drop in sales and profitability.

- **Characteristics:**
  - **Sales:** Significant and steady decline.
  - **Costs:** May increase due to low production volumes.
  - **Profit:** Dwindles to zero or becomes negative.
  - **Competition:** Number of competitors decreases as they leave the market.
  - **Customers:** Only "Laggards" and a few loyalists remain.
- **Marketing Objectives:**
  - Phase out the product gracefully.
  - Reduce costs and "milk" the remaining brand loyalty.

- Free up resources for new products.
- **Marketing Strategies (The 3 D's):**
  - **Deletion:** Simply discontinue the product.
  - **Divestment:** Sell the product/brand to another company.
  - **Harvesting:** Reduce marketing support to a minimum while continuing to sell to a small, loyal segment. Cut costs to maximize short-term profits until the product is no longer viable.
- **Nigerian Example: DVD Players** are in the decline stage, replaced by streaming services like Netflix and Showmax. **Public Phone Booths (payphones)** have been completely displaced by mobile phones.

**Illustration: Summary of PLC Stages & Strategies**

| Stage               | Goal             | Product Strategy      | Price Strategy       | Promotion Strategy     |
|---------------------|------------------|-----------------------|----------------------|------------------------|
| <b>Introduction</b> | Create Awareness | Basic model           | Skimming/Penetration | Heavy, informative     |
| <b>Growth</b>       | Maximize Share   | Improve, add features | Maintain/Reduce      | Brand preference       |
| <b>Maturity</b>     | Defend Share     | Modify, differentiate | Competitive/Discount | Persuasive, promotions |
| <b>Decline</b>      | Reduce Costs     | Simplify, phase out   | Cut price/Cost-plus  | Minimal, targeted      |

### **3. THE IMPORTANCE AND LIMITATIONS OF THE PLC**

**Why the PLC is Important:**

- **Forecasting:** Helps predict sales trends and plan for the future.
- **Strategic Planning:** Allows companies to adapt their marketing mix proactively.
- **Resource Allocation:** Helps decide where to invest money and effort (e.g., invest in growth products, milk mature ones).
- **Risk Management:** Acknowledging that products will eventually decline encourages innovation and new product development.

#### Limitations of the PLC Model:

- **It's Descriptive, Not Predictive:** It describes what has happened but cannot precisely predict how long each stage will last.
- **Not All Products Follow the Curve:** Some products (like classic staple foods) may stay in maturity indefinitely. Others may be fads with a very short life cycle.
- **Self-Fulfilling Prophecy:** If a manager decides a product is in decline and withdraws support, they may cause the very decline they predicted.
- **Stage Boundaries are Blurry:** It can be difficult to determine exactly when a product moves from one stage to another.

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#### Evaluation:

1. A company notices that sales for its flagship smartphone have peaked and competitors are offering similar features at lower prices. Which stage of the PLC is this product in? Justify your answer by listing two other characteristics of this stage.
2. Explain the difference between **Price Skimming** and **Penetration Pricing**. Which is more suitable for a truly innovative product, and why?
3. What is the primary marketing objective for a product in the **Maturity** stage? Suggest two strategies a company could use to achieve this objective.
4. "The PLC model is flawed because not all products die." Do you agree with this statement? Explain your reasoning.

**Assignment: PLC Case Study Analysis** Choose **one** of the following products and research its market history in Nigeria:



- **MTN Mobile Money (MoMo)**
- **DVDs**
- **Liquid Soap (e.g., Joy, Morning Fresh)**

Write a report that includes:

1. **Current Stage:** Based on your research and observation, which stage of the PLC do you believe this product is currently in? Provide evidence (e.g., sales trends, competition, market saturation).
2. **Stage Justification:** Explain the characteristics that support your conclusion about its current stage.
3. **Strategy Recommendation:** Propose two specific marketing strategies the company could use *now* to either extend the product's life (if in maturity) or manage its decline (if in decline).
4. **Future Prediction:** Where do you see this product in the next 5 years? Will it move to a new stage?

## WEEK 8: BRANDING AND PACKAGING

**Topic:** Creating Identity and Value Beyond the Product

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define branding and packaging and differentiate between their components.
2. Analyze the different types of branding strategies and their applications.
3. Evaluate the multiple functions of packaging in modern marketing.
4. Identify and propose solutions to common challenges in branding and packaging.

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### *1. BRANDING: BEYOND A NAME - THE HEART OF A PROMISE*

A **brand** is a name, term, sign, symbol, design, or a combination of these that identifies the maker or seller of a product or service and **differentiates** it from competitors. It is not just a logo; it is the entire perception and experience a customer has with a product or company.

- **The Brand as a Promise:** A strong brand makes a promise about quality, consistency, and value. When you see the "Apple" logo, you expect innovation and sleek design. When you buy "Dangote" cement, you expect reliability and strength.

**The Components of a Brand (The Brand Identity):**

1. **Brand Name:** The verbal part of the brand (e.g., "Guinness," "Indomie").
2. **Brand Mark (Logo):** The symbol, design, or distinctive coloring associated with the brand (e.g., the Nike Swoosh, the MTN yellow and red).
3. **Trademark:** A legally protected brand name or brand mark. No one else can use it.
4. **Trade Character:** A personified brand mark (e.g., the Michelin Man, the Airtel "Champion").
5. **Slogan/Tagline:** A short, memorable phrase that summarizes the brand's essence (e.g., "MTN: Everywhere You Go," "Guinness: Made of More").

**Illustration: Deconstructing a Brand - Coca-Cola**

| Brand Element   | Example for Coca-Cola                              |
|-----------------|----------------------------------------------------|
| Brand Name      | Coca-Cola                                          |
| Brand Mark      | The iconic Spencerian script logo in red and white |
| Trademark       | ® (Registered)                                     |
| Trade Character | The Coca-Cola Santa Claus                          |
| Slogan          | "Taste the Feeling"                                |



## 2. THE STRATEGIC LANDSCAPE: TYPES OF BRANDING

Companies use different branding strategies depending on their goals and product portfolio.

### 1. Manufacturer's Brand (National Brand)

- The brand is owned by the producer of the product.
- *Examples:* **Dangote** (Sugar, Cement), **Unilever** (Omo, Knorr), **Samsung**.
- *Advantage:* The manufacturer has full control over the brand's image and marketing.

## 2. Private Label/Store Brand (Distributor's Brand)

- The brand is owned by a retailer or distributor who gets the products manufactured by a third party.
- *Examples:* **Rite** brands (from Shoprite), **Just Done** (from JustRite), **Tesco** value brands.
- *Advantage:* Higher profit margins for the retailer and often lower prices for consumers.

## 3. Family Branding

- A single brand name is used for several related products.
- *Examples:* **Virgin** (Virgin Atlantic, Virgin Mobile, Virgin Money), **Sony** (Sony Bravia TV, Sony PlayStation, Sony Walkman).
- *Advantage:* Lower marketing costs and instant recognition for new products. A risk is that a problem with one product can damage the entire family's reputation.

## 4. Individual Branding

- Giving each product a distinct brand name, even if they are from the same company.
- *Examples:* **Procter & Gamble** owns **Always**, **Ariel**, and **Pampers**. **Unilever** owns **Dove**, **Lipton**, and **Blue Band**.
- *Advantage:* Allows the company to target different market segments without confusing the consumer. The failure of one brand does not affect the others.

## 5. Co-Branding

- Two established brands combine in one product to create synergy and mutual benefit.
- *Examples:* **Nike + Apple** (Nike+ running shoes and Apple Watch integration), a **Mastercard** offered by a specific bank like **UBA**.
- *Advantage:* Leverages the strengths and customer bases of both brands.

### Illustration: Branding Strategy Matrix

| Strategy              | Owned By | Key Advantage           | Example in Nigeria |
|-----------------------|----------|-------------------------|--------------------|
| <b>Manufacturer's</b> | Producer | Full control over image | Dangote Cement     |
| <b>Private Label</b>  | Retailer | Higher retailer margins | Shoprite's "Rite"  |

|                            |               |                                  |                         |
|----------------------------|---------------|----------------------------------|-------------------------|
|                            |               |                                  | products                |
| <b>Family Branding</b>     | Company       | Lower cost for new products      | Globacom (Glo) services |
| <b>Individual Branding</b> | Company       | Targets diverse segments         | Unilever's Omo & Dove   |
| <b>Co-Branding</b>         | Two Companies | Mutual benefit & shared audience | GTBank Mastercard       |

### ***3. PACKAGING: THE SILENT SALESMAN***

**Packaging** involves designing and producing the container or wrapper for a product. It is often the first physical contact a customer has with a product and plays a critical role in the purchasing decision.

#### **The Multifaceted Functions of Packaging:**

##### **1. Protection (The Primary Function):**

- Protects the product from damage, spoilage, leakage, contamination, and pilferage during transportation and storage.
- *Example:* A sealed, airtight container for biscuits; a shock-absorbent box for electronics.

##### **2. Containment and Convenience:**

- Holds the product in a manageable form. Makes it easy to handle, transport, store, and use.
- *Example:* A squeezable ketchup bottle; a milk carton with a screw cap; single-serve sachets of water or detergent.

##### **3. Information and Communication:**

- Provides essential information to the consumer: ingredients, nutritional facts, expiry date, manufacturer details, and usage instructions. It is a legal requirement in many cases.

- *Example:* The label on a can of milk or a drug package.

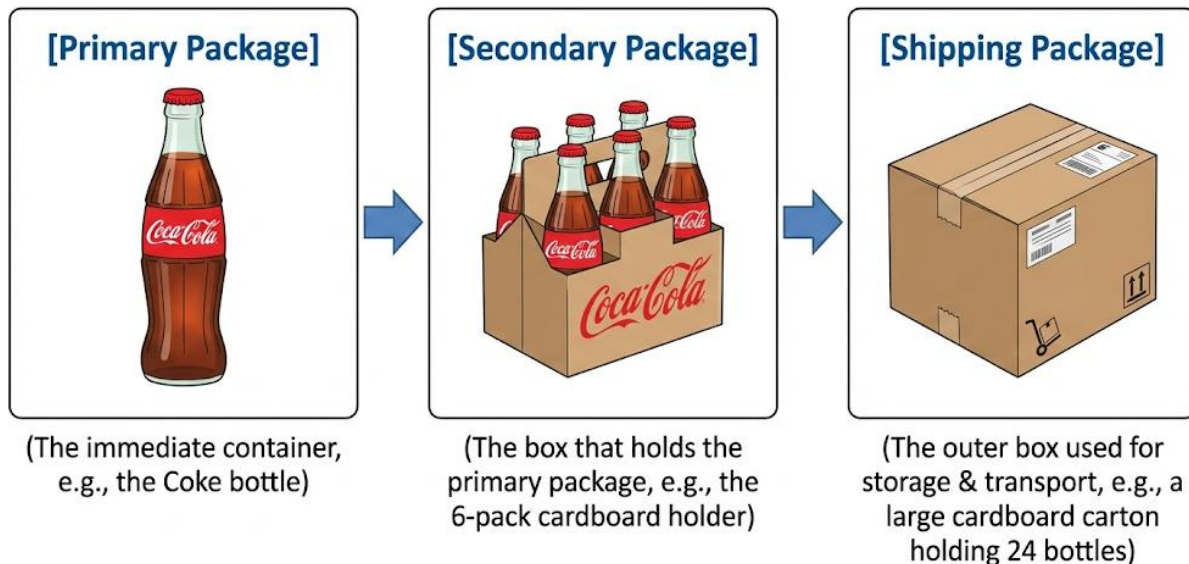
#### 4. Promotion and Persuasion (The Silent Salesman):

- Attracts attention at the point of sale. The design, color, shape, and graphics can create desire and differentiate the product from competitors.
- *Example:* A uniquely shaped perfume bottle; vibrant, colorful packaging for children's cereals.

#### 5. Environmental Sustainability:

- A modern and increasingly important function. Using recyclable, biodegradable, or reusable materials to meet consumer demand for eco-friendly products.
- *Example:* Packaging made from recycled paper or cornstarch.

### Illustration: The Layers of Packaging



#### 4. THE SYMBIOTIC RELATIONSHIP: HOW BRANDING AND PACKAGING WORK TOGETHER

Branding and packaging are two sides of the same coin. A strong brand guides the packaging design, and effective packaging reinforces the brand identity.



- **Consistency is Key:** The colors, fonts, and logos on the packaging must be consistent with the overall brand identity. The "Cadbury purple" is instantly recognizable worldwide.
  - **Packaging as a Brand Touchpoint:** The unboxing experience of an iPhone—the sleek box, the careful arrangement—reinforces Apple's brand promise of premium quality and attention to detail.
  - **Reinforcing Brand Values:** A brand that stands for eco-friendliness (like "Thank U Earth") must use sustainable packaging to be credible.
- 

## **5. CHALLENGES IN BRANDING AND PACKAGING**

1. **Counterfeiting and Piracy:** Perhaps the biggest challenge in Nigeria. Fake products copy successful brands' names and packaging to deceive consumers, damaging the original brand's reputation and causing revenue loss.
  2. **High Cost:** Building a strong brand requires significant, sustained investment in advertising and quality control. Effective packaging also adds to the product's cost.
  3. **Maintaining Consistency:** Ensuring that every unit of the product, across all locations, delivers on the brand promise is difficult.
  4. **Cultural Sensitivity:** A brand name or packaging color that is successful in one country might have a negative meaning in another (e.g., white is for mourning in some cultures).
  5. **Environmental Regulations:** Increasing government and consumer pressure to reduce packaging waste poses a challenge for designers to create packaging that is both attractive and sustainable.
- 

### **Evaluation:**

1. Differentiate between a **Brand Name** and a **Trademark**.
2. Why would a large company like Unilever use an **Individual Branding** strategy for its products like Omo (detergent) and Lux (soap)?
3. Explain how packaging functions as a "**Silent Salesman**."

4. A Nigerian company producing organic honey is facing competition from counterfeit products in the market. Suggest two strategies involving branding or packaging that could help combat this problem.

### **Assignment: Brand and Packaging Audit**

1. **Product Selection:** Choose two competing products from the same category (e.g., two different brands of bottled water, milk, or soap).
  2. **Brand Analysis:**
    - Identify the branding strategy used for each product (Manufacturer's, Family, etc.).
    - Analyze their brand elements: name, logo, and slogan. Which one is more memorable and why?
  3. **Packaging Analysis:**
    - Compare the packaging of both products. Evaluate them based on:
      - **Protection:** How well does it protect the product?
      - **Information:** Is the information clear and complete?
      - **Attractiveness:** Which packaging is more eye-catching and why?
      - **Convenience:** Is it easy to handle, open, and use?
  4. **Recommendation:** Based on your analysis, which product has a more effective overall brand and packaging strategy? Justify your choice with specific examples from your audit.
-

## WEEK 9: PRICING POLICIES AND STRATEGIES

**Topic:** The Art and Science of Setting the Right Price

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define price and analyze its unique role in the marketing mix.
2. Evaluate the key internal and external factors that influence pricing decisions.
3. Differentiate between various pricing strategies and determine when to use each.
4. Apply cost-based pricing formulas to calculate selling prices.

---

### *1. THE CONCEPT OF PRICE: MORE THAN JUST A NUMBER*

**Price** is the monetary value that a seller sets for a product or service. It is the amount of money a customer must pay to acquire ownership or use of an offering.

- **The Revenue Generator:** Unlike the other Ps of the marketing mix (Product, Place, Promotion), which are costs, Price is the only element that **generates revenue** for a business. All other activities represent expenses.
- **Value Expression:** Price is a powerful communicator. It signals quality, positioning, and value to the customer. A high price suggests luxury and exclusivity, while a low price suggests affordability and value.
- **The Price Equation:** From the customer's perspective, price is the **sacrifice** made to obtain a desired product, which includes not just money, but also time, effort, and psychological cost.

**The Strategic Role of Pricing:** Pricing is not just about covering costs. It is a strategic tool that can:

- Determine a product's market positioning.
- Influence customer perception.
- Drive specific consumer behaviors (e.g., bulk buying, trial).
- Respond to competitive moves.

---

## ***2. THE PRICING INFLUENCE MATRIX: FACTORS SHAPING THE DECISION***

Setting the right price requires balancing internal capabilities with external market realities.

### **A. Internal Factors (Within the Company's Control)**

#### **1. Cost of Production (The Floor Price):**

- This is the absolute minimum a price can be set for the business to survive in the long run. The price must cover:
  - **Variable Costs:** Costs that change with the level of production (e.g., raw materials, direct labor).
  - **Fixed Costs:** Costs that remain constant regardless of output (e.g., rent, salaries, insurance).
- **Formula:** Total Cost = Fixed Costs + Variable Costs

#### **2. Company Objectives (The Strategic Goal):**

- **Survival Pricing:** Setting low prices to cover costs and stay in business during tough times.
- **Profit Maximization:** Setting prices to generate the highest possible profit.
- **Market Share Leadership:** Setting low prices to attract a large number of customers and achieve a dominant market position.
- **Product Quality Leadership:** Setting high prices to cover the high cost of research, development, and premium quality (e.g., Apple, Mercedes-Benz).

#### **3. Marketing Mix Strategy (The Integrated Plan):**

- Price must be consistent with the other 3 Ps.
- A **high-quality product**, sold through **exclusive distribution** and supported by **heavy promotion**, must command a premium price.

### **B. External Factors (Outside the Company's Control)**

#### **1. Market Demand and Customer Perception (The Ceiling Price):**

- The maximum price is determined by what customers are willing to pay based on their **perceived value** of the product.
- **Elasticity of Demand:** How sensitive demand is to a change in price.
  - **Elastic Demand:** A small price change causes a large change in quantity demanded (e.g., luxury goods, holidays).
  - **Inelastic Demand:** A price change has little effect on quantity demanded (e.g., essential goods like salt, life-saving drugs).

## 2. Competition (The Benchmark):

- Companies must be aware of competitors' prices and strategies.
- In a highly competitive market (e.g., the mobile telecoms sector), companies have less freedom to set their own prices.

## 3. Economic Conditions:

- In a recession, consumers become more price-sensitive, forcing companies to lower prices or offer discounts.
- Inflation may force companies to increase prices to maintain profitability.

## 4. Government and Regulations:

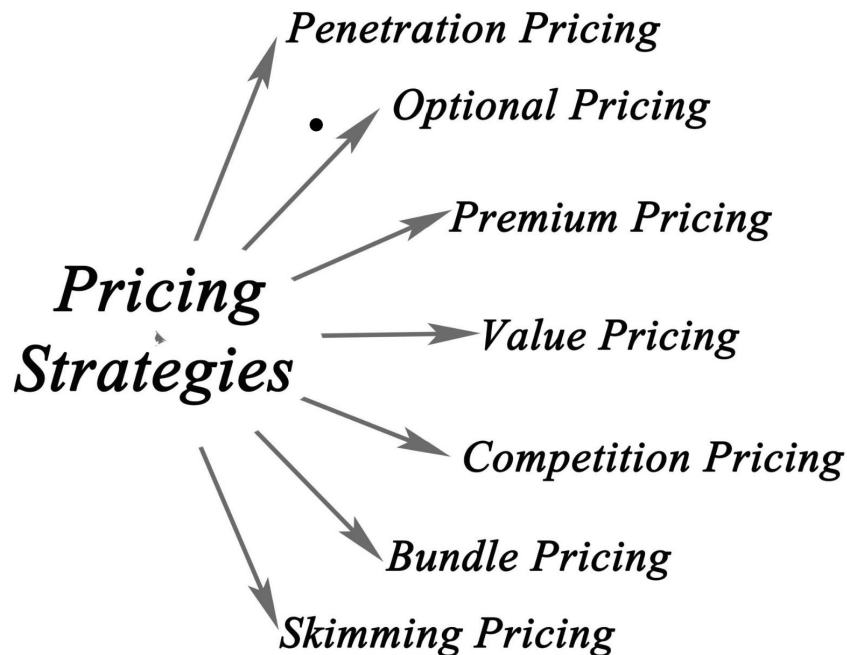
- Governments can impose **price controls** on essential commodities (e.g., fuel, electricity) to protect consumers.
- Regulations may prevent **predatory pricing** (setting very low prices to eliminate competition).

### Illustration: The Pricing Corridor

| Zone      | Definition                                                                           | The Risk                                                                                | Strategic Focus                                                             |
|-----------|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| The FLOOR | <b>Absolute Minimum.</b><br>The total cost to produce, market, and deliver one unit. | If you price below this, you operate at a <b>loss</b> . Sustainable only for short-term | <b>Cost Control:</b> focus on lowering production costs to lower the floor. |

| Zone                                           | Definition                                                                                             | The Risk                                                                                  | Strategic Focus                                                                               |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| (Cost Based)                                   |                                                                                                        | "Loss Leaders."                                                                           |                                                                                               |
| <b>The CORRIDOR</b><br><br>(Competition Based) | <b>The Playground.</b> The gap between your cost and the customer's value.                             | Pricing too low leaves money on the table; pricing too high loses market share to rivals. | <b>Differentiation:</b> Use branding, service, or speed to justify moving toward the ceiling. |
| <b>The CEILING</b><br><br>(Value Based)        | <b>Absolute Maximum.</b> The highest price a customer is willing to pay before they feel "ripped off." | If you price above this, <b>demand drops to zero.</b>                                     | <b>Marketing:</b> Increase perceived value (brand prestige) to raise the ceiling.             |





### **3. STRATEGIC PRICING MODELS: A TOOLKIT FOR DIFFERENT GOALS**

**1. Cost-Based Pricing (The Inside-Out Approach)** Setting prices based primarily on the cost of producing and selling the product, plus a markup for profit.

- **Cost-Plus Pricing:**
  - **Formula:**  $\text{Selling Price} = \text{Total Cost per Unit} + (\text{Markup Percentage} \times \text{Total Cost per Unit})$
  - **Example:** If a shoe costs N5,000 to produce and the company wants a 20% markup, the selling price is  $N5,000 + (0.20 \times N5,000) = \text{N6,000}$ .
  - **Advantage:** Simple to calculate; ensures costs are covered.
  - **Disadvantage:** Ignores demand, competition, and perceived value.

**2. Value-Based Pricing (The Outside-In Approach)** Setting prices based on the customer's perceived value of the product, not the seller's cost.

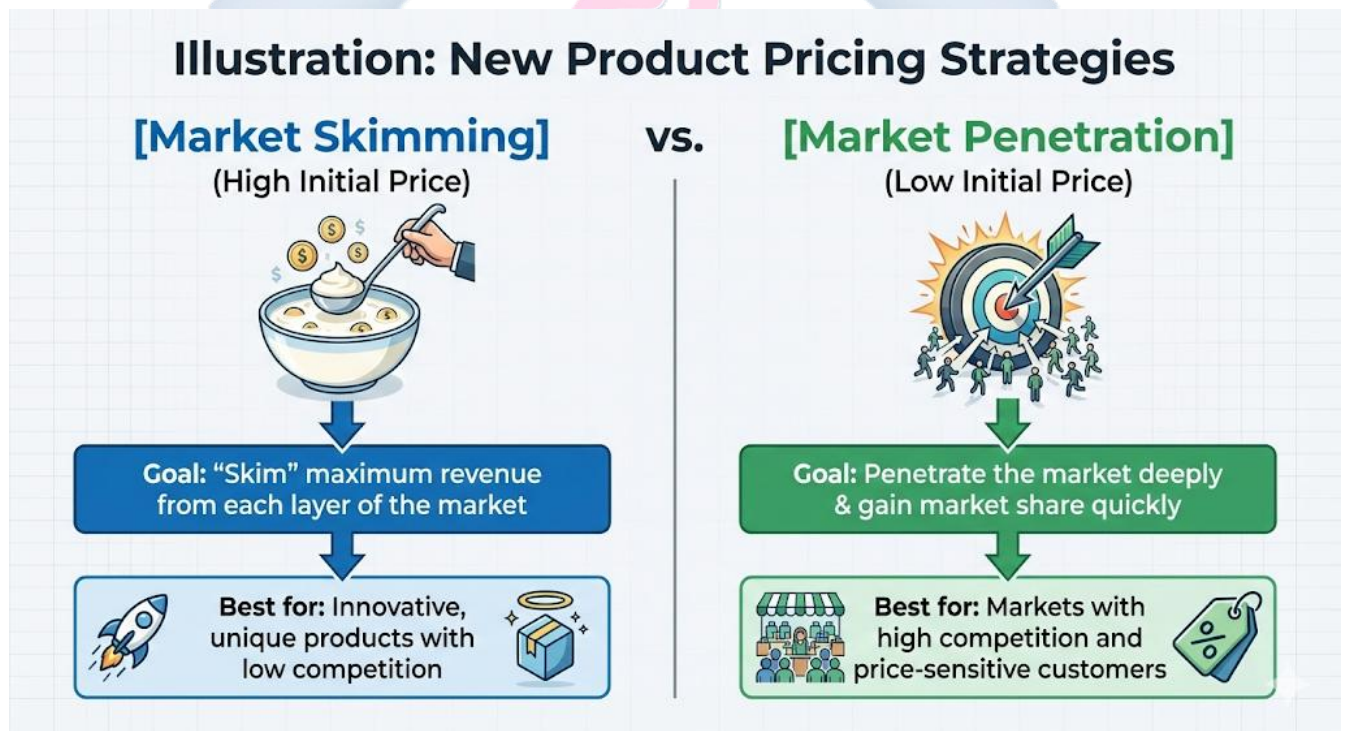
- **Process:** Understand the customer's needs and the value they derive from the product, then set a price that captures a portion of that value.

- **Example:** A designer handbag may cost only N10,000 to make, but because of the brand's prestige (perceived value), it sells for N100,000.
- **Advantage:** Can lead to higher profits; aligns price with customer expectations.
- **Disadvantage:** Difficult to measure perceived value accurately.

**3. Competition-Based Pricing (The Market-Follower Approach)** Setting prices based on what competitors are charging.

- **Going-Rate Pricing:** Setting a price that is equal to the average market price.
- **Sealed-Bid Pricing:** Setting a price based on what the company believes competitors will bid (common for government contracts).
- **Advantage:** Simple and safe; avoids price wars.
- **Disadvantage:** Ignores own costs and value proposition.

#### 4. TACTICAL PRICING STRATEGIES: PSYCHOLOGY AND TIMING



#### A. New Product Pricing

- **Price Skimming:** Setting a high initial price for a new, innovative product to "skim" maximum revenue from customers willing to pay a premium. The price is lowered over time as new customer segments are targeted.
  - *Example:* New PlayStation or iPhone models.
- **Penetration Pricing:** Setting a very low initial price to attract a large number of customers quickly and gain a substantial market share. The price may be raised later.
  - *Example:* New mobile network operators (like Glo in its early days) offering very low call rates.

**B. Psychological Pricing** Setting prices that have a psychological impact.

- **Odd-Even Pricing:** Setting prices just below a round number (e.g., N999 instead of N1,000). The left-digit effect makes the price seem significantly lower.
- **Prestige Pricing:** Setting high, round-number prices to reinforce a product's premium quality and status (e.g., a luxury car priced at N20,000,000, not N19,999,999).

**C. Product Mix Pricing** Setting prices for multiple products in a way that maximizes profits for the entire portfolio.

- **Captive Product Pricing:** Setting a low price for the core product (e.g., a printer) but a high price for the necessary consumables (e.g., ink cartridges).
- **Product Bundle Pricing:** Combining several products and selling the bundle at a reduced price (e.g., a "meal deal" at a fast-food restaurant).

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### Evaluation:

1. Why is price considered the only element of the marketing mix that generates revenue?
2. A company selling umbrellas notices that on a sunny day, demand is low, but on a rainy day, people are willing to pay much more. Which external factor of pricing does this demonstrate? Is the demand for umbrellas on a rainy day elastic or inelastic? Explain.
3. Differentiate between **Cost-Plus Pricing** and **Value-Based Pricing**. Which approach is more likely to lead to higher profits for a unique, innovative product?

4. A new company is launching a energy drink into a market dominated by two big brands. Should it use a **Skimming** or **Penetration** pricing strategy? Justify your answer.

**Assignment: Pricing Strategy Scenario Analysis**

**Scenario 1: The Bakery** "Boma's Bakery" spends N120 to produce a loaf of bread. This cost includes ingredients (N70), labor (N30), and overheads (N20). The standard markup in the bakery industry is 50%.

- **Task:** Calculate the selling price for Boma's bread using the Cost-Plus Pricing method.

**Scenario 2: The Tech Startup** "NaijaTech" has developed a revolutionary mobile app that helps farmers predict weather patterns with 95% accuracy. This can significantly increase crop yields. There is no direct competitor.

- **Task:**
  - a. Which pricing strategy (Skimming or Penetration) would you recommend for NaijaTech? Why?
  - b. Beyond the initial strategy, suggest one psychological or product mix pricing tactic they could use in the future and explain how it would benefit them.

**Scenario 3: The Supermarket** A large supermarket like "Shoprite" sells both manufacturer brands (e.g., Kellogg's Cornflakes) and its own private label brand (e.g., "Rite" Cornflakes).

- **Task:** Explain how the supermarket might use competition-based pricing for the Kellogg's product and captive product pricing elsewhere in the store. Provide specific examples.
-

## WEEK 10: CHANNELS OF DISTRIBUTION

**Topic:** The Pathways from Producer to Consumer

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define a distribution channel and explain its role in creating time and place utility.
  2. Analyze the different levels and types of distribution channels.
  3. Evaluate the functions and value-added by various marketing intermediaries.
  4. Determine the key factors that influence the choice of a distribution channel.
- 

### 1. THE CONCEPT OF DISTRIBUTION CHANNELS: BRIDGING THE GAP

A **Channel of Distribution** (or **Marketing Channel**) is the network of businesses and intermediaries involved in getting a product or service from the producer to the final consumer. It is the **route** or **pathway** that ownership of goods follows as they travel from origin to consumption.

- **Creating Utility:** While transportation creates *place utility* and warehousing creates *time utility*, the entire distribution channel is the system that manages and executes these functions, ensuring products are available where and when customers want them.
- **The Flow of Ownership:** It's crucial to understand that the channel tracks the flow of *title* (ownership), not necessarily the physical product. The physical product might move directly from a factory to a retailer, but the ownership may have passed through a wholesaler.

#### Key Participants in a Distribution Channel:

- **Producer/Manufacturer:** The creator of the good or service.
  - **Intermediaries (Middlemen):** Independent organizations that assist in the flow of goods from producer to consumer.
  - **Final Consumer/End-User:** The person or organization that uses the product.
-

## 2. THE CHANNEL STRUCTURE: FROM DIRECT TO COMPLEX

Distribution channels can be categorized by their **length**—the number of intermediary levels between the producer and the consumer.

**Channel Level 0: The Direct Channel (Producer → Consumer)** No intermediaries are involved. The producer sells directly to the end-user.

- **Methods:** Company-owned retail stores, direct sales (e.g., Tupperware), online sales from the manufacturer's website, farm gate sales.
- **Examples:** **Innoson Vehicles** selling from its factory showroom, a farmer selling produce at a local market, **Jumia** (when acting as the seller, not the platform).
- **Advantages:** Full control over marketing, higher profit margins, direct customer feedback.
- **Disadvantages:** High cost and responsibility for distribution, limited market reach.

**Channel Level 1: One Intermediary (Producer → Retailer → Consumer)** A retailer is introduced. The retailer buys from the manufacturer and sells to the consumer.

- **Examples:** Large supermarkets like **Shoprite** or **Spar** buying directly from **Dangote** or **Nestlé**. Car dealerships.
- **Advantages:** Wider market reach than direct channels, reduces the producer's burden of dealing with thousands of individual consumers.
- **Disadvantages:** Producer gives up some margin and control.

**Channel Level 2: Two Intermediaries (Producer → Wholesaler → Retailer → Consumer)**

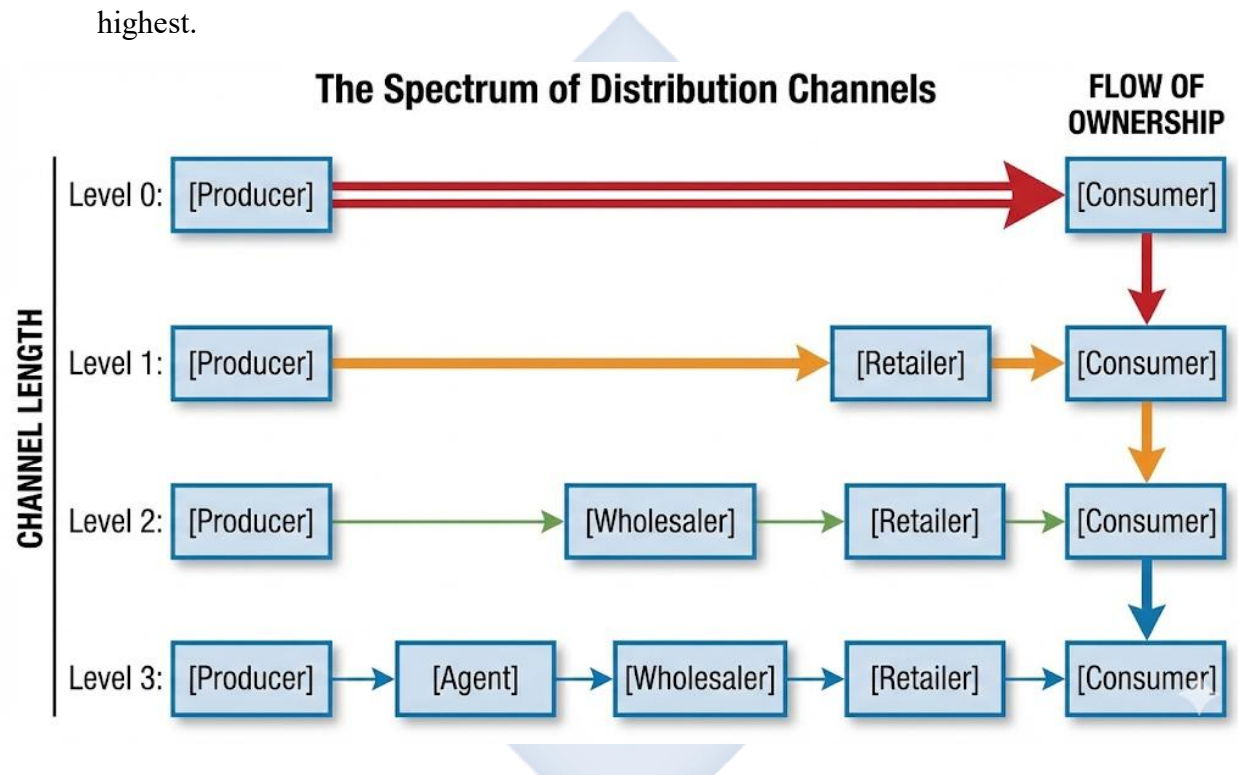
This is the traditional and very common channel for Fast-Moving Consumer Goods (FMCGs).

- **Examples:** A **PZ Cussons** factory sells soap to a **wholesaler** in Onitsha Main Market, who then sells to small **retailers** across the South-East, who then sell to **consumers**.
- **Advantages:** Provides a vital link for small producers and small retailers. The wholesaler breaks bulk, providing financial and logistical support.
- **Disadvantages:** Longer time for products to reach the market, higher final price due to multiple markups.



**Channel Level 3: Three Intermediaries (Producer → Agent → Wholesaler → Retailer → Consumer)** An agent (a facilitator who does not take title) is added. This is common in international trade or for small manufacturers entering new markets.

- **Examples:** A Nigerian cocoa bean farmer uses an **export agent** who sells the beans to a **foreign wholesaler**, who then supplies **chocolate manufacturers** or retailers.
- **Advantages:** Agents provide specialized market knowledge and contacts.
- **Disadvantages:** The longest and most complex channel; the final consumer price is highest.



### ***3. THE VITAL ROLE OF INTERMEDIARIES: DISPELLING THE "MIDDLEMAN MYTH"***

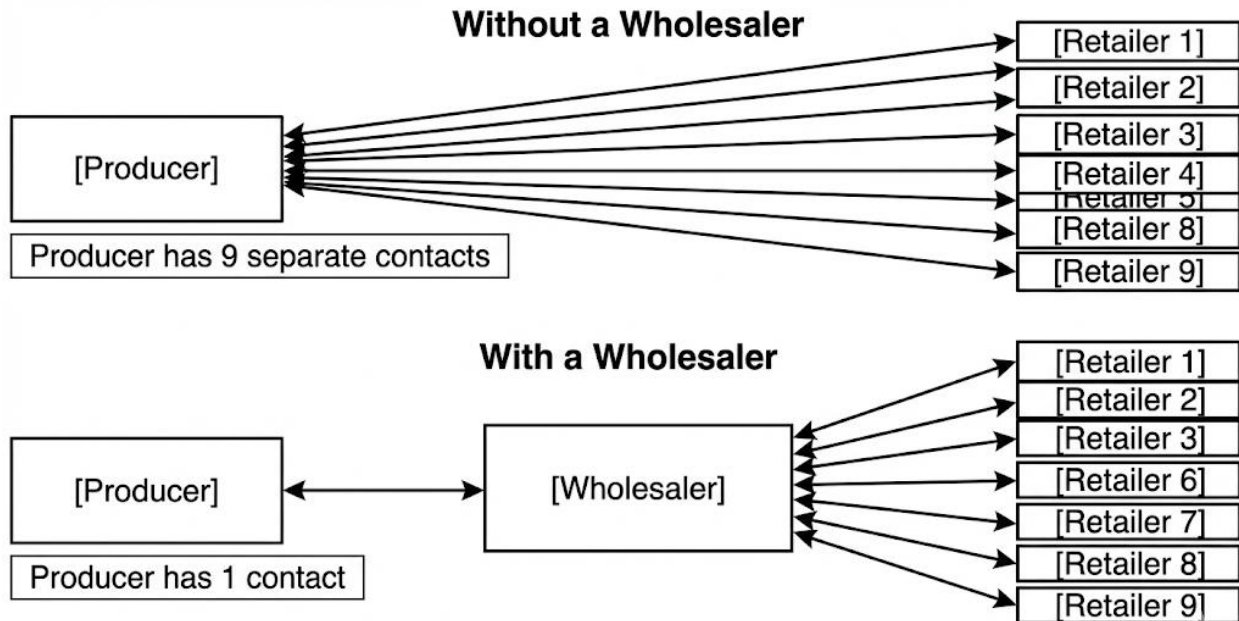
A common misconception is that intermediaries simply add cost without adding value. In reality, they perform essential functions that make the distribution system more efficient. They **add value** by resolving the discrepancies between a producer's output and a consumer's needs.

#### **A. The Wholesaler: The Bulk-Breaking Hub**

- **Bulk Breaking:** Buying in large quantities from producers and selling in smaller quantities to retailers. A retailer cannot buy 10,000 bars of soap, but a wholesaler can.
- **Warehousing and Storage:** Holding stock, creating time utility.
- **Transportation:** Arranging for the movement of goods from producers to their warehouses and to retailers.
- **Financing:** Extending credit to retailers and paying producers promptly.
- **Risk Bearing:** Assuming the risk of theft, spoilage, or obsolescence of the goods they hold.
- **Market Information:** Providing feedback to producers about market trends and competitor activities.

#### **B. The Retailer: The Final Touchpoint**

- **Convenience:** Located close to consumers, offering easy access.
- **Product Assortment:** Providing a variety of products from different manufacturers in one place.
- **Breaking Bulk Further:** Selling in unit quantities that consumers can afford.
- **Customer Service:** Providing advice, after-sales support, and handling returns.
- **Promotion and Merchandising:** Creating in-store displays and running local promotions.



The number of contacts is drastically reduced, creating efficiency.

***Illustration: How Intermediaries Create Efficiency***

#### **4. CHOOSING THE RIGHT PATH: FACTORS INFLUENCING CHANNEL CHOICE**

There is no single "best" channel. The choice depends on a strategic analysis of several factors:

**1. Product Characteristics:**

- **Perishability:** Fresh fish, milk, and bread need very short channels (Level 0 or 1).
- **Complexity/Technicality:** High-tech products or custom machinery often use direct channels (Level 0) for expert sales support.
- **Value/Bulk:** Low-value, high-bulk products (like cement) need channels that minimize handling and transportation costs.

**2. Market and Customer Factors:**

- **Geographic Dispersion:** A mass market spread across the country (e.g., for soft drinks) requires long channels with many intermediaries. A concentrated market allows for a direct sales force.

- **Purchase Behavior:** How, when, and where do customers buy? For routine purchases of FMCGs, customers expect intensive distribution in nearby stores.

### 3. Company Resources and Objectives:

- **Financial Strength:** A company with ample funds (like Dangote) can establish its own retail outlets. A small startup may need to rely on wholesalers and agents.
- **Desired Control:** A company that wants to control its brand image, price, and promotion (like Apple) will opt for shorter channels.

### 4. Competitive Landscape:

- A company may choose to distribute its products in the same outlets as its competitors to facilitate comparison. Alternatively, it may choose a unique channel to stand out (e.g., selling high-end cosmetics only in exclusive department stores).

#### Illustration: Channel Selection Guide

| Product / Market Type | Recommended Channel | Reasoning                                                                                                                       |
|-----------------------|---------------------|---------------------------------------------------------------------------------------------------------------------------------|
| Custom Machinery      | Direct (Level 0)    | <b>Technical Complexity:</b> Requires expert installation and explanation directly from the manufacturer.                       |
| Online Software       | Direct (Level 0)    | <b>Digital Delivery:</b> The product is intangible and can be downloaded instantly; no physical shipping needed.                |
| Fresh Vegetables      | Direct or Level 1   | <b>Perishability:</b> The product rots quickly. It requires the shortest possible route to the consumer.                        |
| Luxury Watches        | Selective Level 1   | <b>Exclusivity:</b> Selling through too many shops dilutes the brand value. Requires high control over the display and service. |

| Product / Market Type   | Recommended Channel | Reasoning                                                                                                                                   |
|-------------------------|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| FMCGs<br>(Soap, Drinks) | Indirect (Level 2)  | <b>Mass Distribution:</b> These are low-margin, high-volume items. You need wholesalers to "break bulk" and reach thousands of small shops. |



### 5. MODERN CHANNEL TRENDS: THE DIGITAL DISRUPTION

- **Disintermediation:** The removal of intermediaries from a channel, made possible by the internet. A producer can now sell directly to a consumer online, bypassing the retailer and/or wholesaler.
- **Omni-Channel Distribution:** The integration of different channels (physical store, website, mobile app, social media) to provide a seamless customer experience. A customer might buy online and pick up in-store, or see a product in a store and order it via a mobile app for home delivery.

**Evaluation:**



1. Explain how a **wholesaler** adds value in the distribution of a product like bottled water, beyond just "buying and selling."
2. Why would a company like **FAN Milk** use a **Level 1** channel (selling to retailers and also via its own vendors) rather than a **Level 2** channel for its products?
3. "The internet has made intermediaries obsolete." Do you agree or disagree with this statement? Justify your answer with two reasons.
4. A small business in Aba producing high-quality leather bags wants to start selling to customers in Lagos. What distribution channel would you recommend it start with, and why?

### **Assignment: Distribution Channel Analysis**

**Part 1: Product Mapping** Choose **two** of the following products and map out their most likely distribution channel from the producer to your hands:

1. A loaf of **Gala** sausage roll.
2. A textbook for this Marketing class.
3. A smartphone (e.g., a Tecno phone).
4. A fresh tomato from a rural farm.

For each product:

- Draw the channel diagram (like in Illustration 1).
- Write one sentence explaining why this channel structure is appropriate for the product.

**Part 2: The Great Middleman Debate** Prepare a two-sided argument on the motion: "**The Middleman is an Unnecessary Cost in the Modern Nigerian Economy.**"

- Write **two** strong points *in favor* of the motion (arguing that middlemen should be eliminated).
  - Write **two** strong points *against* the motion (arguing that middlemen are essential).
-



# SS 2 MARKETING LESSON NOTES

## THIRD TERM

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### WEEK 1: SALES PROMOTION

**Topic:** The Art of Creating Urgency and Action

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define sales promotion and differentiate it from other elements of the promotional mix.
  2. Analyze and categorize various sales promotion tools targeted at consumers and trade partners.
  3. Evaluate the strategic importance and potential limitations of sales promotion campaigns.
  4. Design a simple sales promotion campaign for a product.
- 

#### *1. THE CONCEPT OF SALES PROMOTION: THE "ACTION" COMPONENT*

**Sales Promotion** refers to a diverse collection of short-term incentive tools designed to stimulate quicker or greater purchase of particular products or services by consumers or the trade.

- **The "Why Buy Now?" Factor:** While advertising gives consumers a **reason** to buy (building long-term brand image), sales promotion gives them an **incentive** to buy **now** (driving short-term action).
- **The Bridge in the Promotional Mix:** It serves as a crucial link between above-the-line activities (like advertising) and below-the-line activities (like personal selling), making the overall promotional effort more effective.

**Key Characteristics:**

- **Short-term orientation:** Designed for immediate impact.
- **Offers an incentive:** Tangible added value (price reduction, extra product, gift, etc.).

- **Target-specific:** Can be aimed at consumers, retailers, or wholesalers.
- **Measurable:** Results are often directly observable in sales figures.

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## 2. THE SALES PROMOTION TOOLKIT: METHODS AND APPLICATIONS

Sales promotion strategies are typically divided into two main categories: those targeting **Consumers** and those targeting the **Trade** (retailers and wholesalers).

### A. Consumer Promotion Tools (Pull Strategy: Pulling products through the channel)

#### 1. Price-Off Promotions (Discounts):

- A direct reduction in the product's price for a specified period.
- *Examples:* "50% Off," "Buy One Get One Free (BOGOF)," "₦500 Off."
- *Objective:* To clear old stock, attract price-sensitive customers, and counter competition.

#### 2. Coupons:

- Certificates that offer buyers a stated saving when they purchase a specific product.
- *Distribution Channels:* Newspapers, magazines, in-store, online, mobile apps.
- *Objective:* To encourage trial of a new product, reward loyal users, and induce brand switching.

#### 3. Premiums (Gifts):

- Goods offered free or at a low cost as an incentive to buy a product.
- **Types:**
  - **Free-in-the-mail premium:** Send proof of purchase to receive a gift.
  - **In-pack or On-pack premium:** The gift is inside or attached to the product package.
  - **Self-liquidating premium:** The consumer pays a low price for the gift, which covers its cost.
- *Example:* "Buy a large bottle of Hypo bleach and get a free washing sponge."

#### 4. Free Samples:

- The most effective—but most expensive—way to introduce a new product. It involves offering a small amount of a product for trial.
- *Distribution:* In-store tasting, door-to-door, included with other products, at events.
- *Objective:* To break down barriers to trial and generate initial user experience.

#### 5. Contests and Sweepstakes:

- **Contests:** Require some skill or effort (e.g., writing a jingle, solving a puzzle). Winners are judged.
- **Sweepstakes:** Winners are chosen by pure luck (e.g., draws, scratch-and-win cards).
- *Objective:* To create excitement and engagement, generate publicity, and build mailing lists.

#### 6. Loyalty Programs:

- Rewarding customers for their repeated business.
- *Examples:* Point-based systems (Shoprite Loyalty Card), tiered memberships (frequent flyer programs).
- *Objective:* To increase customer retention and lifetime value.

### B. Trade Promotion Tools (Push Strategy: Pushing products into the channel)

#### 1. Trade Allowances:

- **Advertising Allowance:** Price reduction given to retailers for featuring the manufacturer's product in their advertising.
- **Display Allowance:** Price reduction given for setting up a special in-store display.

#### 2. Free Goods (Buying Allowances):

- Offering extra cases of merchandise to intermediaries who buy a certain quantity or who buy a new product.
- *Example:* "Buy 10 cases, get 1 case free."

### 3. Trade Shows and Conventions:

- Industry-wide events where manufacturers can display their products, generate leads, and build relationships with distributors and retailers.
  - *Example:* The Lagos International Trade Fair.
- 

## 3. THE STRATEGIC IMPACT: WHY COMPANIES USE SALES PROMOTION

### A. The Importance (Advantages)

1. **Stimulates Short-Term Sales:** Creates a sense of urgency that can quickly reduce excess inventory and boost cash flow.
2. **Encourages Product Trial:** Free samples and coupons are highly effective for getting new customers to try a product for the first time.
3. **Rewards and Retains Loyal Customers:** Loyalty programs make existing customers feel valued, reducing the chance they will switch to a competitor.
4. **Complements Other Marketing Efforts:** A sales promotion can reinforce an advertising campaign by giving consumers a concrete reason to act on the message they've seen.
5. **Levels the Playing Field:** A smaller brand can use aggressive sales promotions to gain shelf space and attention away from larger, more established competitors.

### B. The Limitations (Disadvantages)

1. **Short-Lived Results:** Sales often spike during the promotion and then fall sharply afterward. This is known as the "post-promotion dip."
2. **Brand Image Erosion:** Overuse of price promotions can train consumers to buy only on deal, damaging the brand's perceived quality and value. A brand known for constant discounts may be seen as "cheap."
3. **High Cost:** Promotions can be expensive to administer (printing coupons, producing premiums) and eat into profit margins.
4. **Forward Buying and Diversion:**

- **Forward Buying:** Retailers stock up during a manufacturer's promotion and then sell the goods at the regular price after the promotion ends, pocketing the extra profit.
- **Diversion:** Wholesalers or retailers buy large quantities in a region where a promotion is running and then ship the goods to another region to sell.

## THE SALES PROMOTION CYCLE & ITS PITFALLS



### 4. DESIGNING AN EFFECTIVE SALES PROMOTION

For a sales promotion to be successful, it must be part of a clear plan:

1. **Set Objectives:** What exactly do you want to achieve? (e.g., increase market share by 5%, clear 10,000 units of old stock).
2. **Select the Right Tool:** Choose the tool that best fits your objective, target audience, and budget.
3. **Develop the Program:** Decide on the details: duration, terms and conditions, and how it will be communicated.
4. **Implement and Control:** Launch the promotion and monitor its execution.
5. **Evaluate the Results:** Measure the campaign's success against the original objectives.

### Evaluation:

1. A company launching a new energy drink is offering small cans at the entrance of a university. Which sales promotion tool is this? Why is this tool particularly effective for new products, despite its high cost?
2. Differentiate between a *contest* and a *sweepstakes*.
3. Explain the concept of the "post-promotion dip" and why it occurs.
4. "Sales promotions can devalue a brand." Under what conditions is this most likely to happen?

### Assignment: Create a Sales Promotion Campaign

You are the Marketing Manager for a Nigerian company that produces "**King's Bread**." You are facing intense competition, and sales have been flat for the last three months.

Your task is to design a one-month sales promotion campaign to boost sales. Your plan must include:

1. **Primary Objective:** What is the main goal of your campaign? (Be specific).
  2. **Target Audience:** Who are you trying to reach? (Consumers, retailers, or both?).
  3. **Promotion Tools:** Select **one** consumer tool and **one** trade tool. Justify your choices.
  4. **The Offer:** Describe the specific details of your promotion (e.g., "30% off all King's Bread for one week," "Buy 10 loaves, get 2 free for retailers").
  5. **Communication:** How will you let people know about this promotion? (Choose two channels).
-



## WEEK 2: ADVERTISING

**Topic:** The Art of Mass Persuasion **Duration:** Double Period (80 Minutes) **Instructional**

**Objectives:** At the end of the lesson, students should be able to:

6. Define advertising and analyze its key characteristics within the promotional mix.
  7. Evaluate the strengths and weaknesses of different advertising media.
  8. Explain the functions and strategic importance of advertising in modern marketing.
  9. Critically assess the ethical and practical limitations of advertising.
- 

### *1. THE CONCEPT OF ADVERTISING: PAID, NON-PERSONAL PERSUASION*

**Advertising** is any **paid form** of **non-personal** presentation and promotion of ideas, goods, or services by an **identified sponsor**.

Let's break down this definition:

- **Paid For:** Unlike public relations, which earns "free" media coverage, advertising space or time must be purchased. This guarantees control over the message's content, placement, and timing.
- **Non-Personal:** It communicates with a large audience simultaneously, not on a one-to-one basis like personal selling. There is no immediate interaction or feedback.
- **Identified Sponsor:** The advertiser is clearly known. This creates accountability and is used to build brand recognition.

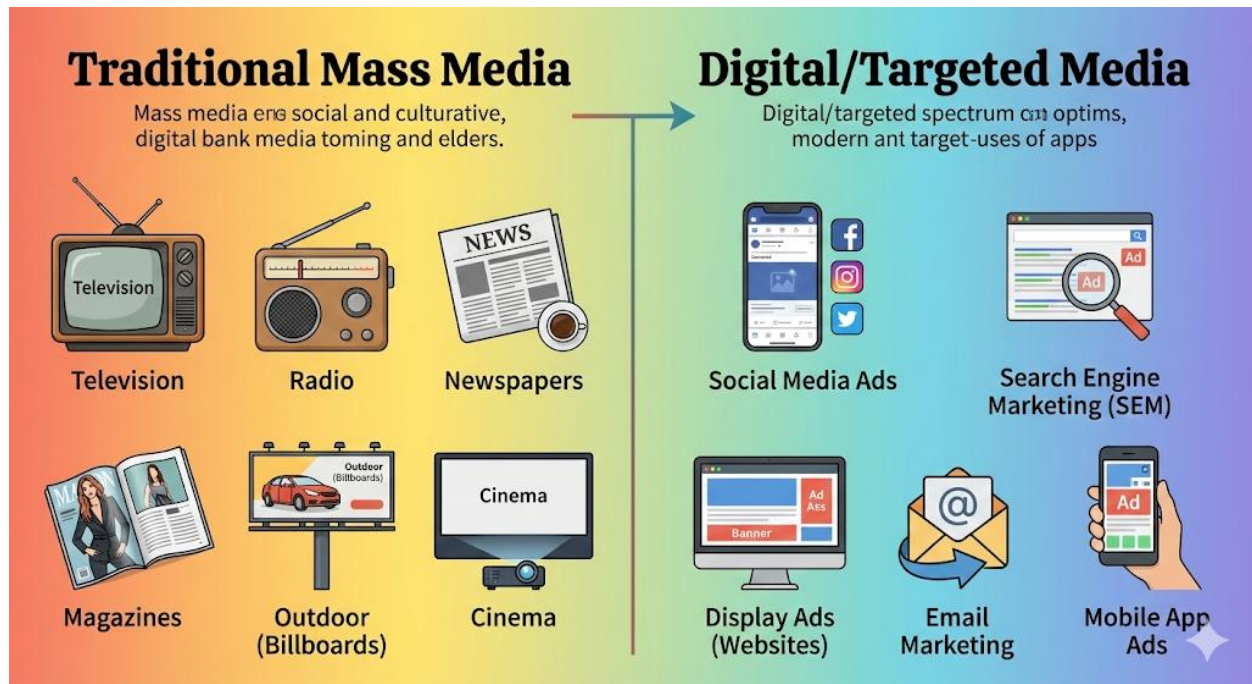
**Advertising in the Promotional Mix:** Advertising is a "pull" strategy, designed to create consumer demand that pulls the product through the distribution channel. It works alongside sales promotion, personal selling, and public relations to create a cohesive communication strategy.

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## 2. THE MEDIA LANDSCAPE: CHOOSING THE RIGHT CHANNEL

The choice of advertising medium is a critical strategic decision, balancing reach, cost, impact, and target audience. Media can be categorized as above-the-line (mass media) and below-the-line (more targeted).

### Illustration: The Advertising Media Spectrum



### A. Broadcast Media (Wide Reach, High Impact)

#### 1. Television:

- **Strengths:** Combines sight, sound, and motion for high emotional impact; mass reach; high credibility.
- **Weaknesses:** Extremely high production and airtime costs; fleeting message (cannot be revisited); audience fragmentation due to multiple channels.
- **Best For:** Building brand personality and launching new products to a mass market. *Example: MTN's "Everywhere You Go" campaign.*

#### 2. Radio:

- **Strengths:** High frequency and reach, especially in rural areas; low cost; mobile and local; uses imagination and sound effects.
- **Weaknesses:** Audio only (no visual element); background medium (listeners are often doing other things); short message life.
- **Best For:** Local businesses, time-sensitive promotions, and reinforcing messages from other media. *Example: OAPs (On-Air Personalities) promoting a local restaurant.*

## **B. Print Media (Tangible and Detailed)**

### **1. Newspapers:**

- **Strengths:** Good local coverage; timely (daily); high credibility; readers can clip and save coupons.
- **Weaknesses:** Short lifespan (one day); poor print quality; cluttered environment; declining readership.
- **Best For:** Sales promotions, local events, and job advertisements.

### **2. Magazines:**

- **Strengths:** High-quality printing; long lifespan (kept for weeks); targeted audience (by interest); high pass-along readership.
- **Weaknesses:** Long lead times (ads must be placed weeks in advance); higher cost than newspapers.
- **Best For:** Products that benefit from high-quality visuals and target specific lifestyles (e.g., fashion, travel, business).

## **C. Out-of-Home (OOH) Media (Constant Reminders)**

### **1. Billboards:**

- **Strengths:** High visibility and frequency; geographic flexibility; operates 24/7.
- **Weaknesses:** Brief exposure (glance from a moving vehicle); limited message complexity ("glance media"); can be subject to weather damage.

- **Best For:** Brand reinforcement and simple, visual messages. *Example: A large billboard for a new housing estate.*

## 2. Transit Advertising:

- Ads on buses, trains, taxis, and at bus stops.
- **Strengths:** Reaches a captive, mobile audience; highly localised.
- **Weaknesses:** Cluttered environment; limited to transit routes.

## D. Digital Media (Interactive and Measurable)

### 1. Social Media Advertising:

- Ads on platforms like Facebook, Instagram, TikTok, and X (Twitter).
- **Strengths:** Highly targeted by demographics, interests, and behavior; interactive (likes, shares, comments); measurable ROI.
- **Weaknesses:** Ad fatigue; privacy concerns; constantly changing algorithms.

### 2. Search Engine Marketing (SEM):

- Paid ads that appear on search engine results pages (e.g., Google Ads).
- **Strengths:** High intent (reaches people actively searching for a product); pay-per-click (PPC) model is cost-effective.
- **Weaknesses:** Can be competitive and expensive for popular keywords.

### Illustration: Media Selection Matrix

| Medium     | Best For...               | Key Strength                       | Key Weakness                       |
|------------|---------------------------|------------------------------------|------------------------------------|
| Television | Mass brand building       | High impact (sight, sound, motion) | High cost (production & placement) |
| Radio      | Local, frequent reminders | Cost-effective frequency           | No visual component                |
| Newspapers | Local promotions,         | Strong local reach                 | Short lifespan (read once,         |

| Medium              | Best For...                    | Key Strength                     | Key Weakness                  |
|---------------------|--------------------------------|----------------------------------|-------------------------------|
|                     | timeliness                     |                                  | discarded)                    |
| <b>Magazines</b>    | Niche, high-quality products   | Highly targeted; Long shelf-life | Slow lead time (weeks/months) |
| <b>Billboards</b>   | Simple brand reminders         | Constant physical presence       | Message must be very brief    |
| <b>Social Media</b> | Engagement & precise targeting | Highly interactive; Data-rich    | Ad avoidance & saturation     |

### 3. THE STRATEGIC FUNCTIONS OF ADVERTISING

Advertising is not just about making a sale; it serves multiple strategic functions throughout the customer journey:

#### 1. Informative Function:

- To introduce new products and educate the market about features, uses, and benefits. *Example: An ad for a new smartphone explaining its camera capabilities.*

#### 2. Persuasive Function:

- To persuade customers that a brand is the best choice, often by comparing it to competitors or appealing to emotions. *Example: A Pepsi ad implying it is the choice of a new, cool generation.*

#### 3. Reminder Function:

- To keep the brand top-of-mind for consumers, reinforcing previous messages. This is crucial for mature products. *Example: Constant Coca-Cola ads reminding people of the brand's association with happiness.*

#### 4. Reinforcement Function:

- To assure current customers they made the right choice, reducing cognitive dissonance. *Example: An ad showing satisfied Toyota owners.*

#### 5. **Brand Image Building:**

- To create a unique personality and set of associations for a brand over the long term. *Example: Apple's ads project an image of innovation, simplicity, and creativity.*

#### 6. **Support for Other Channels:**

- It "paves the way" for salespeople by creating awareness and interest, making the salesperson's job easier.

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### **4. A CRITICAL VIEW: THE LIMITATIONS AND ETHICAL CONCERNS**

While powerful, advertising faces significant challenges and criticisms:

#### 1. **High Cost:**

- Producing a high-quality TV commercial and buying prime-time airtime can cost millions of Naira, making it inaccessible for small businesses.

#### 2. **Media Clutter:**

- The average person is exposed to thousands of commercial messages daily. Breaking through this clutter to get noticed is increasingly difficult.

#### 3. **Lack of Immediate Feedback:**

- As a one-way communication channel, it doesn't allow for immediate questions or objections from the audience.

#### 4. **Persuasion vs. Manipulation:**

- **Criticism:** Advertising can create **artificial needs**, making people feel dissatisfied with what they have and desire things they do not truly need, leading to materialism.



- **Ethical Concern:** Some ads use **subliminal messages** (messages below the threshold of conscious awareness) or exploit emotions in unethical ways.

#### 5. **Deceptive and Misleading Advertising:**

- Exaggerating product benefits or making false claims (e.g., a "miracle" cream that promises to remove wrinkles instantly). This is illegal and regulated by bodies like Nigeria's **Advertising Practitioners Council of Nigeria (APCON)**.

#### 6. **Cultural and Social Impact:**

- Advertising can perpetuate negative stereotypes (e.g., always showing women cleaning or men as bosses). It also has a powerful influence on children's values and desires.

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### **Evaluation:**

1. A local bakery in Ibadan wants to advertise a new cake to families in the city. Which *two* media would you recommend? Justify your choices based on the bakery's likely budget and target audience.
2. Explain the difference between the **Persuasive Function** and the **Reminder Function** of advertising, providing a clear example for each.
3. "Digital advertising is more measurable than traditional television advertising." Why is this statement true?
4. Do you believe advertising primarily *informs* consumers or *manipulates* them? Support your argument with two reasons.

### **Assignment: Deconstruct an Advertisement**

Find a specific advertisement from any medium (e.g., a TV commercial on YouTube, a print ad in a magazine, or a digital ad on Instagram).

Create a short report analyzing the following:

1. **The Ad:** Describe the advertisement. What is the visual? What is the headline or key message?

2. **Target Audience:** Who is this ad trying to reach? (Consider age, gender, interests, income level).
  3. **Medium & Message:** Why is the chosen medium appropriate for this message and audience?
  4. **Appeal:** What persuasive technique is used? (e.g., humor, fear, sex appeal, logic, celebrity endorsement).
  5. **Critique:** In your opinion, is this advertisement effective? Why or why not? Does it raise any ethical concerns?
- 



## WEEK 3: PERSONAL SELLING

**Topic:** The Human Element of Marketing **Duration:** Double Period (80 Minutes) **Instructional**

**Objectives:** At the end of the lesson, students should be able to:

1. Define personal selling and differentiate it from other promotional tools.
2. Analyze the key steps in the personal selling process.
3. Evaluate the essential qualities and skills of an effective salesperson.
4. Assess the advantages, disadvantages, and modern evolution of personal selling.

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### 1. THE CONCEPT OF PERSONAL SELLING: THE HUMAN TOUCH

**Personal Selling** is the interpersonal process where a salesperson uncovers and satisfies the needs of a prospective buyer through a **face-to-face, two-way** communication, building a relationship and making a sale.

- **The Relationship Builder:** Unlike the mass, impersonal nature of advertising, personal selling is about building trust and rapport. It's the human element that turns a prospect into a customer and a customer into a loyal advocate.
- **Two-Way Communication:** This is its defining feature. The salesperson doesn't just talk; they listen, allowing for immediate feedback, questions, and customized solutions.

#### Personal Selling vs. Other Promotional Tools:

| Feature       | Personal Selling                       | Advertising                      |
|---------------|----------------------------------------|----------------------------------|
| Communication | Two-way, Interactive<br><br>(Dialogue) | One-way, Mass<br><br>(Monologue) |

| <b>Feature</b>          | <b>Personal Selling</b>                                              | <b>Advertising</b>                                                              |
|-------------------------|----------------------------------------------------------------------|---------------------------------------------------------------------------------|
| <b>Feedback</b>         | <b>Immediate</b><br><br>(Salesperson can adjust pitch on the spot)   | <b>Delayed &amp; Indirect</b><br><br>(Sales data, surveys, click-through rates) |
| <b>Flexibility</b>      | <b>High</b><br><br>(Message tailored to specific client needs)       | <b>Low</b><br><br>(Standardized message for all audiences)                      |
| <b>Cost per Contact</b> | <b>Very High</b><br><br>(Salaries, commissions, travel)              | <b>Relatively Low</b><br><br>(Reach millions for pennies per person)            |
| <b>Relationship</b>     | <b>Deep Relationships</b><br><br>(Builds long-term trust/consulting) | <b>Brand Awareness</b><br><br>(Builds recognition and recall)                   |

## 2. THE SALES PROCESS: A ROADMAP TO SUCCESS

Effective personal selling is not a random event; it is a structured process known as the **Sales Cycle**. Understanding these steps is crucial for any sales professional.

### Step 1: Prospecting and Qualifying

- **What it is:** Identifying potential customers ("prospects") and determining if they have the need, authority, budget, and willingness to buy.
- **Methods:** Referrals from existing customers, cold calling, networking at events, using social media (e.g., LinkedIn).
- **Key Question:** "Is this person a good fit for what I'm selling?"

### Step 2: Pre-approach

- **What it is:** The research and planning stage *before* making contact. This is where the salesperson does their homework.
- **Activities:** Researching the prospect's company, industry, and potential needs. Setting clear objectives for the sales call.
- **Key Question:** "What do I need to know to provide value to this prospect immediately?"

### Step 3: The Approach

- **What it is:** The initial contact with the prospect. The goal is to make a good first impression, build rapport, and secure permission to proceed with the presentation.
- **Techniques:** A reference from a mutual contact, a comment on a recent company achievement, or a thought-provoking question about their business.
- **Key Goal:** To transition smoothly from the introduction to the needs-discovery phase.

### Step 4: Presentation and Demonstration

- **What it is:** The core of the process, where the salesperson presents how their product or service solves the prospect's specific problems.
- **Modern Approach:** This is not a monologue. It's a dialogue focused on **benefits**, not just features. Using the **FAB** technique is crucial:

- **Feature:** A factual characteristic of the product (e.g., "This phone has a 48MP camera.").
- **Advantage:** What the feature does (e.g., "...which allows you to capture incredibly detailed photos.").
- **Benefit:** How that advantage helps the *customer* (e.g., "...so you can preserve your family memories with stunning clarity.").
- **Key Principle:** "Sell the sizzle, not the steak." Sell the benefit and the outcome.

### Step 5: Handling Objections

- **What it is:** Prospects will naturally have concerns or objections (e.g., "It's too expensive," "I need to think about it"). A good salesperson doesn't fear these; they welcome them as signs of interest.
- **Techniques:**
  - **Listen Fully:** Let the prospect voice their entire objection.
  - **Acknowledge and Validate:** "I understand why cost is a concern."
  - **Respond:** Provide information to overcome the objection. For "It's too expensive," you might reframe it as an investment, highlight long-term value, or break down the cost.
- **Key Mindset:** An objection is not a rejection; it is a request for more information.

### Step 6: Closing the Sale

- **What it is:** Asking for the order. This is the step many find difficult, but it is the ultimate goal of the process.
- **Closing Techniques:**
  - **The Assumptive Close:** "Shall we get the delivery started for next Tuesday?"
  - **The Alternative Choice Close:** "Would you prefer the blue model or the black one?"
  - **The Summary Close:** Summarizing the agreed-upon benefits and then asking for the order.
- **Key Action:** You must *ask* for the business.



## Step 7: Follow-up

- **What it is:** The process does not end with the sale. Follow-up ensures customer satisfaction, resolves any post-purchase issues, and lays the foundation for repeat business and referrals.
- **Activities:** A thank-you call, checking that the product was delivered and works correctly, providing ongoing support.
- **Key Benefit:** It costs far less to retain an existing customer than to acquire a new one.

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### 3. THE MODERN SALESPERSON: QUALITIES AND SKILLS FOR SUCCESS

The image of the pushy, fast-talking salesperson is outdated. Today's successful sales professional is a consultant, a problem-solver, and a relationship manager.



#### A. Foundational Qualities (The Character)

1. **Integrity and Honesty:** Building long-term trust is more valuable than making a single, dishonest sale.

2. **Empathy:** The ability to see the world from the customer's perspective and understand their needs and fears.
3. **Resilience and Persistence:** The ability to handle rejection ("No") and continue with a positive attitude. Sales is a numbers game.
4. **Self-Motivation:** A strong internal drive to achieve goals without needing constant supervision.

## **B. Essential Skills (The Capabilities)**

1. **Product and Market Knowledge:** Deep understanding of their own product, the competition, and the customer's industry.
2. **Active Listening:** Listening to understand, not just to reply. This is how true needs are uncovered.
3. **Communication Skills:** The ability to articulate ideas clearly, ask probing questions, and present confidently.
4. **Problem-Solving Skills:** Viewing the customer's challenges as puzzles to be solved with your product as the solution.

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## **4. THE STRATEGIC VALUE AND INHERENT CHALLENGES**

### **A. The Advantages (Why Companies Invest in It)**

- **Tailored Solutions:** The message and offering can be customized for each individual customer.
- **Complex Sales:** Essential for selling complex, expensive, or highly technical products (e.g., industrial machinery, software systems) that require explanation.
- **Relationship Building:** Creates loyal customers who are less likely to be swayed by competitors' price cuts.
- **Direct Feedback:** Provides the company with invaluable, unfiltered information from the market front lines.

### **B. The Disadvantages (The Costs and Hurdles)**

- **High Cost per Contact:** Employing, training, and managing a sales force is one of the most expensive promotional activities.
  - **Limited Reach:** A single salesperson can only interact with a finite number of people per day.
  - **High Turnover:** The high-pressure environment leads to burnout and significant staff turnover in many sales departments.
  - **Management Challenge:** Requires sophisticated training, motivation, and supervision to ensure effectiveness.
- 

### Evaluation:

1. During the presentation stage, a salesperson says, "This generator has an automatic voltage regulator [Feature], which prevents power surges from damaging your appliances [Advantage], giving you peace of mind during unstable power supply [Benefit]." Explain why this FAB approach is more effective than just listing features.
2. A prospect says, "I like it, but I need to discuss it with my partner." What type of objection is this, and what is one technique the salesperson could use to address it?
3. Why is the **Follow-up** stage considered a critical part of the modern sales process, rather than just an optional courtesy?
4. "In the age of e-commerce, personal selling is becoming obsolete." Do you agree? Defend your position with two reasoned arguments.

### Assignment: The Sales Role-Play Scenario

**Situation:** You are a sales representative for "**SwiftConnect Solutions**," a company that provides high-speed internet services to small businesses. Your product offers faster speeds and more reliable uptime than the current market leader, but it is 15% more expensive.

**Your Prospect:** The manager of a local cyber café who has complained about frequent internet downtime losing him customers.

**Your Task:** Write a script for a 5-minute sales conversation. Your script must demonstrate at least **four** of the seven steps in the personal selling process. Clearly label these steps in your script.

**For example:**

- **(Approach):** "Good morning, Sir. I was in your café last week and overheard a customer frustrated by the slow internet. That's exactly the problem my company, SwiftConnect, helps to solve."
  - **(Handling Objections):** [When the manager mentions price...]
- 



## WEEK 4: PUBLIC RELATIONS (PR) IN MARKETING

**Topic:** Building Trust and Relationships Beyond Advertising

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define Public Relations (PR) and distinguish it from advertising and other promotional tools.
2. Analyze the core functions of PR in supporting marketing objectives.
3. Evaluate the various tools and strategies used in PR campaigns.
4. Assess the strategic importance of PR in building brand reputation and managing crises.

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### ***1. THE CONCEPT OF PUBLIC RELATIONS: EARNING TRUST, NOT BUYING IT***

**Public Relations (PR)** is the strategic management function that identifies, establishes, and maintains mutually beneficial relationships **between** an organization and the various publics on whom its success or failure depends.

- **The "Publics" in PR:** These are all the groups an organization interacts with, including customers, employees, investors, media, government, local communities, and suppliers.
- **The Core Idea:** While advertising is about *promoting a product*, PR is about *building a reputation*. It's the art of earning, rather than buying, favorable public perception and goodwill.

#### **Key Characteristics of PR:**

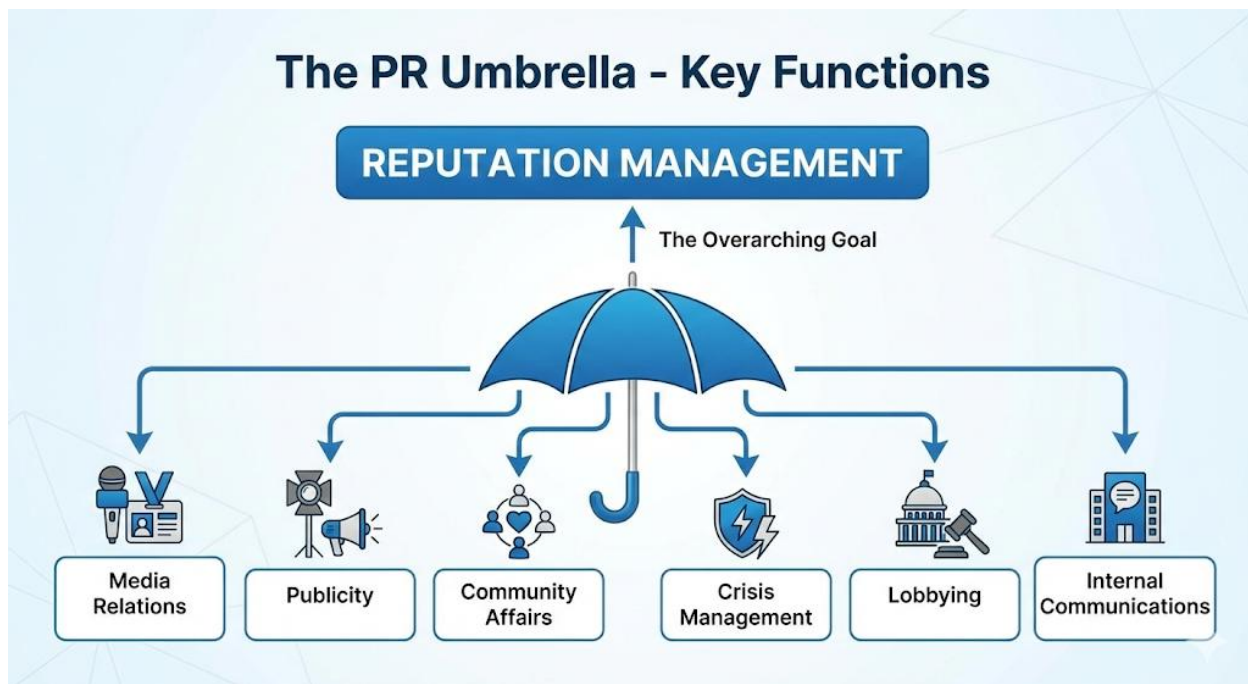
- **Third-Party Endorsement:** PR often works through journalists and influencers, making the message more credible than a paid ad.
- **Long-Term Orientation:** Focused on building and maintaining a positive image over time.
- **Two-Way Communication:** PR listens to public sentiment and communicates the organization's perspective.

- **Management Function:** It is not just a tactical tool; it informs senior management decision-making to align company actions with public expectations.

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## 2. THE STRATEGIC FUNCTIONS OF PR IN MARKETING

PR supports marketing by creating a favorable environment in which to sell. It builds the brand's "social license" to operate.



### 1. Media Relations and Publicity:

- Building strong relationships with journalists, bloggers, and influencers to secure positive, unpaid media coverage.
- **Publicity** is the visible output of this function—a news story, a feature article, or a segment on TV.

### 2. Product Publicity:

- Specifically focused on generating buzz and awareness for new products or services. This can be more effective than advertising for a launch because it carries the credibility of the media outlet.



- *Example:* Organizing a press conference to launch a new smartphone, resulting in tech reviews and news articles.

### **3. Corporate Communications:**

- Shaping and communicating the overall identity of the organization. This includes managing the corporate website, annual reports, and internal newsletters to present a consistent and positive image.

### **4. Public Affairs and Lobbying:**

- Managing relationships with government bodies and influencing public policy that affects the organization.
- *Example:* A telecommunications company lobbying the government for better spectrum allocation.

### **5. Crisis Management:**

- The most critical PR function. It involves preparing for, responding to, and recovering from events that could damage the organization's reputation (e.g., product recalls, scandals, accidents).
- *Goal:* To protect the brand and restore public trust as quickly as possible.

### **6. Social Responsibility (CSR):**

- Initiating and promoting programs that benefit society, demonstrating that the company is a good corporate citizen.
- *Example:* A company like Dangote Group funding health initiatives or MTN providing scholarships.

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## ***3. THE PR TOOLKIT: INSTRUMENTS OF INFLUENCE***

PR professionals use a diverse set of tools to execute their strategies.

### **1. Press Release (News Release):**

- A standardized document announcing something newsworthy (a new product, an executive hire, a partnership) sent to the media. It answers: Who, What, When, Where, and Why.

**2. Media Kit:**

- A package of information given to journalists, containing press releases, fact sheets, high-quality images, bios of key executives, and background information about the company.

**3. News Conference (Press Conference):**

- A staged event where an organization invites media representatives to hear an announcement and ask questions. Used for major, time-sensitive news.

**4. Sponsorships:**

- Financing an event, team, or social cause to gain positive association and media attention.
- *Example:* **MTN** sponsoring the Nigerian Football Federation or **Milo** sponsoring school sports championships.

**5. Special Events:**

- Hosting events like factory open days, anniversary celebrations, or product sampling events to create positive experiences and generate word-of-mouth.

**6. Social Media Management:**

- Using platforms like Twitter, LinkedIn, and Instagram to engage directly with the public, share news, and manage the brand's online reputation in real-time.

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#### **4. THE POWER OF PR: STRATEGIC IMPORTANCE**

**1. Credibility and Trust:**

- A positive story written by a journalist is perceived as more objective and credible than a paid advertisement. This "earned media" is trusted more.

**2. Cost-Effectiveness:**

- While there are costs associated with PR agencies and running events, the media coverage itself is "free." This can provide a much higher return on investment than paid advertising.

### 3. **Crisis Shield and Recovery:**

- A company with a strong, positive reputation built through PR has "reputation capital" to spend during a crisis. The public is more likely to give it the benefit of the doubt.

### 4. **Attracts and Retains Talent:**

- A company known for its good reputation and social responsibility finds it easier to attract and retain high-quality employees.

### 5. **Enhances Other Marketing Efforts:**

- Positive PR makes advertising more believable, gives salespeople a stronger story to tell, and makes sales promotions more appealing.

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## 5. **PR VS. ADVERTISING: A CRITICAL DISTINCTION**

Understanding the difference is fundamental to using both effectively.

### **PR vs. Advertising**

| Feature        | Public Relations (PR)                                                       | Advertising                                                                     |
|----------------|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| <b>Control</b> | <b>Low</b><br><br>(You pitch the story; the media decides if/how to run it) | <b>High</b><br><br>(You pay for the space; you control the creative and timing) |

| <b>Feature</b>       | <b>Public Relations (PR)</b>                                                               | <b>Advertising</b>                                                                    |
|----------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| <b>Credibility</b>   | <b>High</b><br><br>(Earned, third-party validation;<br>consumers trust news more than ads) | <b>Lower</b><br><br>(Perceived as biased; consumers<br>know you paid to say it)       |
| <b>Cost</b>          | <b>Relatively Lower</b><br><br>(No media buy costs; effective for<br>high ROI on coverage) | <b>High</b><br><br>(Direct costs for airtime, print<br>space, or digital impressions) |
| <b>Communication</b> | <b>Two-way Dialogue</b><br><br>(engaging with stakeholders and<br>media)                   | <b>One-way Monologue</b><br><br>(Broadcasting a message to an<br>audience)            |
| <b>Focus</b>         | <b>Relationships &amp; Reputation</b><br><br>(Trust, crisis management, goodwill)          | <b>Products &amp; Sales</b><br><br>(Features, benefits, call-to-<br>action)           |

| Feature | Public Relations (PR)                                                             | Advertising                                                                  |
|---------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| Message | <p><b>Softer, Informative</b></p> <p>(Educational, news-worthy, story-driven)</p> | <p><b>Harder, Persuasive</b></p> <p>("Buy Now," "Best in Class," urgent)</p> |

## 6. CASE STUDY: EFFECTIVE CRISIS MANAGEMENT IN NIGERIA

**The Scenario:** In 2021, a video went viral allegedly showing a popular Nigerian beverage, "FizzyPop," with a dead insect inside the bottle.

### The PR Response (The "Do's"):

1. **Acted Quickly:** The company issued a statement within hours, acknowledging the complaint and stating they were investigating.
2. **Was Transparent:** They explained their high-quality manufacturing and bottling process, which made such an incident highly unlikely, but did not dismiss the customer's claim.
3. **Showed Empathy:** They apologized for the distress caused to the consumer and the concern caused to the public.
4. **Took Action:** They offered to test the specific batch from which the bottle came and invited the relevant regulatory agency (NAFDAC) to conduct an independent audit of their factory.
5. **Communicated Findings:** Once the investigation was complete, they shared the results publicly, reaffirming their commitment to quality.

**The Result:** While sales dipped temporarily, the swift, transparent, and responsible handling of the crisis prevented long-term brand damage and demonstrated the power of effective PR.

### Evaluation:

1. A company donates a new school block to a community where it operates. Which PR function is this, and what is the primary benefit to the company?
2. Explain why a news story about a company's innovation in a newspaper is often considered more credible than a full-page ad for the same product placed by the company.
3. During a product contamination scare, why is it critical for a company to use PR strategies like a press conference instead of just staying silent?
4. "PR is about doing good and then talking about it." Based on what you have learned, how accurate is this statement?

### Assignment: PR Campaign Proposal

You are a PR consultant for a fictional Nigerian company, "**EcoPure**," which produces affordable water purifiers for rural households. They have a great product but low brand awareness.

Your task is to design a 3-month PR campaign to build awareness and a trustworthy reputation for EcoPure. Your proposal must include:

1. **Primary Objective:** What is the main goal of your campaign? (e.g., To position EcoPure as a socially responsible leader in clean water access).
  2. **Target Publics:** Identify the **two** most important "publics" you need to reach (e.g., local community leaders, national health journalists).
  3. **PR Tools:** Select **three** specific PR tools from the toolkit and explain how you would use each one.
    - *Example:* "We will issue a **press release** to announce a partnership with the Ministry of Water Resources to distribute 1,000 units to underserved communities."
  4. **CSR Idea:** Propose one **Corporate Social Responsibility (CSR)** activity that would generate positive publicity and align with EcoPure's mission.
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## WEEK 6: CONSUMER PROTECTION

**Topic:** Safeguarding the Rights and Interests of Consumers

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Define consumer protection and explain its importance in a modern market economy.
2. Analyze and explain the eight fundamental rights of consumers.
3. Evaluate the roles and functions of key consumer protection agencies in Nigeria.
4. Identify common marketplace abuses and propose solutions for effective consumer protection.

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### *1. THE CONCEPT OF CONSUMER PROTECTION: RESTORING THE BALANCE*

**Consumer Protection** refers to the laws, regulations, and institutional frameworks designed to ensure the rights of consumers are protected, and to shield them from unfair, deceptive, and dangerous business practices.

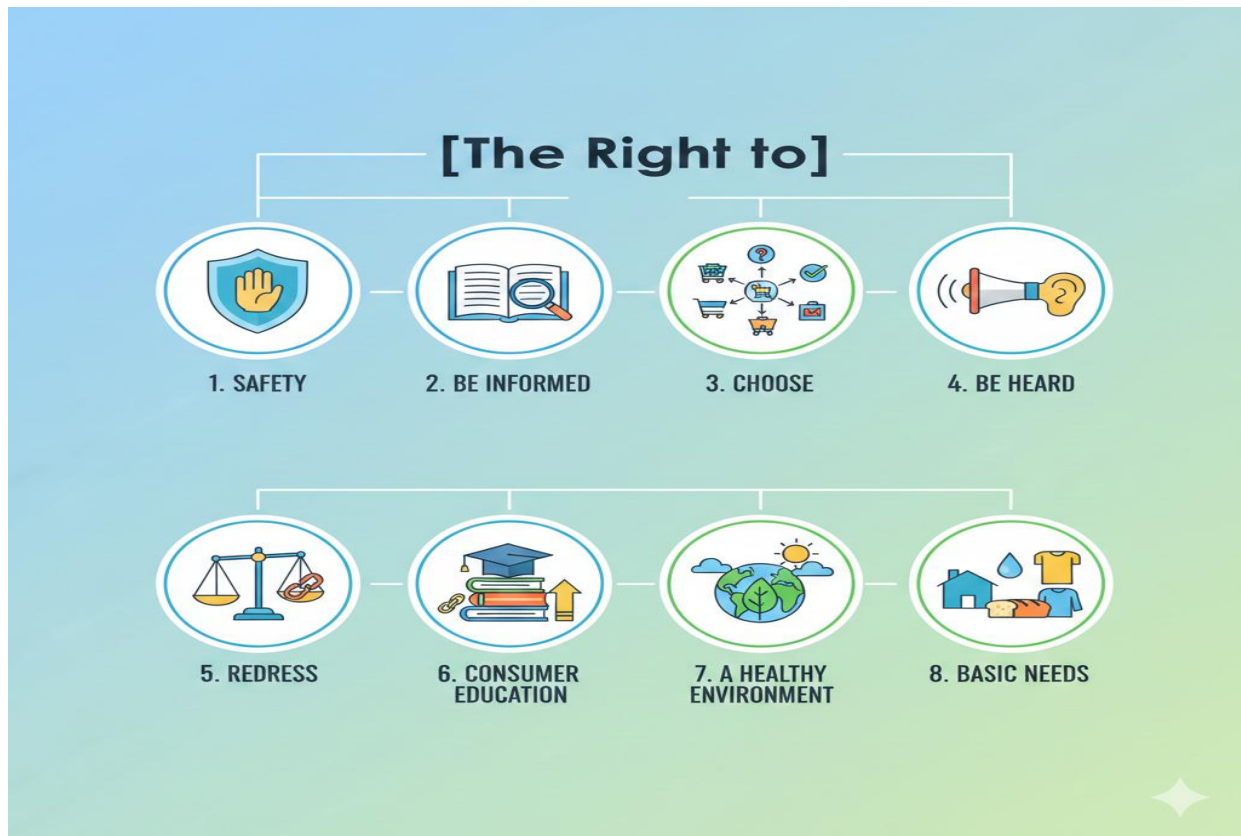
- **The Power Imbalance:** In the modern marketplace, individual consumers often have less information, resources, and power than the large corporations they buy from. Consumer protection exists to correct this imbalance.
- **Foundation of Trust:** Effective consumer protection is not anti-business; it is pro-market. It builds the trust necessary for commerce to flourish. When consumers trust that products are safe and claims are truthful, they are more likely to buy, which benefits ethical businesses.

#### **Why is Consumer Protection Necessary?**

- To prevent the sale of hazardous or substandard products.
  - To ensure fair competition and prevent monopolistic exploitation.
  - To provide legal recourse for consumers who have been wronged.
  - To empower consumers with information to make informed choices.
-

## 2. THE CONSUMER'S CHARTER: THE EIGHT FUNDAMENTAL RIGHTS

The modern consumer rights movement is based on a framework established by President John F. Kennedy in 1962, which has since been expanded. These rights form the foundation of consumer protection laws worldwide, including in Nigeria.



### 1. The Right to Safety

- **Meaning:** Protection against products, production processes, and services that are hazardous to health or life.
- **Example:** The right to expect that electrical appliances won't electrocute you, that toys won't choke children, and that drugs won't have fatal side effects.
- **Agency Role:** **NAFDAC** ensures the safety of food and drugs; **SON** sets safety standards for other products.

### 2. The Right to be Informed

- **Meaning:** Protection against fraudulent, deceitful, or grossly misleading information, and the right to be given the facts needed to make an informed choice.
- **Example:** Clear labeling of ingredients, nutritional facts, expiry dates, and country of origin. A landlord must not hide structural defects in a house.
- **Agency Role:** FCCPC acts against false advertising.

### 3. The Right to Choose

- **Meaning:** The ability to select from a range of products and services at competitive prices. This right is violated by monopolies and cartels that limit choices and fix prices.
- **Example:** Having multiple telecom providers (MTN, Airtel, Glo, 9mobile) to choose from, rather than being forced to use a single, state-owned provider.
- **Agency Role:** FCCPC promotes competition and prevents monopolistic practices.

### 4. The Right to be Heard

- **Meaning:** The guarantee that consumer interests will receive full and sympathetic consideration in the formulation of government policy and fair treatment in the legal system. Consumers have the right to complain and be taken seriously.
- **Example:** The ability to file a complaint with the FCCPC about a company's practices and have that complaint investigated.

### 5. Right to Redress

- **Meaning:** The right to receive a fair settlement of just claims, including compensation for misrepresentation, shoddy goods, or unsatisfactory services.
- **Forms of Redress:** Repair, replacement, refund, or compensation.
- **Example:** Returning a faulty television to the store and getting a full refund or a new replacement set.

### 6. The Right to Consumer Education

- **Meaning:** The right to acquire the knowledge and skills needed to be an informed consumer throughout life.

- **Example:** School curricula that include consumer rights, public awareness campaigns by the FCCPC on how to avoid scams, and information on how to file a complaint.

## 7. The Right to a Healthy Environment

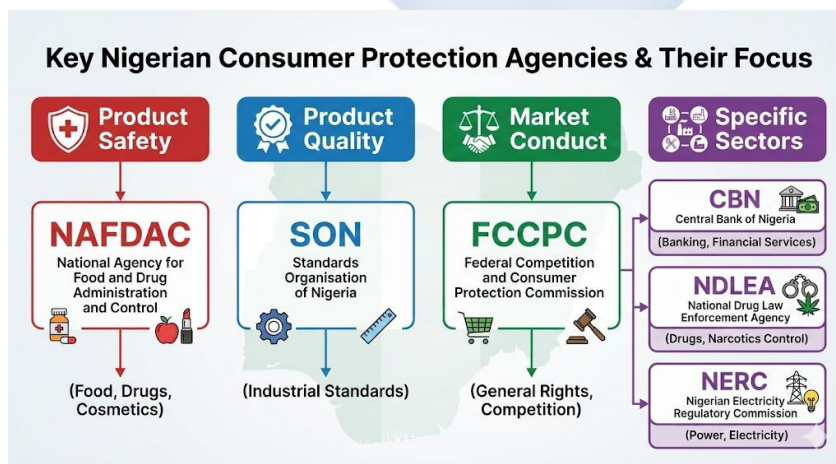
- **Meaning:** The right to live and work in an environment that is non-threatening to the well-being of present and future generations.
- **Example:** Protection from pollution caused by industrial waste, noisy factories in residential areas, or the dumping of toxic materials.
- **Agency Role:** NESREA (National Environmental Standards and Regulations Enforcement Agency) is key here.

## 8. The Right to Satisfaction of Basic Needs

- **Meaning:** The right to have access to essential goods and services: adequate food, clothing, shelter, healthcare, education, and sanitation.
- **Example:** Government policies aimed at ensuring food security and affordable housing.

### 3. THE GUARDIANS: CONSUMER PROTECTION AGENCIES IN NIGERIA

Nigeria has established several specialized agencies to enforce these rights.



#### 1. FCCPC (Federal Competition and Consumer Protection Commission)

- **Role:** The apex consumer protection body in Nigeria. It has a broad mandate to protect consumers from unfair business practices and promote fair competition.
- **Functions:** Investigates consumer complaints, prosecutes offending businesses, prohibits abusive and monopolistic practices, and promotes public consumer education.

## 2. NAFDAC (National Agency for Food and Drug Administration and Control)

- **Role:** Regulates and controls the manufacture, importation, exportation, distribution, advertisement, and use of food, drugs, cosmetics, medical devices, and chemicals.
- **Key Function:** Ensures product safety. A NAFDAC **registration number** on a product is a key indicator of its safety for consumption/use.

## 3. SON (Standards Organisation of Nigeria)

- **Role:** To prepare standards relating to products, measurements, materials, and processes, and to certify products that meet these standards.
- **Key Function:** Ensures product quality and reliability. The **SONCAP Certificate** is a mandatory conformity assessment program for imported goods.

## 4. Sector-Specific Regulators:

- **CBN (Central Bank of Nigeria):** Protects users of financial services from exploitation, fraud, and excessive bank charges.
- **NCC (Nigerian Communications Commission):** Protects telecom consumers from issues like unauthorized subscription, poor service quality, and unfair billing.
- **NERC (Nigerian Electricity Regulatory Commission):** Handles complaints from electricity consumers.
- **NDLEA (National Drug Law Enforcement Agency):** Protects consumers from the dangers of illicit drugs.

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## 4. CONTEMPORARY CHALLENGES AND SOLUTIONS

Despite these agencies, significant challenges remain in protecting Nigerian consumers.

### A. Common Marketplace Abuses:

- **Sale of Substandard and Counterfeit Goods:** Fake products, from drugs to phone batteries, flood the market.
- **False and Misleading Advertising:** "Get rich quick" schemes, "miracle" cures, and exaggerated product claims.
- **Exploitative Terms and Conditions:** Hidden fees in service contracts, particularly in banking and telecommunications.
- **Poor After-Sales Service:** Difficulty getting repairs, honouring warranties, or receiving refunds.

### B. Hindrances to Effective Protection:

1. **Lack of Awareness:** Many consumers are unaware of their rights or how to enforce them.
2. **Weak Enforcement:** Regulatory agencies may be underfunded or understaffed, limiting their reach and impact.
3. **Lengthy Legal Processes:** Seeking redress through the courts can be slow, complex, and expensive.
4. **Cultural Apathy:** A tendency to accept poor service or faulty goods with resignation ("It is Nigeria").

### C. Empowering Solutions:

1. **Consumer Education:** Mass literacy campaigns in schools and through the media.
2. **Strengthening Institutions:** Providing more funding and autonomy to agencies like the FCCPC.
3. **Utilizing Technology:** Creating easy-to-use mobile apps and online portals for filing complaints (e.g., the FCCPC's reporting platform).
4. **Consumer Advocacy:** Supporting the work of non-governmental organizations (NGOs) that fight for consumer rights.



## ***5. THE CONSUMER'S RESPONSIBILITY: "BUYER BEWARE" IS NOT ENOUGH***

While rights are crucial, responsible consumer behavior is the first line of defense.

### **The Responsible Consumer:**

- **Is Informed:** Researches products before buying, reads labels, and checks for standard marks (NAFDAC, SON).
- **Keeps Proof of Purchase:** Always collects receipts, invoices, and warranty cards.
- **Speaks Up:** Complains promptly and firmly to the seller or service provider when dissatisfied.
- **Reports Violations:** Takes serious complaints (especially about safety) to the relevant protection agency.
- **Makes Ethical Choices:** Considers the environmental and social impact of their purchases.

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### **Evaluation:**

1. A company advertises a "herbal tea" that it claims can cure diabetes, cancer, and hypertension. Which consumer right is being violated, and which agency should a consumer report this to?
2. Explain the difference between the primary focus of **NAFDAC** and the primary focus of **SON**.
3. "The Right to a Healthy Environment is not a core consumer right; it's a matter for the government." Do you agree with this statement? Justify your answer.
4. A student buys a phone that stops working after one week. The seller refuses to refund the money. Outline the steps the student should take to seek redress.

### **Assignment: Consumer Rights Audit & Action Plan**

**Part 1: Market Surveillance** Visit a local market or supermarket. Your task is to find and document the following:

1. **Evidence of Protection:** Find **two** products that display either a NAFDAC number or a SON mark. Take a photo or sketch the logo and number.
2. **Evidence of Risk:** Find **one** product that raises a potential consumer rights concern. This could be:
  - A product with no expiry date.
  - A product with a label that is unclear, misleading, or in a foreign language with no English translation.
  - A product that looks tampered with or unhygienic. Describe the product and explain which consumer right is potentially being violated.

**Part 2: Creating Awareness** Design a simple **flyer or poster** aimed at educating students in your school about their consumer rights. The poster must:

- List at least **four** of the eight consumer rights.
  - Provide the name and **one** way to contact (e.g., website, social media handle) of a relevant consumer protection agency.
  - Include a catchy slogan (e.g., "Know Your Rights, Be a Smart Consumer!").
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## WEEK 8: CONTEMPORARY ISSUES IN MARKETING

**Topic:** Navigating the Modern Marketing Landscape

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Analyze the impact of digital transformation on traditional marketing practices.
2. Evaluate the role and strategies of social media marketing in business.
3. Differentiate between various e-commerce models and their applications.
4. Assess the challenges and opportunities presented by globalization in marketing.

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### 1. THE DIGITAL REVOLUTION: A NEW MARKETING PARADIGM

The 21st century has witnessed a fundamental shift in marketing, driven by technology. We have moved from an era of mass marketing to an era of **one-to-one**, **data-driven**, and **interactive** marketing.

- **From Interruption to Engagement:** Traditional marketing (TV, radio, billboards) often *interrupted* the consumer. Digital marketing aims to *engage* the consumer, providing value and building relationships.
- **The Power of Data:** Modern marketing is fueled by data. Marketers can now track user behavior, measure campaign performance in real-time, and personalize messages at an individual level.

**Key Drivers of This Change:**

- **Internet Proliferation:** Widespread access to the internet.
  - **Smartphone Adoption:** Mobile devices put a computer in everyone's pocket.
  - **Social Media:** Platforms that facilitate connection and content sharing.
  - **Big Data & Analytics:** The ability to process vast amounts of information.
-

## 2. DIGITAL MARKETING: THE DATA-DRIVEN ENGINE

**Digital Marketing** encompasses all marketing efforts that use an electronic device or the internet. Businesses leverage digital channels such as search engines, social media, email, and websites to connect with current and prospective customers.

### Core Components of Digital Marketing:



#### 1. Search Engine Optimization (SEO):

- **What it is:** The art and science of improving a website's visibility in the unpaid, organic search results of search engines like Google.
- **Why it matters:** Most online experiences begin with a search. Appearing on the first page for relevant keywords is crucial for driving free, targeted traffic.
- *Example:* A Lagos bakery optimizing its website to appear when someone searches for "best birthday cake in Lagos."

#### 2. Content Marketing:

- **What it is:** Creating and distributing valuable, relevant, and consistent content to attract and retain a clearly defined audience.

- **The Strategy:** Instead of selling, you provide information that helps your audience, building trust and authority.
- *Examples:* A bank publishing articles on "How to Save for Your First Home," or a tech company creating video tutorials for its software.

### 3. Pay-Per-Click Advertising (PPC):

- **What it is:** A model where advertisers pay a fee each time one of their ads is clicked. The most common platform is Google Ads.
- **How it works:** You bid on keywords related to your business. Your ad appears at the top of search results, and you only pay when someone clicks.
- *Example:* A hotel in Abuja runs a PPC campaign so its ad appears when travelers search for "hotels in Abuja."

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### 3. SOCIAL MEDIA MARKETING: THE CONVERSATION ECONOMY

Social media marketing involves using social media platforms to connect with your audience to build your brand, increase sales, and drive website traffic.

#### Platform-Specific Strategies:

- **Facebook & Instagram:** Ideal for brand storytelling, visual content (photos, videos), and targeted advertising based on detailed user demographics and interests.
- **X (Twitter):** Best for real-time engagement, customer service, news, and trend-jacking.
- **LinkedIn:** The premier platform for B2B (Business-to-Business) marketing, professional networking, and content aimed at industry professionals.
- **TikTok:** Dominated by short-form video content, perfect for reaching Gen Z and Millennials with creative, viral trends.

#### Key Concepts:

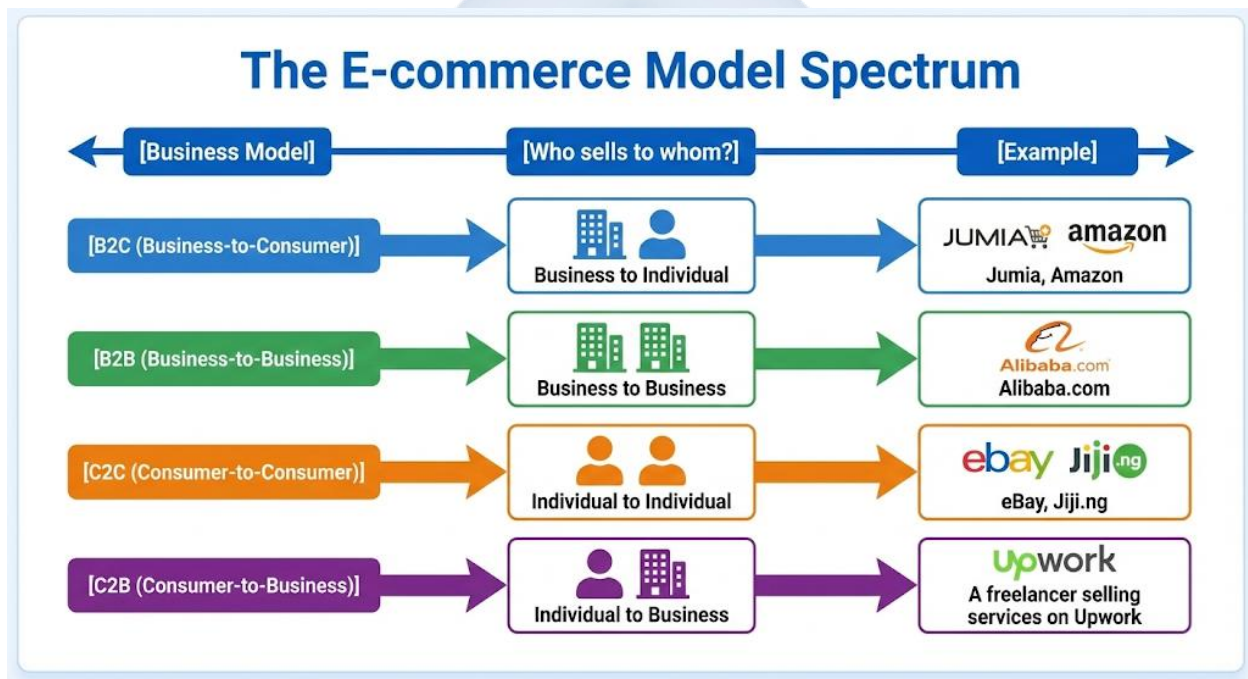
- **Influencer Marketing:** Partnering with individuals who have a dedicated social following and are viewed as experts within their niche. Their endorsement can be more powerful than traditional advertising.

- **Viral Marketing:** Creating content that is so engaging or entertaining that users share it rapidly and exponentially across their own networks.
- **Community Management:** Actively responding to comments, messages, and reviews to foster a sense of community and show that the brand listens.

#### 4. E-COMMERCE: THE VIRTUAL MARKETPLACE

**E-commerce** (electronic commerce) is the buying and selling of goods and services over the internet.

**E-commerce Business Models:**



**Emerging Trends in E-commerce:**

- **Mobile Commerce (M-Commerce):** E-commerce transactions conducted via smartphones and tablets. This is dominant in Nigeria, driven by high mobile penetration.
- **Dropshipping:**



- A retail fulfillment method where a store doesn't keep the products it sells in stock. Instead, when a store sells a product, it purchases the item from a third party (usually a wholesaler or manufacturer) and has it shipped directly to the customer.
  - **Advantage:** Low startup cost, as you don't need to invest in inventory.
  - **Disadvantage:** Lower profit margins and less control over shipping and product quality.
  - **Social Commerce:** The integration of e-commerce directly into social media platforms. For example, buying a product directly from an Instagram post or a Facebook shop without leaving the app.
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## ***5. GLOBALIZATION OF MARKETING: THE WORLD AS A SINGLE MARKET***

Globalization refers to the increasing interconnectedness of economies, cultures, and populations, breaking down geographical barriers to trade.

### **Implications for Marketers:**

#### **1. Standardization vs. Adaptation:**

- **Standardization:** Selling the same product and using the same marketing message across the globe (e.g., Coca-Cola, Apple iPhones). This achieves economies of scale.
- **Adaptation (Glocalization):** Modifying the product or marketing message to suit the local culture, tastes, and regulations of a foreign market (e.g., McDonald's offering vegetarian burgers in India or jollof rice pasta in Nigeria).

#### **2. Increased Competition:**

- Nigerian businesses are no longer just competing with local rivals. They must now compete with international brands that can easily reach Nigerian consumers online.

#### **3. Access to New Markets:**

- A small Nigerian business (e.g., a fashion designer or an artisan) can now sell their products to customers in Europe, America, or Asia through e-commerce platforms and social media.

### Challenges of Global Marketing:

- **Cultural Differences:** Language, symbols, colors, and values can vary dramatically.
  - **Legal and Regulatory Hurdles:** Different countries have different laws regarding advertising, product safety, and imports.
  - **Logistical Complexities:** Shipping, customs, and currency exchange can be challenging for small businesses.
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## 6. ETHICAL ISSUES IN THE DIGITAL AGE

With new power comes new responsibility. Contemporary marketers must navigate several ethical dilemmas:

- **Data Privacy:** How are companies collecting, using, and protecting consumer data? The fear of misuse is high.
  - **Digital Misinformation:** The spread of fake reviews, deceptive advertising, and false claims online.
  - **Sustainability and Green Marketing:** Consumers are increasingly demanding that companies be environmentally responsible. **Greenwashing**—making misleading claims about a product's environmental benefits—is a significant ethical breach.
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### Evaluation:

1. A Nigerian company that makes handmade leather bags wants to start selling online. Which *two* digital marketing strategies would be most effective for them to start with, and why?
2. Explain the difference between **SEO** and **PPC**. Why might a business use both simultaneously?

3. What is **Glocalization**? Provide a hypothetical example of how a global soft drink company might use it to market in Nigeria.
4. "Dropshipping is the easiest way to become a millionaire." Critically evaluate this statement by discussing one major advantage and one major disadvantage of the dropshipping model.

### **Assignment: Developing a Digital Marketing Plan**

You are the marketing consultant for "**Naija Spices**," a small business that produces and sells a range of authentic Nigerian spice blends (e.g., Jollof Rice seasoning, Suya spice).

Your task is to create a basic digital marketing plan to help them grow. Your plan should include:

1. **Target Audience:** Who are they trying to reach? (e.g., Nigerian families abroad, young Nigerian professionals, restaurants).
  2. **E-commerce Model:** Which model (B2C, B2B, etc.) is most suitable? Justify your choice.
  3. **Digital Channels:** Select **two** digital marketing channels (e.g., Instagram, Google SEO, Email marketing). For each, explain:
    - *Why* it is a good fit for Naija Spices.
    - *One* specific type of content or activity they should do on that channel (e.g., "On Instagram, they should post short recipe videos using their spices.").
  4. **Global Consideration:** *(If they want to expand to the Ghanaian market, should they use a standardization or adaptation strategy? Explain your reasoning.)*
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## WEEK 9: CAREERS IN MARKETING

**Topic:** Building a Future in a Dynamic Profession

**Instructional Objectives:** At the end of the lesson, students should be able to:

1. Analyze the diverse range of career paths available within the marketing profession.
2. Evaluate the core skills, competencies, and qualifications required for success in marketing roles.
3. Develop a personal career exploration plan for a chosen marketing specialization.
4. Assess the future outlook and professional development opportunities in the marketing field.

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### ***1. THE MARKETING PROFESSION: BEYOND SELLING***

Marketing is not a single job but a vast and **dynamic ecosystem of interrelated professions**. It is the engine that drives business growth by **connecting** products and services with the customers who need them. Every organization—from multinational corporations to non-profits and government agencies—requires marketing expertise.

**The Evolution of Marketing Careers:**

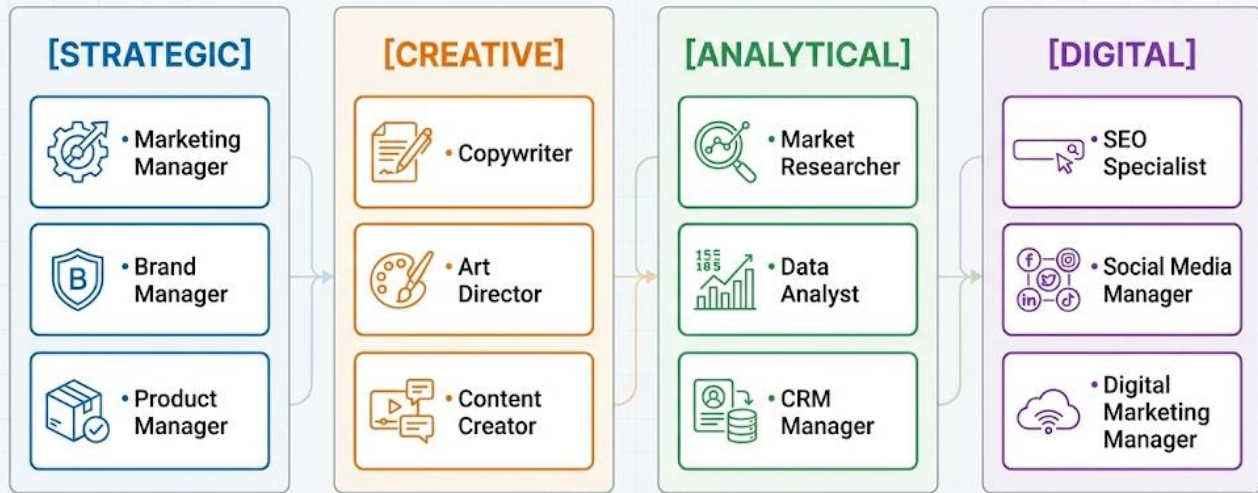
- **Traditional Focus:** Advertising, sales, and public relations.
- **Modern Expansion:** Digital marketing, data analytics, customer experience management, and content strategy.

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### ***2. THE MARKETING CAREER LANDSCAPE: A SPECTRUM OF ROLES***

Marketing careers can be broadly categorized into strategic, creative, analytical, and sales-oriented paths.

# The Marketing Career Map



## A. Strategic Roles (The Planners & Leaders)

### 1. Marketing Manager:

- **Role:** The conductor of the marketing orchestra. They develop, implement, and execute the overall strategic marketing plan for a company, product line, or region.
- **Key Responsibilities:** Setting budgets, managing a team, overseeing campaigns, and analyzing market trends.
- **Skills Needed:** Leadership, strategic thinking, budgeting, analytical skills.

### 2. Brand Manager:

- **Role:** The guardian of the brand's soul. They are responsible for the image, perception, and market performance of a specific brand.
- **Key Responsibilities:** Developing brand strategies, managing product launches, overseeing advertising, and ensuring all marketing is on-brand.
- **Skills Needed:** Creativity, market research, communication, project management.
- *Example:* The manager for the *Maltina* brand at Nigerian Breweries.

### 3. Product Manager:

- **Role:** The voice of the customer for a product. They guide the success of a product from conception to launch and beyond.
- **Key Responsibilities:** Defining product vision, working with engineering/development teams, setting pricing, and creating a product roadmap.
- **Skills Needed:** Technical understanding, strategic planning, user empathy.

## **B. Creative & Content Roles (The Storytellers)**

### **1. Copywriter:**

- **Role:** The wordsmith. They craft the persuasive and engaging text (copy) for advertisements, websites, emails, social media, and brochures.
- **Skills Needed:** Exceptional writing skills, creativity, understanding of consumer psychology.

### **2. Content Marketing Manager:**

- **Role:** The publisher. They create and distribute valuable, relevant content (blogs, videos, podcasts, infographics) to attract and retain a target audience.
- **Skills Needed:** Storytelling, SEO knowledge, editorial planning, multimedia skills.

### **3. Art Director / Graphic Designer:**

- **Role:** The visual storyteller. They are responsible for the visual style and images in magazines, newspapers, product packaging, and marketing materials.
- **Skills Needed:** Graphic design software (e.g., Adobe Creative Suite), creativity, visual communication.

## **C. Analytical & Research Roles (The Data Detectives)**

### **1. Market Research Analyst:**

- **Role:** The insights generator. They study market conditions to examine potential sales of a product or service.
- **Key Responsibilities:** Designing surveys, conducting focus groups, analyzing data on consumer demographics, preferences, and buying habits.



- **Skills Needed:** Statistical analysis, critical thinking, data interpretation, familiarity with research tools.

## 2. **Data Analyst (Marketing):**

- **Role:** The performance decoder. They analyze marketing campaign data (website traffic, conversion rates, social media engagement) to measure ROI and optimize future efforts.
- **Skills Needed:** Data analysis tools (e.g., Google Analytics, Excel, SQL), analytical mindset, problem-solving.

## **D. Digital & Growth Roles (The Online Experts)**

### 1. **Digital Marketing Manager:**

- **Role:** The online campaign leader. They specialize in planning and executing marketing campaigns across digital channels.
- **Skills Needed:** Knowledge of SEO/SEM, social media, email marketing, and data analytics.

### 2. **Social Media Manager:**

- **Role:** The community builder. They represent a company across social channels, building and nurturing an online community.
- **Key Responsibilities:** Creating content calendars, engaging with followers, running social media ads, and monitoring online conversations about the brand.
- **Skills Needed:** Creativity, excellent communication, knowledge of social platforms, customer service skills.

### 3. **SEO/SEM Specialist:**

- **Role:** The visibility engineer. They optimize websites to rank higher in search engine results (SEO) and manage paid search advertising campaigns (SEM).
- **Skills Needed:** Technical SEO knowledge, keyword research, experience with platforms like Google Ads.

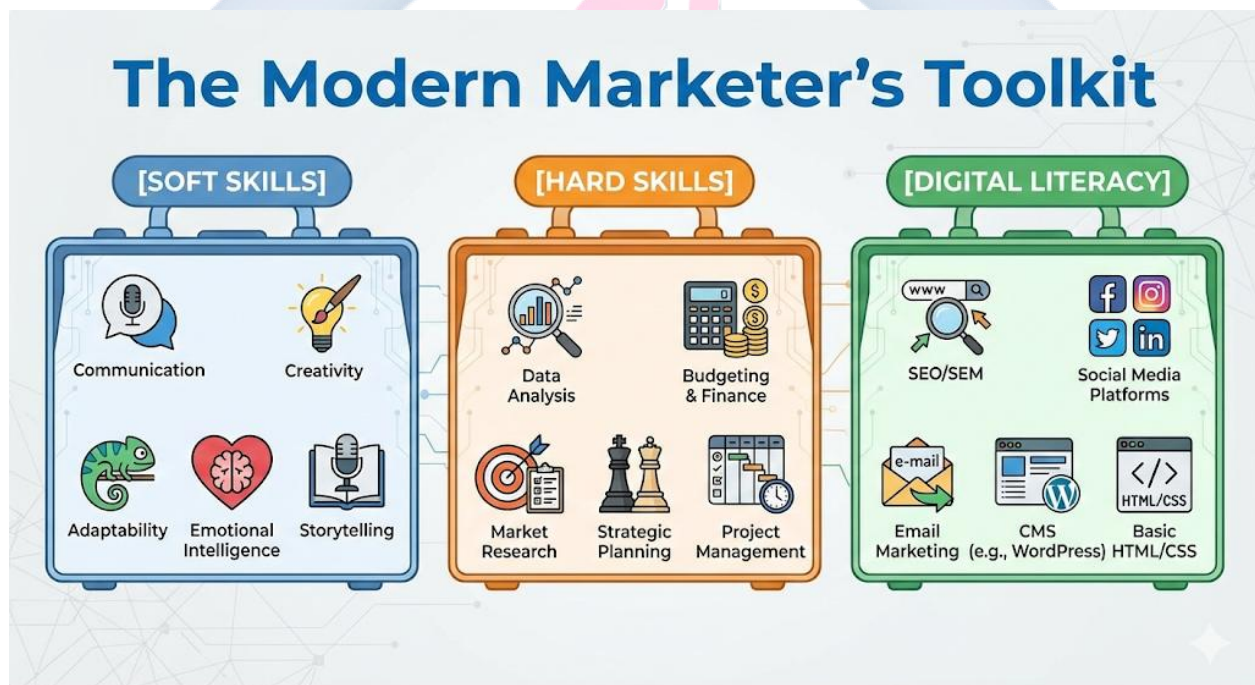
### 3. THE PATH TO SUCCESS: SKILLS AND QUALIFICATIONS

Success in marketing requires a blend of formal education, practical skills, and personal attributes.

#### A. Educational Pathways:

- **Foundation:** A bachelor's degree in **Marketing, Business Administration, Mass Communication, Economics, or Psychology** is a common entry point.
- **Professional Certification:** Enhances credibility and specialized knowledge.
  - **NIMN (National Institute of Marketing of Nigeria):** The premier professional body for marketers in Nigeria. Becoming a certified member (e.g., AMNIMN, MNIMN) is highly regarded.
  - **Digital Marketing Certifications:** Google Ads Certification, Google Analytics Certification, HubSpot Content Marketing Certification, etc.

#### B. The Essential Skill Set:



#### **4. CAREER PROSPECTS AND FUTURE OUTLOOK**

- **High Demand:** Marketing is a core business function, ensuring a constant demand for skilled professionals. The digital shift has created entirely new roles faster than they can be filled.
  - **Competitive Salaries:** Marketing careers can be very lucrative, especially for managerial, specialized digital, and analytical roles.
  - **Versatility and Mobility:** The skills acquired in marketing are transferable across virtually every industry (FMCG, tech, healthcare, finance, entertainment) and can be a pathway to senior leadership positions like Chief Marketing Officer (CMO) or even CEO.
  - **The Future is Digital and Data-Driven:** The marketers of tomorrow will need to be even more proficient in data analysis, marketing technology (MarTech), and understanding the customer journey across digital and physical touchpoints.
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#### **5. A DAY IN THE LIFE: CASE STUDY**

**Role:** Social Media Manager for a Nigerian Fashion Brand.

- **9:00 AM:** Check analytics for yesterday's posts. Engagement on the new Ankara dress design is high.
  - **10:30 AM:** Plan and schedule today's posts: an Instagram Reel showing the dress in motion, and a Twitter thread about the fabric's story.
  - **1:00 PM:** Respond to comments and direct messages from customers. One customer has a complaint about sizing; you escalate it to customer service.
  - **3:00 PM:** Brainstorm and storyboard next week's content theme with the graphic designer.
  - **4:30 PM:** Review the performance of a small paid ad campaign targeting women in Lagos and adjust the targeting based on initial data.
- 

**Evaluation:**

1. Differentiate between the roles of a **Brand Manager** and a **Product Manager**. Which one is more focused on the customer's perception, and which is more focused on the product's development?
2. Why is **data analysis** becoming a critically important skill for almost every marketing role, even creative ones?
3. A student is very creative, loves writing stories, and is active on multiple social media platforms. Which *two* marketing careers would you recommend they explore, and why?
4. "In the future, artificial intelligence (AI) will make human marketers obsolete." Do you agree or disagree? Defend your position with two reasons.

### **Assignment: Marketing Career Exploration Project**

Choose **one** marketing career from the lesson that genuinely interests you (e.g., Digital Marketing Manager, Market Research Analyst, Brand Manager).

Conduct research and create a **Career Profile Report** covering the following:

1. **Role Deep Dive:**
  - A detailed description of what the professional does on a daily basis.
  - List three primary responsibilities.
2. **Skill Assessment:**
  - Identify three **hard skills** (technical) and three **soft skills** (personal) essential for this role.
3. **Pathway to the Profession:**
  - What is the typical educational requirement?
  - Name one **professional certification** (e.g., from NIMN, Google, etc.) that would be beneficial.
4. **Nigerian Context:**
  - Find one Nigerian company that you think employs people in this role (e.g., a Bank, a Telco like MTN, an FMCG like Unilever, or a tech startup like Paystack).
  - Research and state the estimated starting salary range for this role in Nigeria.
5. **Personal Action Plan:**

- Based on your research, what is **one step** you can take now (e.g., a subject to focus on, a free online course, a skill to practice) to start building a foundation for this career?
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